

Towards New Benchmarks in Cosmo Living



Annual Report 2009-2010



Finest Luxury Residences | Aundh Annex, Pune.

24K

A KOLTE-PATIL VENTURE

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info@24Kliving.com

24Kliving.com

Pune's premier real estate developer, Kolte-Patil Developers Limited, is known for their legacy of providing comprehensive residential and office space solutions across real estate categories and diverse consumer segments.

24K, A Kolte-Patil venture, created a niche with their array of super lavish luxury homes and workspaces, for the elite. To cajole your style and complement your persona, we have come with super lavish, couture homes rightly monickered "Glitterati". Created with diligence to the minutest detail, these residences offer irresistible options ranging from 2,000 - 6,000 sq. ft. to choose from and provide residences boasting of an unfathomable reservoir of luxury, style and beauty.

Draped in a cloak of comfort, style and luxury, 24K is paradigm of your lifestyle. We are honoured to present these world class couture homes to you; as this is where you truly belong!

LETTER TO SHAREHOLDERS



Dear Shareholders,

It's true that when people think of Kolte-Patil Developers Ltd., what instantly comes to their mind is trust and commitment to quality. It goes without a doubt that these are words that mould to life with each person at KPDL and this fiscal year has been quite notable in proving the same.

KPDL commands a leading role in MIG Segments /Affordable Housing and has continued its legacy of winning the trust of many more customers by offering absolute value for money. While expanding horizons, KPDL also ventured into a new niche -24K, catering to premium home segment. Creativity along with execution and completion of projects within time lines have always been a highlight at KPDL.

KPDL aims at building efficient teams within the organization as well as dealing with efficient bodies in the chain of vendors, suppliers and other associates. While we continue to build a healthy and thriving relationship with our employees, vendors and shareholders, complete focus is also being dedicated to Customer Relationship Management. On operational level, application of a systematic process at every level is being monitored. Other key areas like excising the process between procurement of land, construction and possession; hence smoothen timely delivery of projects and offering optimum returns to our investors holds utmost priority.

It has truly been a beautiful journey for KPDL, carving a niche through quality construction and persistently offering "creation", not just construction. On behalf of everyone at KPDL, I would like to thank you for continuously showing your undeterred loyalty and faith in KPDL.

Here's to our ever building and ever thriving relationship !

With Regards,

Rajesh Patil,
Chairman & Managing Director

Vision

“ I have a dream, a dream to satisfy the basic need of security through shelter, quality housing at affordable rates. This dream is called “Kolte-Patil Developers Limited”. ”

Mr. A.V. Patil - Founder and Father of Kolte-Patil Group

Upcoming Projects at Bengaluru



KOLTE-PATIL DEVELOPERS LIMITED

BOARD OF DIRECTORS

Mr. Rajesh Patil

Chairman and Managing Director

Mr. Naresh Patil

Joint Managing Director

Mr. Milind Kolte

Executive Director

Mrs. Sunita Kolte

Executive Director

Mr. Jayant Pendse

Independent Director

Mr. Achyut Watve

Independent Director

Mr. G.L. Vishwanath

Independent Director

Mr. Manish Doshi

Independent Director

Registered Office

2nd Floor, City Point,
Dhole Patil Road,
Pune – 411 001 (Maharashtra)
Tele. No. +91 20 66226500
Fax No. +91 20 66226511
Website : www.koltepatil.com

Regional Office

22/11, 1st Floor,
Park West, Vittal Malya Road,
Bangalore – 560001
Tele. No. +91 080 22243135, 22242803
Fax No. +91 080 22120654

Bankers

IDBI Bank
ICICI Bank Limited
HDFC Bank Limited
Axis Bank

Statutory Auditors

M/S. S P C M & Associates
(Formerly Known as Bora Kasat & Co.)
Chartered Accountants, Pune.

Registrar and Share Transfer Agent

BIGSHARE SERVICES PRIVATE LIMITED
E/2, Ansa Industrial Estate,
Sakivihar Road, Sakinaka,
Andheri (E), Mumbai - 400 072
Tel: +91-22-40430200
Fax: +91-22-28475207
Website: www.bigshareonline.com
E-mail: info@bigshareonline.com

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NOTICE

Notice is hereby given, that the **NINETEENTH ANNUAL GENERAL MEETING** of **KOLTE-PATIL DEVELOPERS LIMITED** will be held at Maharatta Chamber of Commerce Industries & Agriculture, Sumant Moolgaonkar Auditorium, Ground Floor, A Wing, MCCIA Trade Tower, Senapati Bapat Road, Pune - 411 016, (Maharashtra), India, on Saturday, 31st July, 2010 at 12.00 Noon to transact the following business:

1. To receive, consider and adopt the Balance Sheet as at 31st March, 2010 and Profit and Loss Account for the year ended on that date and the Report of the Directors' and Auditors' thereon.
2. To declare final dividend for the financial year ended 31st March, 2010.
3. To appoint a Director in place of Mrs.Sunita Kolte, who retires by rotation and being eligible, offers herself for re-appointment.
4. To appoint a Director in place of Mr. Milind Kolte, who retires by rotation and being eligible, offers himself for re-appointment.
5. To appoint Statutory Auditors to hold office from the conclusion of this Annual General Meeting upto the conclusion of the next Annual General Meeting and to fix their remuneration.

Special Business:

6. To consider and if thought fit, to pass with or without modifications, the following resolution as an **Ordinary Resolution** :

"RESOLVED THAT in accordance with the provisions of Sections 198, 269, 309 and 317 read with Schedule XIII and all other applicable provisions, if any, of the Companies Act, 1956 or any statutory modification(s) or re-enactment thereof, approval of the Company be and is hereby accorded to the re-appointment of Mr. Rajesh Patil, as Whole-Time Director designated as Chairman and Managing Director of the Company, for a period of 5 (five) years with effect from April 15, 2010 on the terms and conditions including remuneration as set out in the Explanatory Statement annexed to the Notice convening this Meeting, with liberty to the Board of Directors (hereinafter referred to as "the Board" which term shall be deemed to include any Committee of the Board constituted to exercise its powers, including the powers conferred by this Resolution) to alter and vary the terms and conditions of appointment and / or remuneration, subject to the same not exceeding the limits specified under Schedule XIII of the Companies Act, 1956 or any statutory modification(s) or re-enactment thereof.

RESOLVED FURTHER THAT the Board be and is hereby authorized to do such acts and take all such steps as may be necessary, proper or expedient to give effect to this Resolution"

7. To consider and if thought fit, to pass, with or without modification, the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT in accordance with the provisions of Sections 198, 269, 309 and 317 read with Schedule XIII and all other applicable provisions, if any, of the Companies Act, 1956 or any statutory modification(s) or re-enactment thereof, approval of the Company be and is hereby accorded to the re-appointment of Mr. Naresh Patil, as Whole-Time Director designated as Joint Managing Director of the Company, for a period of 5 (five) years with effect from April 15, 2010 on the terms and conditions including remuneration as set out in the Explanatory Statement annexed to the Notice convening this Meeting, with liberty to the Board of Directors (hereinafter referred to as "the Board" which term shall be deemed to include any Committee of the Board constituted to exercise its powers, including the powers conferred by this Resolution) to alter and vary the terms and conditions of appointment and / or remuneration, subject to the same not exceeding the limits specified under Schedule XIII of the Companies Act, 1956 or any statutory modification(s) or re-enactment thereof.

RESOLVED FURTHER THAT the Board be and is hereby authorized to do such acts and take all such steps as may be necessary, proper or expedient to give effect to this Resolution"

8. To consider and if thought fit, to pass, with or without modification, the following resolution as an **Ordinary Resolution**:

“RESOLVED THAT in accordance with the provisions of Sections 198, 269 and 309 read with Schedule XIII and all other applicable provisions, if any, of the Companies Act, 1956 or any statutory modification(s) or re-enactment thereof, approval of the Company be and is hereby accorded to the re-appointment of Mr. Milind Kolte, as Whole-Time Director designated as Executive Director of the Company, for a period of 5 (five) years with effect from April 15, 2010 on the terms and conditions including remuneration as set out in the Explanatory Statement annexed to the Notice convening this Meeting, with liberty to the Board of Directors (hereinafter referred to as “the Board” which term shall be deemed to include any Committee of the Board constituted to exercise its powers, including the powers conferred by this Resolution) to alter and vary the terms and conditions of appointment and / or remuneration, subject to the same not exceeding the limits specified under Schedule XIII of the Companies Act, 1956 or any statutory modification(s) or re-enactment thereof.

RESOLVED FURTHER THAT the Board be and is hereby authorized to do such acts and take all such steps as may be necessary, proper or expedient to give effect to this Resolution”

9. To consider and if thought fit, to pass, with or without modification, the following resolution as an **Ordinary Resolution**:

“RESOLVED THAT in accordance with the provisions of Sections 198, 269 and 309 read with Schedule XIII and all other applicable provisions, if any, of the Companies Act, 1956 or any statutory modification(s) or re-enactment thereof, approval of the Company be and is hereby accorded to the re-appointment of Mrs. Sunita Kolte, as Whole-Time Director designated as Executive Director of the Company, for a period of 5 (five) years with effect from April 15, 2010 on the terms and conditions including remuneration as set out in the Explanatory Statement annexed to the Notice convening this Meeting, with liberty to the Board of Directors (hereinafter referred to as “the Board” which term shall be deemed to include any Committee of the Board constituted to exercise its powers, including the powers conferred by this Resolution) to alter and vary the terms and conditions of appointment and / or remuneration, subject to the same not exceeding the limits specified under Schedule XIII of the Companies Act, 1956 or any statutory modification(s) or re-enactment thereof.

RESOLVED FURTHER THAT the Board be and is hereby authorized to do such acts and take all such steps as may be necessary, proper or expedient to give effect to this Resolution”

10. To consider and if thought fit, to pass, with or without modification, the following resolution as a **Special Resolution**:

[A] **“RESOLVED THAT** consent of the Company be and is hereby given in accordance with:

1. the provisions of Section 81 (1A) and all other provisions applicable, if any, of the Companies Act, 1956 (the Act) including any statutory modification or re- enactment thereof for the time being in force,
2. the provisions of the Memorandum and Articles of Association of the Company and subject to:
 - a. the Listing Agreement with the Stock Exchanges and the provisions of the Securities and Exchange Board of India (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines, 1999, (the Guidelines) and including any statutory modification(s) or re-enactment of the Act or the Guidelines, for the time being in force and subject to any other applicable statutes, guidelines, regulations, approvals, consents, permissions or sanctions (the “Approvals”) of the Central Government, the Stock Exchanges, the Reserve Bank of India and any other appropriate authorities, institutions or bodies; and
 - b. such conditions as may be prescribed by any of them while granting any such approvals, which may be agreed to, in its sole discretion, by the Board of Directors of the Company (hereinafter called “the Board” which term shall be deemed to include any Committee including Remuneration and Compensation Committee constituted for this purpose or any other Committee which the Board may have constituted or hereinafter constitute from time to time to exercise its powers including the power conferred by this resolution);
 - i) the Board be and is hereby authorised for and on behalf of the Company, to create an “Employees Stock Option Scheme”, for permanent employees of the Company (hereinafter referred to as Kolte-

Patil Employees Stock Option Scheme or KPESOS) to offer, issue and allot, from time to time, Stock Options to or for the benefit of the eligible employees (hereinafter referred to as Option Grantees or eligible employees).

- ii) "Option Grantees or Eligible Employees" means person(s) as are in the permanent employment of the Company (who is not a promoter or belonging to the promoter group); whether working in India or out of India, Director of the Company whether a Whole-Time Director or not (but who are not promoters of the Company or belonging to the promoter group), or who are eligible and considered by the Board (including Remuneration and Compensation Committee) for being granted stock options under Employee Stock Option Scheme of the Company.
- iii) The Board or the Remuneration and Compensation Committee be and is hereby also authorised to decide from time to time on the terms and conditions of the Stock Options, including but not limited to the following:
 - a. the manner in which the Stock options are granted
 - b. the period of the ESOS
 - c. grant Price of the Stock Options
 - d. the vesting schedule for exercise of stock options and generally to frame a comprehensive scheme governing such Stock Options
- iv) The number of Equity Shares and /or Equity Shares issued through Global Depository Receipts (GDR's) and/or Warrants (whether attached to any security or not) with an option exercisable by the warrant holder to subscribe for Equity linked securities and /or bonds, debentures, preference shares and /or any other instruments or securities of the Company, which would give rise to the issue of Equity Shares, not exceeding 20,00,000 Equity Shares at such a price, in such a manner, during such period, in one or more tranches and on such other terms and conditions as the Board may decide in accordance with the regulations or other provisions of the law as may be prevailing at the relevant time.
- v) The said securities may be allotted directly to such employees or in accordance with a scheme framed in that behalf through any appropriate mechanism, including a trust or any other entity which may be set up in any permissible manner for that purpose and that such scheme may also contain provisions for providing the financial assistance to the employees/trust/entity to enable the employees/trust/entity to acquire, purchase or subscribe to the securities of the Company.
- vi) The Board (including Remuneration and Compensation Committee) be and is hereby further authorised:
 - a. to make a fair and responsible adjustment to the number and other terms and conditions of the Stock Options granted in terms of this Resolution, in the event of any corporate action(s) including but not limited to rights issue(s), bonus issue(s), merger(s), demerger(s), divestment(s), restructuring, etc.
 - b. to adjust (i.e. to augment or reduce as the case may be, in due proportion) the number of shares to be allotted and the price to be paid by the option grantees in terms of this Resolution, upon sub- division or consolidation or any similar restructuring involving the face value or the paid up value of equity shares in the Company from its present level of Rs.10/-per share, provided that such adjustment shall not affect any other rights or obligations of such allottees.
- vii) Subject to the terms stated herein, the shares allotted pursuant to this Resolution shall in all respects *rank pari passu*, inter se, as also with the then existing fully paid shares of the Company save and except that the dividend, if any, payable in respect of the shares shall be paid proportionately from the date of allotment.
- viii) The Board (including Remuneration and Compensation Committee) be and is hereby authorised to vary or modify the terms of KPESOS in accordance with any guidelines or regulations that may be issued, from time to time, by any appropriate authority unless such variation, modification or alteration is detrimental to the interest of the Option Grantees.

- ix) for the purpose of giving effect to the foregoing and without being required to seek any further consent or approval of the Members or otherwise to the end and intent that they shall be deemed to have given their approval thereto expressly by the authority of this Resolution, the Board / Remuneration and Compensation Committee be and is hereby authorised for and on behalf of the Company:
- a. for the purpose of creating, offering, issuing, allotting and listing of securities, the Board (including Remuneration and Compensation Committee) be and is hereby authorized on behalf of the Company to evolve, decide upon and bring into effect the scheme and to make any modifications, changes, variations, alterations or revisions in the said scheme from time to time or to suspend, withdraw or revive the scheme from time to time as may be specified by any statutory authority and to do all other acts, deeds matters and things as are necessary to give effect to the above resolutions and with power on behalf of the Company to settle any questions or difficulties that may arise with regard to the creation, offer, issue and allotment of shares without requiring the Board to secure any further consent or approval of the members of the Company in this regard.
 - b. to dispose off, from time to time, such of the Stock Options as are not vested or exercised, in such manner, as the Board may deem fit in its absolute discretion;
 - c. to enter into and execute all such arrangements as the case may be with any advisors, managers, bankers, financial institutions, solicitors, guarantors, depositories, custodians and other intermediaries (the "Agencies") in relation to the grant of Stock Options and to remunerate any of the Agencies in any manner including payment of commission, brokerage, fee or payment of their remuneration for their services;
 - d. to settle any questions, difficulties or doubts that may arise in regard to the grant of Stock Options;
 - e. to seek and obtain the listing of the equity shares from time to time of exercised Stock Options, as may be required, on one or more Stock Exchanges;

[B] **"RESOLVED THAT** consent of the Company be and is hereby given in accordance with:

- 1. the provisions of Section 81 (1A) and all other provisions applicable, if any, of the Companies Act, 1956 (the Act) including any statutory modification or re- enactment thereof for the time being in force,
- 2. the provisions of the Memorandum and Articles of Association of the Company and subject to:
 - a. the Listing Agreement with the Stock Exchanges and the provisions of the Securities and Exchange Board of India (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines, 1999, (the Guidelines) and including any statutory modification(s) or re-enactment of the Act or the Guidelines, for the time being in force and subject to any other applicable statutes, guidelines, regulations, approvals, consents, permissions or sanctions (the "Approvals") of the Central Government, the Reserve Bank of India and any other appropriate authorities, institutions or bodies; and
 - b. such conditions as may be prescribed by any of them while granting any such Approvals, which may be agreed to, in its sole discretion, by the Board of Directors of the Company (hereinafter called "the Board" which term shall be deemed to include any Committee including Remuneration and Compensation Committee constituted for this purpose or any other Committee which the Board may have constituted or hereinafter constitute from time to time to exercise its powers including the power conferred by this resolution); the Board be and is hereby authorised for and on behalf of the Company, to create an "Employees Stock Option Scheme", for its subsidiaries (hereinafter referred to as Kolté-Patil Employees Stock Option Scheme or KPESOS) to offer, issue and allot, from time to time, Stock Options to or for the benefit of the eligible employees (hereinafter referred to as Option Grantees or eligible employees)
- 3. the Board or Remuneration and Compensation Committee be and is hereby authorised to decide from time to time on the terms and conditions of the Stock Options referred to in Part [A] of this resolution to the employees of the holding or subsidiary Companies, as may from time to time be allowed under the prevailing

laws, rules and regulations and /or amendments thereto from time to time on such terms and conditions as may be decided by the Board.

4. "Option Grantees or Eligible Employees" means person(s) as are in the permanent employment of the Subsidiary Company (who is not a promoter or belonging to the promoter group); whether working in India or out of India, Director of the Company whether a Whole-Time Director or not (but who are not promoters of the Company or belonging to the promoter group), or who are eligible and considered by the Board (including Remuneration and Compensation Committee) for being granted stock options under Employee Stock Option Scheme of the Company.
5. The Board or Remuneration and Compensation Committee be and is hereby also authorised to decide from time to time on the terms and conditions of the Stock Options, including but not limited to the following:
 - a. the manner in which the Stock options are granted
 - b. the period of the ESOS
 - c. grant Price of the Stock Options
 - d. the vesting schedule for exercise of stock options and generally to frame a comprehensive scheme governing such Stock Options
6. for the purpose of giving effect to the foregoing and without being required to seek any further consent or approval of the Members or otherwise to the end and intent that they shall be deemed to have given their approval thereto expressly by the authority of this Resolution, the Board / Remuneration and Compensation Committee be and is hereby authorised for and on behalf of the Company:
 - a. for the purpose of creating, offering, issuing, allotting and listing of securities, the Board (including Remuneration and Compensation Committee) be and is hereby authorized on behalf of the Company to evolve, decide upon and bring into effect the scheme and to make any modifications, changes, variations, alterations or revisions in the said scheme from time to time or to suspend, withdraw or revive the scheme from time to time as may be specified by any statutory authority and to do all other acts, deeds matters and things as are necessary to give effect to the above resolutions and with power on behalf of the Company to settle any questions or difficulties that may arise with regard to the creation, offer, issue and allotment of shares without requiring the Board to secure any further consent or approval of the members of the Company in this regard.
 - b. to dispose off, from time to time, such of the Stock Options as are not vested or exercised, in such manner, as the Board may deem fit in its absolute discretion;
 - c. to enter into and execute all such arrangements as the case may be with any advisors, managers, bankers, financial institutions, solicitors, guarantors, depositories, custodians and other intermediaries (the "Agencies") in relation to the grant of Stock Options and to remunerate any of the Agencies in any manner including payment of commission, brokerage, fee or payment of their remuneration for their services;
 - d. to settle any questions, difficulties or doubts that may arise in regard to the grant of Stock Options;
 - e. to seek and obtain the listing of the equity shares from time to time of exercised Stock Options, as may be required, on one or more Stock Exchanges."

Registered Office:
2nd Floor, City Point, Dhole Patil Road,
Pune – 411 001

By Order of the Board of Directors
For KOLTE-PATIL DEVELOPERS LIMITED

Rajesh Patil
Chairman and Managing Director

May 28, 2010
Bangalore

NOTES:

1. **A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of himself and the proxy need not be a member of the Company. The proxies to be effective should be deposited at the Registered Office of the Company not later than 48 hours before the commencement of the meeting. Blank proxy form is attached herewith.**
2. Explanatory Statement pursuant to Section 173(2) of the Companies Act, 1956 in respect of Special Business set out above and detailed as required, is annexed hereto and forming a part of the Notice.
3. Brief profile of Directors seeking re-appointment as required under Clause 49 of Listing Agreement is annexed to the Notice.
4. The Register of Members and Shares transfer books of the Company will remain closed from Friday, July 23, 2010 to Saturday, July 31, 2010 (both days inclusive).
5. The Register of Directors' shareholding, maintained under Section 307 of the Companies Act, 1956, will be available for inspection by the members at the AGM.
6. The Register of Contracts, maintained under Section 301 of the Companies Act, 1956, will be available for inspection by the members at the Registered Office of the Company.
7. The Dividend would be made payable on or after 2nd August, 2010 to the shareholders whose name appears in the Register of Members on 23rd July 2010.
8. Corporate members intending to send their authorized representative to attend meeting are requested to send a certified true copy of Board Resolution authorizing their representatives to attend and vote on their behalf in the meeting.
9. Members holding shares in physical form are requested to intimate the following directly to the Company's RTA :
 - (a) Change if any, in their address with pin code numbers.
 - (b) Quote their ledger Folio No. in all their correspondence.
 - (c) Send their Share Certificates for consolidation.
 - (d) Request for nomination forms for making nominations as per Section 109A of the Companies Act, 1956, if not already intimated.
10. Applicants/Members wishing to claim IPO refund money or unclaimed dividend are requested to correspond with the Compliance Officer/ Registrar & Share Transfer Agent of the Company. Members are requested to note that dividend and IPO refund not encashed or claimed within seven years from the date of transfer to the Company's Unpaid Dividend Account and Unpaid IPO Refund Account, will, as per Section 205C of the Companies Act, 1956, be transferred to the Investor Education and Protection Fund.

REQUEST TO MEMBERS

Members desirous of getting any information/ clarification on the Accounts and operations of the Company or intending to raise any query are requested to forward the same at least 10 days in advance of the meeting to the Compliance Officer so as the same may be attended appropriately.

Members are requested to bring their copies of Annual Report, as the same shall not be distributed at the meeting and also the Attendance Slip duly filled in for attending the meeting, with identity proof.

Explanatory Statement pursuant to Section 173 (2) of the Companies Act, 1956

Item No. 6:

The Board, at its meeting held on January 29, 2010 on the recommendation of the Remuneration and Compensation Committee, re-appointed Mr. Rajesh Patil as Chairman and Managing Director of the Company w.e.f. April 15, 2010 for a and period of 5 (five) years on the terms and conditions mentioned herein below.

Mr. Rajesh Patil, 47 years, Chairman and Managing Director, holds a degree in Civil Engineering from the University of Mysore. He started his career in 1991 with Kolte – Patil Group and has a total experience of more than 19 years. Under his leadership, the Company is taking strides towards achieving a goal of making Kolte-Patil Group a renowned name in real estate development in India and abroad. His role and responsibilities include business development, land procurement and funding requirements of the group companies. He is also responsible for the new business planning and strategies.

I. Salary and Allowance:

Salary Per Month: In the scale of Rs. 5,00,000/- to Rs. 12,00,000/-

Salary of Rs. 5,00,000/- per month with such increment(s) as the Board may decide from time to time, however subject to a ceiling of Rs. 12,00,000/- per month.

Salary includes Basic salary, House Rent Allowance, Medical Allowance and Other Allowance as per Company policy.

II. Perquisites:

- a. Leave Travel concession for self and family once in a year incurred in accordance with the rules of the Company.
- b. Fees of clubs subject to a maximum of two clubs. No admission and life membership fee will be paid.
- c. Personal accident insurance as per Company policy.
- d. Contribution towards Provident fund, superannuation Fund or Annuity Fund as per rules of the Company but to the extent these either singly or put together are not taxable under the Income Tax Act.
- e. Gratuity as per the rules of the Company but shall not exceed one half month's salary for each completed year of service.
- f. Free Telephone cell at residence subject to long distance personal call charges being reimbursed to the Company.
- g. Use of own car for official purpose subject to payment of appropriate conveyance allowance by the Company.
- h. Earned Leave as per the rules of the Company not exceeding one month's salary leave for every eleven months of service.

The appointee will be entitled to the perquisites and allowances as per the Company rules.

In arriving at the value of perquisites, the value shall be determined on the basis of actual cost to the Company from time to time.

III. Commission

The Board of Directors of the Company will decide from time to time the percentage of Commission payable on Net profit of the Company for the respective financial year. For this purpose Net profit shall be computed in accordance with the provisions of Section 349 and 350 of the Companies Act, 1956.

IV. Minimum Remuneration

Notwithstanding anything to the contrary herein contained, where in the financial year during the currency of the tenure of Managing Director, the Company has no profit or profits are inadequate, the Company may pay minimum remuneration by way of salary, perquisite and allowances as per Schedule XIII of the Companies Act, 1956.

The above remuneration is within the limits prescribed by the applicable provisions of the Companies Act, 1956. The Board recommends the Resolution for approval by the Members.

Mr. Rajesh Patil, Chairman and Managing Director is concerned or interested in this resolution. Mr. Naresh Patil, Mrs. Sunita Kolte and Mr. Milind Kolte being relatives of Mr. Rajesh Patil are interested in this resolution.

Item No. 7

The Board, at its meeting held on January 29, 2010 on the recommendation of the Remuneration and Compensation Committee, re-appointed Mr. Naresh Patil as Joint Managing Director of the Company w.e.f. April 15, 2010 for a period of 5 (five) years on the terms and conditions mentioned herein below.

Mr. Naresh Patil, 45 years, Joint Managing Director, holds a degree in commerce from University of Pune. He started his career in 1991 with Kolte-Patil Group. His role and responsibilities include handling of the day-to-day business operations of the Company's business in Bangalore. He has a total experience of more than 19 years.

I. Salary and Allowance:

Salary Per Month: In the scale of Rs. 5,00,000/- to Rs. 12,00,000/-

Salary of Rs. 5,00,000/- per month with such increment(s) as the Board may decide from time to time, however subject to a ceiling of Rs. 12,00,000/- per month.

Salary includes Basic salary, House Rent Allowance, Medical Allowance and Other Allowance as per Company policy.

II. Perquisites:

- a. Leave Travel concession for self and family once in a year incurred in accordance with the rules of the Company.
- b. Fees of clubs subject to a maximum of two clubs. No admission and life membership fee will be paid.
- c. Personal accident insurance as per Company policy.
- d. Contribution towards Provident fund, superannuation Fund or Annuity Fund as per rules of the Company but to the extent these either singly or put together are not taxable under the Income Tax Act.
- e. Gratuity as per the rules of the Company but shall not exceed one half month's salary for each completed year of service.
- f. Free Telephone cell at residence subject to long distance personal call charges being reimbursed to the Company.
- g. Use of own car for official purpose subject to payment of appropriate conveyance allowance by the Company.
- h. Earned Leave as per the rules of the Company not exceeding one month's salary leave for every eleven months of service.

The appointee will be entitled to the perquisites and allowances as per the Company rules.

In arriving at the value of perquisites, the value shall be determined on the basis of actual cost to the Company from time to time.

III. Commission

The Board of Directors of the Company will decide from time to time the percentage of Commission payable on Net profit of the Company for the respective financial year. For this purpose Net profit shall be computed in accordance with the provisions of Section 349 and 350 of the Companies Act, 1956.

IV. Minimum Remuneration

Notwithstanding anything to the contrary herein contained, where in the financial year during the currency of the tenure of Joint Managing Director, the Company has no profit or profits are inadequate, the Company may pay minimum remuneration by way of salary, perquisite and allowances as per Schedule XIII of the Companies Act, 1956.

The above remuneration is within the limits prescribed by the applicable provisions of the Companies Act, 1956.

The Board recommends the Resolution for approval by the Members.

Mr. Naresh Patil, Joint Managing Director is concerned or interested in this resolution. Mr. Rajesh Patil, Mrs. Sunita Kolte and Mr. Milind Kolte being relatives of Mr. Naresh Patil are interested in this resolution.

Item No. 8

The Board, at its meeting held on January 29, 2010 on the recommendation of the Remuneration and Compensation Committee, re-appointed Mr. Milind Kolte as Executive Director of the Company w.e.f. April 15, 2010 for a period of 5 (five) years on the terms and conditions mentioned herein below.

Mr. Milind Kolte, 49 years, Executive Director, holds a degree in Law from the University of Amaravati and a degree in Commerce from University of Nagpur. He started his career in 1991 with Kolte-Patil Group. His role and responsibilities include handling of all the group Companies' day-to-day legal matters and operations, procurement and planning of construction activity. He has a total experience of more than 19 years.

I. Salary and Allowance:

Salary Per Month: In the scale of Rs. 5,00,000/- to Rs. 12,00,000/-

Salary of Rs. 5,00,000/- per month with such increment(s) as the Board may decide from time to time, however subject to a ceiling of Rs. 12,00,000/- per month.

Salary includes Basic salary, House Rent Allowance, Medical Allowance and Other Allowance as per Company policy.

II. Perquisites:

- a. Leave Travel concession for self and family once in a year incurred in accordance with the rules of the Company.
- b. Fees of clubs subject to a maximum of two clubs. No admission and life membership fee will be paid.
- c. Personal accident insurance as per Company policy.
- d. Contribution towards Provident fund, superannuation Fund or Annuity Fund as per rules of the Company but to the extent these either singly or put together are not taxable under the Income Tax Act.
- e. Gratuity as per the rules of the Company but shall not exceed one half month's salary for each completed year of service.
- f. Free Telephone cell at residence subject to long distance personal call charges being reimbursed to the Company.
- g. Use of own car for official purpose subject to payment of appropriate conveyance allowance by the Company.
- h. Earned Leave as per the rules of the Company not exceeding one month's salary leave for every eleven months of service.

The appointee will be entitled to the perquisites and allowances as per the Company rules.

In arriving at the value of perquisites, the value shall be determined on the basis of actual cost to the Company from time to time.

III. Commission

The Board of Directors of the Company will decide from time to time the percentage of Commission payable on Net profit of the Company for the respective financial year. For this purpose Net profit shall be computed in accordance with the provisions of Section 349 and 350 of the Companies Act, 1956.

IV. Minimum Remuneration

Notwithstanding anything to the contrary herein contained, where in the financial year during the currency of the tenure of Executive Director, the Company has no profit or profits are inadequate, the Company may pay minimum remuneration by way of salary, perquisite and allowances as per Schedule XIII of the Companies Act, 1956.

The above remuneration is within the limits prescribed by the applicable provisions of the Companies Act, 1956.

The Board recommends the Resolution for approval by the Members.

Mr. Milind Kolte, Executive Director is concerned or interested in this resolution. Mr. Rajesh Patil, Mr. Naresh Patil and Mrs. Sunita Kolte being relatives of Mr. Milind Kolte are interested in this resolution.

Item No. 9

The Board, at its meeting held on January 29, 2010 on the recommendation of the Remuneration and Compensation Committee, re-appointed Mrs. Sunita Kolte as Executive Director of the Company w.e.f. April 15, 2010 for a period of 5 (five) years on the terms and conditions mentioned herein below.

Mrs. Sunita Kolte, 43 years, Executive Director, holds a degree in commerce from University of Pune. She started her career in 1995 with Kolte-Patil Group. Her role and responsibilities include handling of day-to-day operations of the Company and looking after administration, sales promotions, advertisements, publicity and public relations for the Company. She has a total experience of more than 17 years.

I. Salary and Allowance:

Salary Per Month: In the scale of Rs. 5,00,000/- to Rs. 12,00,000/-

Salary of Rs. 5,00,000/- per month with such increment(s) as the Board may decide from time to time, however subject to a ceiling of Rs. 12,00,000/- per month.

Salary includes Basic salary, House Rent Allowance, Medical Allowance and Other Allowance as per Company policy.

II. Perquisites:

- a. Leave Travel concession for self and family once in a year incurred in accordance with the rules of the Company.
- b. Fees of clubs subject to a maximum of two clubs. No admission and life membership fee will be paid.
- c. Personal accident insurance as per Company policy.
- d. Contribution towards Provident fund, superannuation Fund or Annuity Fund as per rules of the Company but to the extent these either singly or put together are not taxable under the Income Tax Act.
- e. Gratuity as per the rules of the Company but shall not exceed one half month's salary for each completed year of service.
- f. Free Telephone cell at residence subject to long distance personal call charges being reimbursed to the Company.
- g. Use of own car for official purpose subject to payment of appropriate conveyance allowance by the Company.
- h. Earned Leave as per the rules of the Company not exceeding one month's salary leave for every eleven months of service.

The appointee will be entitled to the perquisites and allowances as per the Company rules.

In arriving at the value of perquisites, the value shall be determined on the basis of actual cost to the Company from time to time.

III. Commission

The Board of Directors of the Company will decide from time to time the percentage of Commission payable on Net profit of the Company for the respective financial year. For this purpose Net profit shall be computed in accordance with the provisions of Section 349 and 350 of the Companies Act, 1956.

IV. Minimum Remuneration

Notwithstanding anything to the contrary herein contained, where in the financial year during the currency of the tenure of Executive Director, the Company has no profit or profits are inadequate, the Company may

pay minimum remuneration by way of salary, perquisite and allowances as per Schedule XIII of the Companies Act, 1956.

The above remuneration is within the limits prescribed by the applicable provisions of the Companies Act, 1956.

The Board recommends the Resolution for approval by the Members.

Mrs. Sunita Kolte, Executive Director is concerned or interested in this resolution. Mr. Rajesh Patil, Mr. Naresh Patil and Mr. Milind Kolte being relatives of Mrs. Sunita Kolte are interested in this resolution.

Item No. 10 [A] & [B]

Human Resource is the key resource for the continuing growth and development of the Company. To motivate the employees and enable them to participate in the long-term growth and financial success of the organization, with a common objective of maximizing the shareholder value, the Company introduced an Employee Stock Option Scheme (ESOS). The ESOS would not only enable the Company to attract and motivate employees by rewarding performance as also to retain best talents but also enable the employees to develop a sense of ownership with the organization.

As required under the SEBI guidelines, the Remuneration and Compensation Committee will administer the ESOS 2010 and formulate the detailed terms and conditions of the scheme including;

The Remuneration and Compensation Committee will, specify, inter alia, the following:

- Quantum of options to be granted under ESOS per employee and in aggregate.
- Conditions under which options vested in employees may lapse in case of termination of employment for misconduct.
- Time period within which an employee may exercise vested options in the event of termination or resignation.
- Rights of an employee to exercise all vested options at one time or at various points of time within the exercise period.
- Procedure for making fair and reasonable adjustment to the number of options and to the exercise period, in case of rights issues, bonus issues, other corporate actions, or otherwise.
 - a) The number and the price of ESOS shall be adjusted in a manner such that the total value of the ESOS remains the same after corporate action.
 - b) For this purpose, global best practices in this area including the procedures followed by the derivative markets in India and abroad shall be considered.
 - c) The vesting period and the life of the options shall be left unaltered as far as possible to protect the rights of the option holders.
- Lock-in period for the shares issued pursuant to exercise of options.
- The grant, vest and exercise of option in case of employees who are on long leave.
- Procedure for cashless exercise of options.
- Any other related or incidental matter.

The salient features of the ESOS 2010 are presented below. :

1. Total number of options to be granted:

The maximum number of Stock Options granted to any Eligible Employee in any financial year shall not be more 1% of the Issued and Paid-up Share Capital of the Company on Fully Diluted Basis, unless such grant is approved by a Special Resolution passed by the equity shareholders of the Company. The maximum number of Stock Options granted to all the Eligible Employees shall not exceed 20,00,000 of the aggregate number of fully diluted issued and paid up Share Capital of the Company on the Effective Date of ESOS 2010.

The Board may with the approval of the shareholders increase the maximum number of options under the ESOS at any time.

One option entitles the holder of the options to apply for one equity share of the Company.

2. Identification of classes of employees entitled to participate in the ESOS:

The employees of the Company and its holding and subsidiary Company(ies), as defined in ESOS Guidelines (including any statutory modification(s) or re-enactment of the Act or the Guidelines, for the time being in force), all permanent employees of the Company (who is not a promoter or belonging to the promoter group), whether working in India or out of India including the Directors, whether Whole-time Directors or otherwise, but excluding the Promoters of the Company, as may be decided by the Remuneration and Compensation Committee from time to time, would be entitled to be granted stock options under the ESOS Scheme(s).

The class of employees eligible for participating in the ESOS shall be determined on the basis of grade of the employee, length of service, his role and contribution to overall performance of the Company, the performance of profit centre/division to which he belongs, merits of employee, future potential contribution by the employee, etc. any other criteria as may be decided by the Board/Remuneration and Compensation Committee at its sole discretion from time to time.

The options granted to an employee will not be transferable to any person and shall not be pledged, hypothecated, mortgaged or otherwise alienated in any other manner.

It is clarified that the Director who is either by himself or through his relative or through any body corporate, directly or indirectly holds more than 10% of the outstanding Equity Shares of the Company shall not be eligible to participate in the ESOS.

3. Requirements of vesting and period of vesting :

Vesting of options may commence after a period of not less than 1 (one) year from the date of grant and the vesting period may extend up to 4 years or such further or other period as the Board/Remuneration and Compensation Committee may determine, from the Grant Date.

The vesting may occur in one or more tranches, subject to the terms and conditions of vesting as may be stipulated by the Board/Remuneration and Compensation Committee which may include satisfactory performance of the employees/Directors and their continued employment with the Company, as the case may be, unless such employment is discontinued on account of death, permanent/total disability or on retirement.

If the employee/Director (including Whole-Time Director) voluntarily terminates employment with the Company, the options to the extent not vested shall lapse/expire and be forfeited forthwith. However, this shall not be applicable to the employee/Director (including Whole-Time Director) of the Company who has resigned or who may resign from time to time, if, approved by the Board/Remuneration and Compensation Committee.

4. Transferability of Employee Stock Options:

The Stock Options granted to an Eligible Employee shall not be transferable to any person. However, in the event of the death of an employee while in employment, the right to exercise all the options granted to him till such date shall be transferred to his legal heirs or nominees.

5. Exercise Price or Pricing Formula:

The exercise price for the purpose of grant of options will be decided by the Remuneration and Compensation Committee at the time of the grant of options to an employee and shall not be less than the face value of the Company's Equity Shares. The exercise price for the purpose of grant of options will be the market price on the date of grant or the date of vesting of options or such other price as the Remuneration and Compensation Committee may determine within the guidelines prescribed by the Securities and Exchange Board of India or other relevant authority from time to time.

6. Exercise Period and the process of Exercise:

The Exercise period will commence from the date of vesting and the options will be exercisable by the Employees on payment of Exercise Price in full at such time as may be notified during the Exercise Period.

The options will be exercised by the employees by written application to the designated officer of the Company/trust/other entity which may be set up in any permissible manner for the purpose of the scheme to exercise the options in such manner and on execution of such documents, as may be prescribed by the Remuneration and Compensation Committee from time to time.

The options will lapse if not exercised within the specified exercise period and may also lapse under certain circumstances as may be determined by the Remuneration and Compensation Committee even before the expiry of the specified exercise period.

7. Appraisal Process for determining the eligibility of the employees to ESOS:

The appraisal process for determining the eligibility of the employee will be specified by the Remuneration and Compensation Committee and will be based on criteria such as seniority of employee, length of service, performance record, merit of the employee, future potential contribution by the employee or such other criteria that may be determined by the Remuneration and Compensation Committee at its sole discretion.

The Remuneration and Compensation Committee will also determine the weightage / relative importance to be attached to each criteria for determining the eligibility of the employees.

8. Maximum number of options to be issued per employee and in aggregate:

The number of options that may be granted to employees under the Scheme shall be determined by the Remuneration and Compensation Committee from time to time.

9. Disclosure and Accounting Policies:

The Company and its subsidiary Companies shall comply with the disclosure and the accounting policies prescribed by SEBI and any other concerned authorities, from time to time.

10. Valuation Method:

The method of valuation which the Company will use to value its options will be fair value method as prescribed in the SEBI Guidelines.

In case the Company calculates the employee compensation cost using intrinsic value of the stock options, the difference between the employee compensation cost so computed and employee compensation cost that shall have been recognized if it had used the fair value of the options, shall be disclosed in the Directors' Report and also the impact of this difference on profits and on EPS of the Company shall also be disclosed in Directors' Report.

As the ESOS 2010 provides for the issue of shares to be offered to persons other than existing shareholders of the Company, consent of the members is sought pursuant to Section 81(1A) and all other applicable provisions, if any, of the Companies Act, 1956 and as per Clause 6 of the SEBI Guidelines.

11. Other particulars/General

As per ESOS guidelines, a separate resolution is required to be passed if the benefits of ESOS are to be extended to employees of holding or subsidiary Companies. Thus, separate resolution under item 10 (Part B) is being proposed to cover those employees and /or such persons as may be permitted from time to time, under prevailing laws, rules and regulations and/or amendments thereto from time to time.

Your directors, recommend the proposed resolutions to be passed as Special Resolutions by the Members at the ensuing Annual General Meeting.

None of the Directors of the Company are in any way, concerned or interested in this resolution.

CLAUSE 49 OF THE LISTING AGREEMENT

Brief profile of Directors seeking re-appointment at the forthcoming Annual General Meeting (Item No. 3, 4, 6, 7, 8 and 9 of the Notice)

Name of the Director	Rajesh Patil	Naresh Patil	Milind Kolte	Sunita Kolte
Date of Birth	5 th April, 1963	9 th February, 1965	16 th May, 1961	8 th September, 1967
Date of Appointment	25 th November, 1991	25 th November, 1991	25 th November, 1991	15 th April, 1995
Designation	Chairman and Managing Director	Joint Managing Director	Executive Director	Executive Director
Qualification	B.E. (Civil)	B.Com	B.Com and LL.B	B.Com
Expertise in specific functional area	Total experience of more than 19 years in Real Estate industry for Business Development, Land Procurement, funding requirements of the Companies, new business planning and strategies.	Total experience of more than 19 years in Real Estate industry for Business Development for Projects.	Total experience of more than 19 years in Real Estate industry for Legal matters, operations, procurement and planning of construction activity.	Total experience of more than 17 years in Real Estate industry for sales promotion, advertisement, publicity and public relations for the Company.
Number of other Public Limited Companies (in India) in which Directorships held	11	2	9	3
Chairman/ Member of Committee (s) of the Company	NIL	NIL	Member of Audit Committee & Remuneration and Compensation Committee	Member of Shareholders and Investors' Grievance Committee
Chairman/ Member of the Committee (s) of other Public Limited Companies in which he/she is a Director				
Audit Committee				
Remuneration Committee	NIL	NIL	NIL	NIL
Shareholders and Investors Grievance Committee	NIL	NIL	NIL	NIL

Registered Office:
2nd Floor, City Point, Dhole Patil Road,
Pune – 411 001

By Order of the Board of Directors
For KOLTE-PATIL DEVELOPERS LIMITED

Rajesh Patil
Chairman and Managing Director

Place : Bangalore
Date : May 28, 2010

DIRECTORS' REPORT

To

The Members,

Your Directors take pleasure in presenting the Nineteenth Annual Report on the business and operations of the Company, together with the audited results for the financial year ended on 31st March, 2010.

The Company is engaged in various segments namely Real Estate Development, Hospitality and Retail. However, in the financial year 2009-10, there was only one reportable segment namely Real Estate Development.

Financial Highlights

(Rs. In '000)

Particulars	2009-10	2008-09
Net Sales and Other Income	902,195	19,96,414
Less : Expenditure	495,705	870,209
Less : Financial Charges	63,929	70,948
Less : Depreciation/Amortization	11,271	10,401
Profit Before Tax	331,290	10,44,856
Less : Provision for taxation	53,961	338,055
Profit After Tax	277,329	706,801
Add : Prior Period adjustments	(549)	152,456
Less : Taxation in Firm	(765)	(12,893)
Add : Balance of Profit and Loss Account brought forward from the previous year	24,65,402	17,24,887
Profit available for appropriation	27,41,417	25,71,252
Appropriations:		
Transfer to General Reserve	18,000	17,670
Proposed Dividend (includes tax on dividend)	88,486	88,180
Balance carried to Balance Sheet	26,34,930	24,65,402

Performance Review

As the real estate sector is striving to come out of the recession scenario, many Realty Companies are coming up with fascinating projects and plans catering to almost every category/class.

We have seen a slow but steady recovery in the real estate sector in India post recession. The demand has hiked for the affordable pocket between Rs.25-30 Lakhs, for residential apartments in Pune City. Considering the demand in residential and luxury apartments, the new projects have been redesigned and are being launched in year 2009-10 which will generate substantial revenues in the next 2-3 years.

During the financial year under review, the total sales and other income decreased from Rs. 19,96,414 thousands to 902,195 thousands; a decrease of 54.81% from the previous year. Profit after Tax (PAT) declined from Rs. 706,801 thousands to Rs. 277,329 thousands; a decrease of 60.76% from the previous year.

Dividend

Your Directors are pleased to recommend a final dividend of Re.1 per equity share, on 7,56,32,537 equity shares of the Company.

New Initiative

To achieve the objectives set by the Company, the Management has taken initiatives to accelerate the project execution; by way of restructuring organization skills e.g. Creating Strategic Business Units (SBU), with a well defined authority and responsibility.

To establish and maintain a long term relationship with vendors, for better price and quality, your Company has taken initiatives by way of corporate tie-ups and direct interaction with manufacturers of steel, cement etc.

To respond to the market demand, the Management has realigned and re-priced its product mix, to offer better quality homes at right price.

Joint Venture Projects

Corolla Realty Private Limited

A Joint Venture project between your Company; India Advantage Fund of ICICI Venture Funds Management Company Limited; and Mr. Ishwarchand Goyal has been initiated, in addition to its affordable housing project namely "Umang Homes"; the Company is planning to launch Bungalow Plots, Twin Bungalows, and Row Houses in an 80 acre township project at Wagholi, Pune.

Kolte-Patil I-Ven Townships (Pune) Private Limited

The township project at Jambhe, Hinjewadi, Pune has taken off successfully with land acquisitions underway and now the Company is in the process of approaching various Government authorities for obtaining approvals in relation to the project. After all the approvals are in place, the Company proposes to launch the project on a large scale.

Re-appointment of Whole-Time Directors of the Company

Your Board of Directors at their meeting held on January 29, 2010 subject to the approval of members, approved the terms of re-appointment and payment of remuneration thereof, to Mr. Rajesh Patil, Chairman and Managing Director, Mr. Naresh Patil, Joint Managing Director, Mr. Milind Kolte, Executive Director and Mrs. Sunita Kolte, Executive Director with effect from April 15, 2010. The payment of remuneration including Commission to the Whole-Time Directors - Mr. Rajesh Patil, Mr. Naresh Patil, Mr. Milind Kolte and Mrs. Sunita Kolte has also been approved by the Remuneration and Compensation Committee of the Company in their meeting held on January 29, 2010.

Directors

During the year under review, there was a change in the composition of the Board of Directors of the Company due to the sad and unexpected demise of Mr. Satish Tandon, Independent Director. The Board of Directors wish to express their heartfelt sincere appreciation for Mr. Satish Tandon's valuable contribution in the growth and development of the Company.

Mr. Jayant Pendse was appointed as Director under Section 262 of the Companies Act, 1956 to fill the casual vacancy w.e.f October 29, 2009.

Pursuant to Section 256 of the Companies Act, 1956 read with the Article 167 of Articles of Association of the Company, Mrs. Sunita Kolte and Mr. Milind Kolte; Directors retiring by rotation and being eligible, have offered themselves for re-appointment at the ensuing Annual General Meeting. The brief profile of the Directors seeking re-appointment has been mentioned in the explanatory statement to the Notice of the Annual General Meeting.

Subsidiary Companies

The Company has 12 subsidiaries as on 31st March, 2010 namely, Regenesys Project Management Company Private Limited, Yashowardhan Promoters and Developers Private Limited, Sylvan Acres Realty Private Limited, I-Ven Kolte-Patil Projects (Pune) Private Limited, Lilac Hospitality Private Limited, Olive Realty Private Limited, Bellflower Properties Private Limited, Jasmine Hospitality Private Limited, Oakwoods Hospitality Private Limited, Regenesys Facility Management Company Private Limited, PNP Retail Private Limited and Kolte-Patil Real Estate Private Limited.

Particulars under Section 212 of the Companies Act, 1956

As per Section 212 of the Companies Act, 1956, the Company is required to attach the Directors' Report, Balance Sheet and Profit and Loss Account of its subsidiaries. However, the Company has received approval from Ministry of Corporate Affairs, Delhi, via letter No. 47/293/2010-CL-III dated 9th April 2010 and dated 13th May 2010, exempting the Company from attaching the Directors' Report, Balance Sheet and Profit and Loss Account of its subsidiaries. Therefore, the Annual Report does not contain the Financial Statements of the above subsidiaries. The consolidated accounts present a full and fair picture of the state of affairs and the financial condition. This practice is globally accepted. The audited annual accounts and related information of subsidiaries will be made available upon request. These documents will also be available for inspection during business hours at our Registered Office in Pune, Maharashtra, India.

The financial details of the Subsidiary Companies as well as the extent of holdings therein are provided in Annexure III to the Directors' Report.

A brief summary of the activities carried out by the Subsidiary Companies are as follows:

Kolte-Patil Real Estate Private Limited is a Joint Venture Company and in the third quarter of 2009-10 has launched a residential project namely "Beryl". Moreover, it also plans to develop premium and Ultra Luxurious apartments, commercial buildings, shopping arcade, and entertainment complex and also tie-up with Victorious Kidss Educares School, (IB School).

Bellflower Properties Private Limited is a Joint Venture Company and has launched a residential project namely "Margosa Heights", phase -I, at Mohammadwadi, NIBM annex Pune.

Yashowardhan Promoters and Developers Private Limited is a Joint Venture Company and has successfully completed residential project namely "Dew Drops" and commercial a project namely "Shoppers Orbit" at Vishranthwadi, Pune and in same premises, plans to launch a Row House Scheme.

PNP Retail Private Limited is a Subsidiary Company that has been set up primarily to carry on business through retail formats like hyper markets, super markets, cash & carry, departmental stores, direct to home etc. The Company has started its first store on April 24, 2010 in HRBR Layout in Bangalore. The Company offers customers retail store format - Convenience store called PNP Retail. PNP Retails are neighbourhood stores that cater to the daily and weekly top-up shopping needs of customers. The stores stock an assortment of fruits and vegetables, food and non-food fast moving consumer goods, staple and frozen food items, personal and home care products. The Company plans to start a chain of retail stores.

Regenesys Project Management Company Private Limited is a Wholly Owned Subsidiary which has been set up primarily to provide project management services.

Sylvan Acres Realty Private Limited is a Joint Venture Company set up for investment in Township project at Pune.

I-Ven Kolte-Patil Projects (Pune) Private Limited is a Joint Venture Company set up for developing Residential and Commercial projects at Kharadi, Pune.

Lilac Hospitality Private Limited is a Wholly Owned Subsidiary set up for providing hospitality management services to hotel projects.

Olive Realty Private Limited is a Wholly Owned Subsidiary set up, to carry on the business of real estate development at Phursungi, Pune.

Jasmine Hospitality Private Limited is a Joint Venture Company set up for developing a hotel at Bangalore.

Oakwoods Hospitality Private Limited is a Joint Venture Company set up for developing a hotel at Pune.

Regenesys Facility Management Company Private Limited is a Wholly Owned Subsidiary Company set up to provide facility management and property maintenance services.

Fixed Deposits

Your Directors had approved and introduced a Fixed Deposit Scheme 2009-10 in their meeting held on January 29, 2010, which has received a good response, since Shareholders of the Company, Senior Citizens, Handicapped

Persons, Armed Force Personnel and Employees of the Kolte-Patil Group are entitled to receive an additional 0.50% rate of interest on the deposit invested with the Company.

During the period under review, your Company has collected Rs. 15,800 thousands as on 31st March, 2010.

Employees Stock Option Scheme 2006 (ESOS)

During the year under review, your Company has implemented the Kolte-Patil Employee Stock Option Scheme, 2006.

Disclosures in respect of the Kolte-Patil Employee Stock Option Scheme, 2006 in compliance with Clause 12 of the Securities and Exchange Board of India (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines, 1999, as amended, are set out in Annexure IV to this Report.

Investors' Relations and Grievances

Investor Relations have been cordial during the year. The Company has formed Investors' Grievance Committee to address the issues relating to investors. There were no investor grievances pending as on 31st March, 2010. A confirmation to this effect has been obtained from the Company's Registrar & Share Transfer Agent. A detailed report on the above appears in Corporate Governance Report annexed to this Report.

Directors' Responsibility Statement

In accordance with the provisions of Section 217(2AA) of the Companies Act, 1956, your Directors state that:

- i) In the preparation of accounts, the applicable accounting standards have been followed and no significant departures have been made from the same.
- ii) Accounting policies selected were applied consistently. Reasonable, prudent judgments and estimates were made so as to give a true and fair view of the state of affairs of the Company at the end of 31st March, 2010 and of the profit of the Company for the year ended on that date.
- iii) Proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 1956 for safeguarding of assets of the Company and for preventing and detecting frauds and other irregularities.
- iv) The annual accounts of the Company have been prepared on a going concern basis.

Auditors

The Auditors of the Company M/S. S P C M & Associates, Chartered Accountants, Pune (*formerly known as Bora Kasat & Co.*) retire at the ensuing Annual General Meeting. They have confirmed their eligibility and willingness to accept appointment, if re-appointed. Your Directors recommend their appointment.

Human Resources

Employees are the most important assets of the Company. The Company endeavors in encouraging innovation and meritocracy. We have also set up scalable recruitment, performance appraisal system, to retain key employees and to offer them stock options, and Human Resource Management Processes, which enables us to attract and retain the high caliber employees. The total employees strength as on 31st March, 2010 was 358 as compared to 326 in the previous year.

Conservation of Energy, Technology absorption, Foreign Exchange Earnings & Outgo

A statement giving information of Conservation of Energy, Technology absorption, Foreign Exchange Earnings & Outgo as required under Section 217 (1) (e) of the Companies Act, 1956 read with the Companies (Disclosure of Particulars in the Report of Board of Directors) Rules, 1988 is annexed hereto – Annexure I and it forms part of this Report.

Particulars of the Employees

A statement required under Section 217 (2A) of the Companies Act, 195 has been furnished herein Annexure II and forms part of this Report.

Management Discussion and Analysis Statement

Management Discussion and Analysis Report as stipulated under Clause 49 of the Listing Agreement is annexed hereto and forms part of this Report.

Corporate Governance Report

Your Directors adhere to the requirements set out in Clause 49 of the Listing Agreements with the Stock Exchanges. Report on Corporate Governance as stipulated in the said Clause is annexed and forms part of this Report.

Acknowledgments

The Directors would like to express their appreciation for the assistance and co-operation received from customers, vendors, stakeholders, Central and State Government Authorities, business associates, and bankers of the Company. Your Directors take this opportunity to thank all the employees for rendering high quality service to all the Company's customers. The employees have worked with the principles of honesty, integrity, fair play and helped ensure a sustained excellence in performance of the Company. Finally, the Directors would like to convey their gratitude to the members and look forward to their continued support in future.

**For and on Behalf of the
Board of Directors**

**Place: Bangalore
Date: May 28, 2010**

**Rajesh Patil
Chairman and Managing Director**

Annexure to Directors' Report

ANNEXURE I

Statement of Particulars under Section 217 (1)(e) of the Companies Act, 1956 read with the Companies (Disclosure of Particulars in the Report of Board of Directors) Rules, 1988 forming part of Directors' Report for the year ended 31st March, 2010.

1. Conservation of Energy:

The Company's Energy consumption is minimum. The Company is striving to reduce energy consumption in the buildings developed by the Company, by taking energy conservation measures.

2. Technology Absorption:

The Company has not undertaken any Research & Development Activity in Development of Technology in the area of Construction.

3. Foreign Exchange Earnings and Outgo:

Disclosure of information relating to foreign exchange earnings and outgo as required under Rule 2(c) is already given in point no.7 in 'Notes to Accounts' forming part of the Audited Annual Accounts.

**For and on Behalf of the
Board of Directors**

**Place: Bangalore
Date: May 28, 2010**

**Rajesh Patil
Chairman and Managing Director**

ANNEXURE II

Information as per Section 217(2A) of the Companies Act, 1956, read with the Companies (Particulars of Employees) Rules, 1975 and forming part of the Directors' Report for the year ended 31st March, 2010.

Name	Designation	Qualification	Age (Years)	Joining Date	Experience (Years)	Gross remuneration (Rs.)	Previous employment, Designation
Mr. Rajesh Patil	Chairman & Managing Director	B .E. Civil	47	25-Nov-91	19	60,68,260/-	N.A.
Mr. Naresh Patil	Joint Managing Director	B. Com	45	25-Nov-91	19	60,43,817/-	N.A.
Mr. Milind Kolte	Executive Director	B. Com, LL. B.	49	25-Nov-91	19	60,62,243/-	N.A.
Mr.s. Sunita Kolte	Executive Director	B. Com	43	15-April-95	17	60,46,808/-	N.A.
Mr. Girish Lakhe	Head– Business Development	C A, C S	52	1-Dec-06	28	1,23,63,285/-	Regenesis Project Management Company Private Limited Chief Financial Officer
Mr. Vasant Gaikwad	Chief Financial Officer	B. Com , C A	46	26-Nov-96	14	24,00,480	N.A.
Mr. Sujay Kalele	Vice President – Business Development	B E (MECH) MBA (Finance)	28	1-Jan-10	6	7,50,000	Jones Lang LaSalle Property Consultant Private Limited

NOTES :

- 1) Designation denotes the nature of duties also.
- 2) Gross Remuneration includes salary, Company's contribution to Provident Fund, provision for leave encashment, allowances, perquisites but excludes Gratuity unless paid/ payable.
- 3) Nature of employment and terms and conditions: The nature of employment in the case of Chairman and Managing Director, Joint Managing Director and Executive Directors is contractual and terms of remuneration are governed by Board and Members' Resolutions.
- 4) Experience includes number of years of service elsewhere wherever applicable.

FOR AND ON BEHALF OF BOARD OF DIRECTORS

Place: Bangalore
Date: May 28, 2010

Rajesh Patil
Chairman and Managing Director

Annexure III - Statement pursuant to Section 212 of the Companies Act, 1956, relating to Subsidiaries Companies

(Rs. In '000)

Name of the Subsidiary	Regensis Project Management Company Private Limited	Sylvan Acres Realty Private Limited	Yashowardhan Promoters and Developers Private Limited	I-Ven Kolte-Pali Projects (Pune) Private Limited	Regensis Facility Management Company Private Limited	Oakwoods Hospitality Private Limited	Olive Realty Private Limited	Lilac Hospitality Private Limited	Jasmine Hospitality Private Limited	Bellflower Properties Private Limited	PNP Retail Private Limited	Kolte-Pali Real Estate Private Limited
1. Financial period ended	31-Mar-10	31-Mar-10	31-Mar-10	31-Mar-10	31-Mar-10	31-Mar-10	31-Mar-10	31-Mar-10	31-Mar-10	31-Mar-10	31-Mar-10	31-Mar-10
2. Holding Company's Interest	99.99% in Equity	89.99% in Equity	59.99% in Equity	51% in Equity	99.99% in Equity	51% in Equity	99.99% in Equity	99.99% in Equity	51% in Equity	50.0001% in Equity	99.99% in Equity	51% in Equity
3. Shares held by the holding Company in the subsidiary	499998 equity shares of Rs.100 each fully paid	449998 equity shares of Rs.100 each fully paid up	110998 equity shares of Rs.10 each fully paid up	51000 equity shares of Rs.100 each fully paid up	19999 equity shares of Rs.10 each fully paid up	8772000 equity shares of Rs.10 each fully paid up	999999 equity shares of Rs.10 each fully paid up	499999 equity shares of Rs.10 each fully paid up	14366200 equity shares of Rs.10 each fully paid up	500000 equity shares of Rs.10 each fully paid up	99999 equity shares of Rs.10 each fully paid up	18631925 equity shares of Rs.10 each fully paid up.
4. The net aggregate of profits or losses of the subsidiary for the current period so far as it concerns the members of the holding Company												
a. dealt with or provided for in the accounts of the holding Company	(3,491.60)	(147)	10,289.05	23.04	5,607.55	Nil	Nil	(217.53)	Nil	2,833.26	(604.59)	2,235
b. not dealt with or provided for in the accounts of the holding Company	(0.35)	(16)	6,862.22	22.13	0.56	Nil	Nil	-	Nil	2,832.13	(0.06)	2,147
5. The net aggregate of profits or losses for the previous financial years of the subsidiary so far as it concerns the members of the holding Company	-	-	-	-	-	-	-	-	-	-	-	-
a. dealt with or provided for in the accounts of the holding Company	(31,904.27)	(175)	24,686.12	55.08	798.03	Nil	Nil	(98.35)	Nil	(7.85)	Nil	5,270
b. not dealt with or provided for in the accounts of the holding Company	(3.19)	(19)	16,464.27	52.92	0.08	Nil	Nil	-	Nil	(7.85)	Nil	5,063

Annexure III - Statement pursuant to Section 212 of the Companies Act, 1956, relating to Subsidiaries Companies

(Rs. In '000)

Subsidiary	Issued and Subscribed Share capital	Reserves	Loans	Total Assets	Total Liabilities	Investment			Turnover	Profit/ (Loss) before taxation	Provision for Taxation	Profit/ (Loss) after taxation
						Long-Term	Current	Total				
Regenesis Project Management Company Private Limited	50,000	(32,733)	20,103	70,537	70,537	-	-	-	11,618	(1,732)	-	(3,492)
Sylvan Acres Realty Private Limited	50,000	(713)	1,438,288	1,507,575	1,507,575	1,507,494	-	1,507,494	478	(164)	-	(164)
Yashwardhan Promoters and Developers Private Limited	1,850	124,485	-	126,369	126,369	-	-	-	89,304	25,984	8,833	17,151
I-Ven Kolte-Patil Projects (Pune) Private Limited	10,000	-	698,436	708,602	708,602	-	-	-	72	72	27	45
Regenesis Facility Management Company Private Limited	200	6,406	-	6,611	6,611	-	-	-	15,190	8,118	2,510	5,608
Oakwoods Hospitality Private Limited	172,000	-	-	172,003	172,003	-	-	-	-	-	-	-
Olive Realty Private Limited	10,000	(86)	235,090	245,090	245,090	-	-	-	-	-	-	-
Lilac Hospitality Private Limited	5,000	(3,941)	2,218	7,271	7,271	-	-	-	7	(210)	7	(218)
Jasmine Hospitality Private Limited	281,690	-	-	281,693	281,693	-	-	-	-	-	-	-
Bellflower Properties Private Limited	10,000	5,650	554,789	570,522	570,522	-	50,405	50,405	62,199	8,192	2,527	5,665
PNP Retail Private Limited	1,000	(605)	-	395	395	-	-	-	-	(875)	270	(605)
Kolte-Patil Real Estate Private Limited	385,332	1,638,731	24,500	2,028,607	2,028,607	-	87,396	87,396	4,379	4,421	39	4,381

Annexure-IV

Disclosure in compliance with provisions of Clause 12 of the Securities and Exchange Board of India (Employees Stock Option Scheme and Employee Stock Purchase Scheme) Guideines, 1999.

Sr. No.	Description	Details
1	Name of the Scheme	Kolte-Patil Employee Stock Option Scheme-2006
2	Total Number of options to be granted under the plan	7,80,000 Equity Shares
3	Options granted during the year	N.A.
4	Pricing formula	The Remuneration and Compensation Committee decides exercise price based on Book Value of shares calculated by the Statutory Auditors of the Company, on the basis of audited annual accounts of the financial year 2005-06 of the Company.
5	Options vested as of 31st March, 2010	338,887 Equity Shares
6	Options excercised during the year	110,144 Equity Shares
7	Total number of shares arising as a result of exercise of options till 31st March, 2010	228,277 Equity Shares
8	Options lapsed/cancelled during the year	10,775 Equity Shares
9	Variation of terms of options	N.A.
10	Money realised by exercise of options during the year	Rs. 44,05,760/-
11	Total Number of options in force at the end of the year	338,887 equity shares
12	Employee wise details of stock options granted to Senior Managerial Personnel as on 31st March, 2010	Mr. Girish Lakhe -63750*; Mr. Vasant Gaikwad-30000*; Mr. Pramod Nemade-25000*; Mr. Pravin Parandekar-25000*; Mr. Abhay Patil-25000*; Mr. Shahaji Ranaware-10000*; Mr. Vinod Patil-10000*; Mr. Hitendra Chaudhary-10000*; Mr. Nelson Misquith-25000*; Mr. Milind Pendse-19750*; Mr. Vijay Bhide-10000*; Mr. Dilip Borade-10000*; Mr. Nitin Patil-10000*; Mr. S.K. Prasanna-30000*; Mr. Shodhan Lokhande-12060*; Mr. Shashidhar K.-10635* * of these certain stock options have been exercised
13	Employees who were granted options amounting to 5% or more of the options granted during the year	Nil
14	Employees who were granted options in any one year equal to or exceeding 1% of the issued capital of the Company at the time of grant	NA
15	Diluted Earning Per Share (EPS) pursuant to issue of shares on exercise of option calculated in accordance with Accounting Standard 20 (AS-20)	Rs. 3.67

CORPORATE GOVERNANCE REPORT

COMPANY'S PHILOSOPHY OF CORPORATE GOVERNANCE

Corporate Governance is acceptance by the Management of the inalienable rights of shareholders as the true owners of the corporation and of their own role as trustees on behalf of the shareholders. It is about commitment to values, about ethical business conduct and about making a distinction between personal and corporate funds in the management of a Company.

We at Kolte-Patil Group believe that Corporate Governance connotes imbibing ethical business practices in day-to-day working of our business. Implementation of values of transparency, trusteeship, accountability and complete disclosures occupy the centre stage. We focus all our endeavors in maximizing the stakeholder value.

In our endeavor to adopt the best Corporate Governance and disclosure practices, the Company complies with all the requirements of the Clause 49 of the Listing Agreement(s), entered with National Stock Exchange of India Limited and Bombay Stock Exchange Limited.

Pursuant to Clause 49 of the Listing Agreement entered with the Stock Exchanges, the Company hereby presents a Report on Corporate Governance to its members for the financial year 2009-10.

BOARD OF DIRECTORS

Independent Directors are trustees of good corporate governance. They truly safeguard the rights of the shareholders of the Company. The Board of the Company comprises of a fine blend of Executive and Independent Directors.

a) Size and Composition of Board :

1. The Company has eight Directors with an Executive Chairman. Out of the eight Directors, four are Non-Executive and Independent Directors. The Composition of Board is in conformity with Clause 49 of the Listing Agreement entered into with the Stock Exchanges.
2. None of the Directors is a member of more than ten committees or Chairman of more than five committees across all the Companies in which he is a Director. Necessary disclosures regarding committee positions in other public Companies as on 31st March, 2010 have been made by the Directors.
3. The names and categories of the Directors on the Board, their attendance at the Board Meetings held during the year and number of Directorships and Committee Chairmanship/ Membership held by them in other Companies are given herein below. Other Directorship do not include alternate Directorships/ Directorship of Private Limited Companies, Section 25 Companies and of Companies incorporated outside India. Chairmanship / Membership of Board Committees include only Audit and Shareholders/ Investors Grievance Committees.

Name of Director	Category	Number of Board Meetings held during the year 2009-10.		Whether attended last AGM held on 31 st July 2009	Number of Directorships in other Public Limited Companies	Number of Committee positions held in other Public Limited Companies	
		Held	Attended			Chairman	Member
Rajesh Patil (Chairman and Managing Director) DIN 00381866	Executive Chairman	5	5	Yes	11	-	-
Naresh Patil (Joint Managing Director) DIN 00881077	Non-Independent Executive	5	2	Yes	2	-	-

Name of Director	Category	Number of Board Meetings held during the year 2009-10.		Whether attended last AGM held on 31 st July 2009	Number of Directorships in other Public Limited Companies	Number of Committee positions held in other Public Limited Companies	
		Held	Attended			Chairman	Member
Milind Kolte (Executive Director) DIN 00170760	Non-Independent Executive	5	5	Yes	9	-	-
Sunita Kolte (Executive Director) DIN 00255485	Non-Independent Executive	5	5	Yes	3	-	-
*Satish Tandon DIN 00002267	Independent Non- Executive	5	2	Yes	5	1	3
Manish Doshi DIN 00210389	Independent Non- Executive	5	4	Yes	-	-	-
G. L Vishwanath DIN 01758785	Independent Non- Executive	5	3	Yes	-	-	-
Achyut Watve DIN 01179251	Independent Non- Executive	5	2	Yes	-	-	-
#Jayant Pendse DIN 02434630	Independent Non- Executive	5	2	No	-		

* Mr. Satish Tandon ceased to be a Director w.e.f. 2nd October, 2009.

Mr. Jayant Pendse was appointed as Director in Casual Vacancy w.e.f. 29th October, 2009.

4. Five Board Meetings were held during the year and the gap between two meetings did not exceed four months. The dates on which the Board Meetings were held as follows :

9th May 2009, 30th June 2009, 31st July 2009, 29th October 2009 and 29th January 2010.

5. None of the Non-Executive Directors have any material pecuniary relationship or transactions with the Company.
6. During the year, information as mentioned in annexure 1A to the Clause 49 of the Listing Agreement has been placed before the Board for its consideration.

b) Details of sitting fees paid to the Non-Executive Directors

The Company does not pay any remuneration to its Independent Directors apart from sitting fees. The sitting fees paid to each Non-Executive Director is Rs. 20, 000/- for each Board Meeting.

c) Details of remuneration paid to the Executive Directors of the Company.

Remuneration paid to the Chairman and Managing Director and to the Executive Directors is within the ceiling limit, as decided by the Shareholders in their Annual General Meeting held on 4th July, 2007. remuneration paid to the Executive Directors for the year ended 31st March, 2010 is as follows:

Name of Director	Designation	Managerial Remuneration (Rs. in '000)
Rajesh Patil	Chairman and Managing Director	6,068
Naresh Patil	Joint Managing Director	6,044
Milind Kolte	Executive Director	6,063
Sunita Kolte	Executive Director	6,047

d) Shareholding of Independent Directors

None of the Independent Directors hold any shares in the Company.

AUDIT COMMITTEE:

The Audit Committee of the Company has been constituted in line with the provisions of Clause 49 of the Listing Agreement read with Section 292A of the Companies Act, 1956. The Audit Committee comprises of 5 members, in which 4 members are Independent Directors. Mr. Vinod Patil, Company Secretary of the Company acted as the Secretary to the Audit Committee. The Chairman of the Audit Committee was present at the last Annual General Meeting of the Company. The Managing Director and Chief Financial Officer are permanent invitees to the Audit Committee Meetings.

a) Terms of Reference of Audit Committee

The Audit Committee is entrusted, inter alia, with the following:

1. To oversee the Company's financial reporting process and the disclosure of its financial information and to ensure that the financial statements reflect a true and fair position and are sufficient and credible;
2. To recommend to the Board, the appointment, re-appointment and if required, the replacement or removal of the statutory auditor and the fixation of audit fees and also approval of payment of any other services;
3. To review, with the Management, the annual financial statements prior to the submission to the Board for its approval, focusing primarily on any changes in accounting practices and policies, compliance with accounting standards, compliance with the Listing Agreement of Stock Exchanges and legal requirements concerning financial statements, any related party transactions as per Accounting Standard 18 among other matters;
4. To review, with the Management, the quarterly financial statements before submission to the Board for its approval;
5. To review, with the Management, performance of statutory and internal auditors, and adequacy of the internal control systems;
6. Reviewing the Companies financial and risk management policy.
7. Disclosure of contingent liabilities.
8. Reviewing compliances as regards Company's Whistle Blower Policy.

b) Composition of Audit Committee and attendance

The composition of the Audit Committee as on 31st March, 2010 and attendance of members in the meetings held during the financial year 2009-10 are as under:

Name of the Member	Designation	Category	No. of Meetings Attended
Mr. Manish Doshi	Chairman	Independent Director	4
* Mr. Satish Tandon	Member	Independent Director	2
Mr. G. L. Vishwanath	Member	Independent Director	2
Mr. Achyut Watve	Member	Independent Director	2
# Mr. Jayant Pendse	Member	Independent Director	2
Mr. Milind Kolte	Member	Executive Director	4

* Mr. Satish Tandon ceased to be a Director w.e.f. 2nd October, 2009.

Mr. Jayant Pendse was appointed as Director in Casual Vacancy w.e.f. 29th October, 2009.

c) Meetings

During the financial year 2009-10, the Audit Committee met four (4) times on 30th June 2009, 31st July 2009, 29th October 2009 and 29th January 2010.

SHAREHOLDERS AND INVESTORS' GRIEVANCE COMMITTEE

The Investors' Grievances Committee of the Board looks into the redressal of the investors' complaints like non-receipt of annual reports, dividend payments, change or deletion of name, issue of duplicate share certificates, dematerialization, rematerialization, transfer, transmission, consolidation, sub-division of shares, debentures and securities and other allied transactions. It delegates power to the executives of the Company to accomplish aforesaid objectives.

a) Composition of Shareholders and Investors' Grievance Committee and Attendance

The constitution of the Committee is as follows:

Name of the Member	Designation	Category	No. of Meetings Attended
Mr. G. L. Vishwanath	Chairman	Independent Director	2
Mr. Manish Doshi	Member	Independent Director	1
* Mr. Satish Tandon	Member	Independent Director	1
Mr. Achyut Watve	Member	Independent Director	2
# Mr. Jayant Pendse	Member	Independent Director	1
Mrs. Sunita Kolte	Member	Executive Director	2

* Mr. Satish Tandon ceased to be a Director w.e.f. 2nd October, 2009.

Mr. Jayant Pendse was appointed as Director in Casual Vacancy w.e.f. 29th October, 2009.

b) Meetings

During the financial year 2009-10, the Committee meetings were held on 30th June, 2009, 31st July, 2009 and 29th January, 2010.

c) Shareholder / Investor Complaints status

The complaint status from the 1st April, 2009 up to 31st March, 2010 is as follows:

Number of complaints received	Number of complaints resolved	Number of complaints pending
66	66	NIL

REMUNERATION AND COMPENSATION COMMITTEE

Remuneration and Compensation Committee of the Board looks into the appointment, re-appointment, determination, fixation of the remuneration and revision in the remuneration payable to the existing Executive Directors of the Company, grant and allotment of stock options to the eligible employees, etc.

a) Composition of Remuneration and Compensation Committee

The following is the constitution of the committee:

Name of the Member	Designation	Category
# Mr. Jayant Pendse	Chairman	Independent Director
Mr. Manish Doshi	Member	Independent Director
Mr. G. L. Vishwanath	Member	Independent Director
Mr. Achyut Watve	Member	Independent Director
Mr. Milind Kolte	Member	Executive Director

Mr. Jayant Pendse was appointed as Chairman of Remuneration and Compensation Committee w.e.f. 29th October, 2009 in place of Mr. Satish Tandon who ceased to act as Director and Chairman of Remuneration and Compensation Committee w.e.f. 2nd October, 2009.

b) Meetings of Remuneration and Compensation Committee

During the financial year 2009-10, the meeting of Remuneration and Compensation Committee was held on 29th January, 2010.

c) Remuneration Policy

The remuneration policy of the Company is performance driven and in considering the remuneration payable to the Directors, the Remuneration and Compensation Committee considers the performance of the Company, the current trends in the industry, the experience of the appointee, their past performance and other relevant factors.

DETAILS OF THE ANNUAL GENERAL MEETINGS:

The details of previous three Annual General Meetings of the Company are as follows:

Financial Year	Date and Time	Venue	Special Resolutions passed
2006-07	4 th July, 2007 at 11 a.m.	2 nd Floor, City Point, Dhole Patil Road, Pune-411001	5
2007-08	30 th July, 2008 at 11.30 a.m.	Pudumjee Hall, Mahratta Chamber of Commerce, Industries and Agriculture (MCCIA), Tilak Road, Near Swargate, Pune- 411 002	—
2008-09	31 st July, 2009 at 12.30 p.m.	Maharatta Chamber of Commerce Industries & Agriculture, Sumant Moolgaonkar Auditorium, Ground Floor, A Wing, MCCIA Trade Tower, Senapati Bapat Road, Pune- 411016	1

During the financial year under review, no resolutions have been passed by Postal Ballot.

DISCLOSURES

a) Subsidiary Companies

The Company does not have a material non-listed Indian subsidiary whose turnover or net worth (i.e. paid up capital and free reserves) exceeds 20% of the consolidated turnover or net worth respectively, of the listed holding Company and its subsidiaries in the immediately preceding accounting year.

b) Insider Trading Code

The Company has adopted the Employee Share Dealing Code in terms of the SEBI (Prohibition of Insider Trading) Regulations 1992. This code is applicable to all Directors and designated employees. The code seeks to prevent dealing in Company's shares by persons having access to unpublished, price sensitive information.

The Company regularly monitors the transactions in terms of the Employee Share Dealing Code undertaken by the employees of the Company. The Company also informs the Stock Exchange(s) periodically about the transaction(s) undertaken by the designated employees and their shareholdings as per the regulations.

c) Materially Significant Related Party Transactions

All related party transactions form part of the notes to the balance sheet. Saving those, there were no materially significant related party transactions with its Promoters, Directors or its Management, their subsidiaries or relatives, etc. that had a potential conflict with the interest of the Company.

d) Accounting Treatment

No treatment different from that prescribed in an Accounting Standards has been followed by the Company.

e) Non-compliance/strictures/penalties

There was no instance of non-compliance by the Company on any matter related to capital markets and therefore, no penalties and/or strictures have been imposed on the Company by any Stock Exchange or SEBI or any statutory authority during the last three years.

f) Details of Utilization of IPO Proceeds

The Company came up with an IPO in December, 2007. The details of utilization of IPO proceeds up to 31st March, 2010 are as under:

(Rs. In '000)

Particulars	Current Quarter As on 31 st March, 2010	Previous Quarter As on 31 st December, 2009
Issue Proceeds	27,55,430	27,55,430
Utilization		
a. Payment towards IPO Expenses	2,19,530	2,19,530
b. Payment towards development and construction of Projects	227,803	177,743
c. Payment towards Land Purchases	19,39,041	18,89,041
Total Fund Utilized	23,86,374	22,86,314
Balance (Unutilized)	369,056	469,116

(Invested in Liquid Assets viz. Fixed Deposits and Mutual Funds)

g) Whistle Blower Mechanism

The Company seeks to maintain the highest ethical and business standards in the course of its business and has put in place mechanism of reporting illegal or unethical behavior. Directors, employees, vendors or customers may report violations of the laws, rules, regulations or unethical conducting in writing to the notified person. The report received from employees will be reviewed by the Audit Committee. The Directors and Management Personnel are obligated to maintain confidentiality of such reporting and ensure that the whistle blowers are not subjected to any discriminatory practices. No person has been denied access to the Audit Committee. A copy of the Whistle Blower Policy is also posted on the website of the Company - www.koltepatil.com

h) Adoption of Mandatory and Non-Mandatory Requirements

The Company has complied with all the mandatory requirements and has adopted the following non-mandatory requirements of Clause 49.

Whistle Blower Policy

The Company has adopted a Whistle Blower Policy to provide a mechanism for its Employees, Directors, Vendors or Customers to disclose any unethical and/or improper practice(s) taking place in the Company for appropriate action and reporting. This policy provides the necessary safeguards to all the whistle blowers for making disclosures in good faith. The disclosures can be made in writing to the Chairman of the Company or the Executive Directors. The Chairman of the Audit Committee is duly authorized to investigate/oversee any disclosures reported under this policy.

i) Code of Conduct

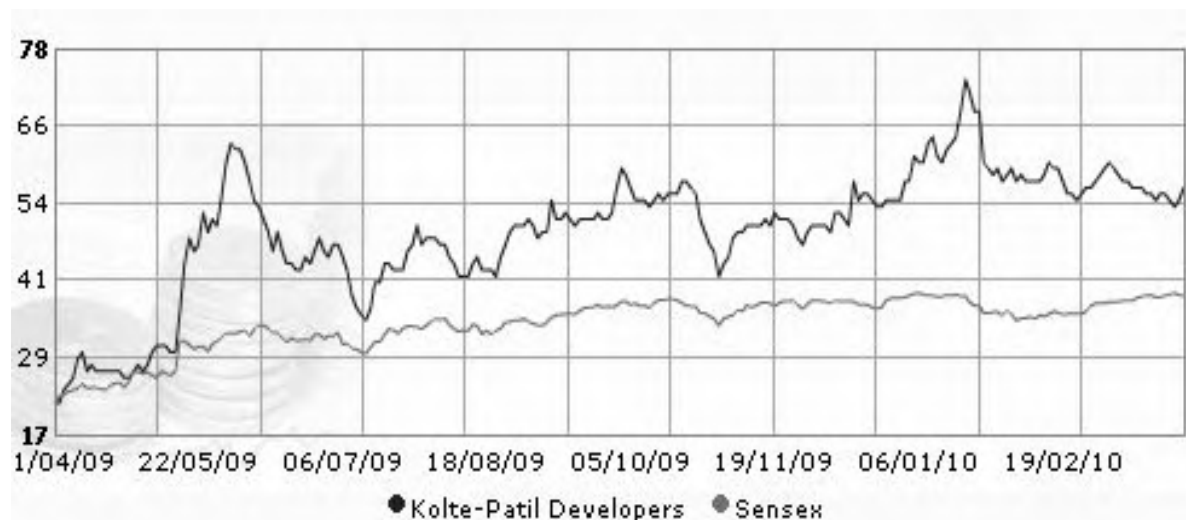
The Board of Directors of your Company have laid down its code of conduct and ethics for all Board Members and Senior Management Personnel of the Company and the same has been posted on the website of the Company. All Board Members and Senior Management Personnel have affirmed compliance with the code.

MEANS OF COMMUNICATION

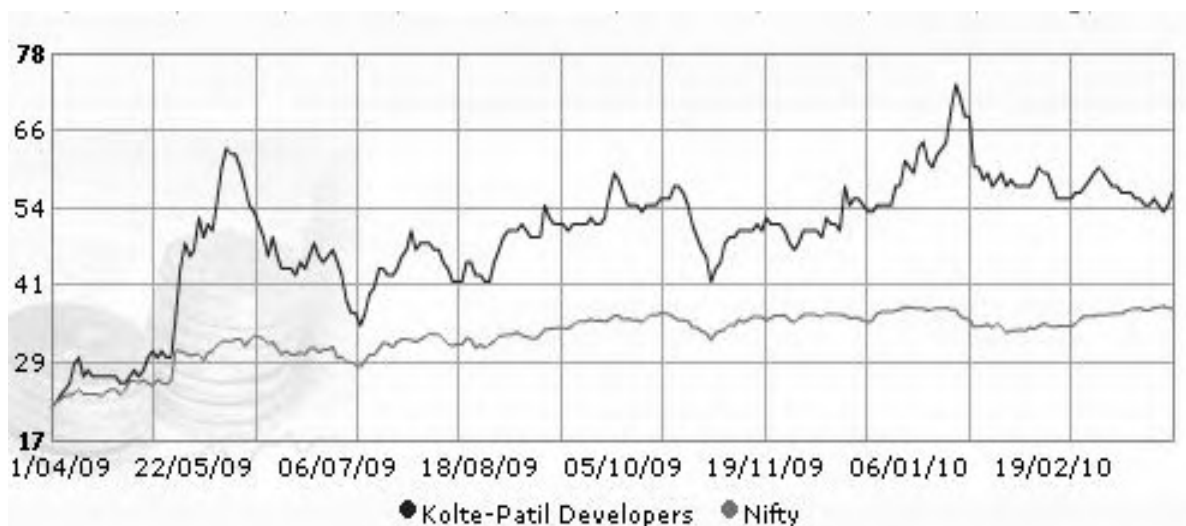
The quarterly, half yearly and annual results of the Company are published in leading newspapers in India which include Navashakti and Free Press Journal. The results are also displayed on Company's website www.koltepatil.com. The Management Discussion and Analysis Statement is part of the Company's Annual Report.

d) Performance in comparison to the Board-based Indices

Performance in comparison to BSE Sensex



Performance in comparison to NSE Nifty



e) Registrar & Share Transfer Agent and Share Transfer System

Bigshare Services Private Limited is the Registrar & Share Transfer Agent (RTA) of the Company in respect of the equity capital in demat and physical mode. They process share transfer and transmission on fortnightly basis. Their address is as follows:

Bigshare Services Private Limited,
Unit: Kolte Patil Developers Limited,
E/2, Ansa Industrial Estate, Sakivihar Road,
Sakinaka, Andheri (E), Mumbai - 400 072
Tel: +91-22-404 30 200
Fax: +91-22-28475207
Website: www.bigshareonline.com
E-Mail: info@bigshareonline.com

Our Registrar & Transfer Agent M/s Bigshare Services Private Limited recently launched Gen-Next Investor Module “**i’Boss**” the most advanced tool to interact with shareholders. Please login into “**i’Boss**” (www.bigshareonline.com) and help them to serve you better.

f) Distribution of Shareholding / Shareholding Pattern as on 31st March, 2010

i. The distribution of shareholding of the Company as on 31st March, 2010 is as follows:

Shareholding of nominal value	Total Holders	% of Total Holders	Total Holding	% of Total Capital
0001 - 5000	80,231	99.61	96,06,751	12.73
5001 - 10000	158	0.20	12,17,870	1.61
10001 - 20000	66	0.08	9,85,879	1.31
20001 - 30000	30	0.04	7,04,021	0.93
30001 - 40000	12	0.01	4,24,086	0.56
40001 - 50000	7	0.01	3,17,083	0.42
50001 - 100000	13	0.02	9,51,704	1.26
100001 - 999999999	27	0.03	6,12,73,860	81.18
TOTAL	80,544	100	7,54,81,254	100

ii. Shareholding pattern as on 31st March, 2010 is as follows

Category	No. of shares	Percentage (%)
Promoters (including Persons Acting In Concert)	5,62,50,000	74.52
Foreign Institutional Investors	26,26,882	3.48
Non-Resident Indians & Overseas Corporate Bodies	2,19,760	0.29
Mutual Funds, Financial Institutions and Insurance Companies	1,24,148	0.16
Bodies Corporate	39,97,651	5.30
Resident Indians	1,19,57,308	15.84
Clearing Members & Trusts	86,546	0.11
Employees	2,18,959	0.29
TOTAL	7,54,81,254	100.00

g) Dematerialization of shares and liquidity

On 17th December, 2007 the Company got listed on the Stock Exchanges with 100% dematerialized shares. The shares of your Company are under the compulsory demat settlement mode and can be traded only in the demat form. International Securities Identification Number (ISIN) allotted to the Company by NSDL and CDSL is INE094I01018.

Equity shares of the Company representing 99.99% of the Company share capital are dematerlised as on 31st March, 2010.

h) Outstanding GDRs/ ADRs/ Warrants or any Convertible Instruments, conversion date and likely impact on equity

The Company has not issued any GDRs/ ADRs/ Warrants or other instruments, which are pending for conversion.

i) Nomination :

Members can avail nomination facility. Blank nomination forms will be supplied on request.

j) Address of Correspondence

Vasant Gaikwad

Compliance Officer

Kolte-Patil Developers Limited

2nd Floor, City Point,

Dhole Patil Road,

Pune - 411001.

Tel No.: +9120 66226500

Fax No.: +9120 66226511

E-mail: investorrelation@koltepatil.com

Website : www.koltepatil.com

DECLARATIONS:

CEO / CFO Certification

As required by sub clause V of the Clause 49 of the Listing Agreement entered with the Stock Exchanges, we have certified to the board that for the financial year ended 31st March, 2010, the Company has complied with the requirements of the said sub clause.

For Kolte-Patil Developers Limited

For Kolte-Patil Developers Limited

Rajesh Patil

Chairman and Managing Director

Date: May 28, 2010

Vasant Gaikwad

Chief Financial Officer

Date: May 28, 2010

Compliance with Code of Business Conduct and Ethics

As provided under Clause 49 of the Listing Agreement entered with the Stock Exchanges, the Board Members and the Senior Management Personnel have confirmed compliance with the Code of Conduct and Ethics for the financial year ended 31st March 2010.

For Kolte-Patil Developers Limited

Rajesh Patil

Chairman and Managing Director

Date: May 28, 2010

Auditors' Certificate

To,

The Members of Kolte-Patil Developers Limited,

We have examined the compliance of conditions of corporate governance, by Kolte-Patil Developers Limited, for the year ended 31st March, 2010 as stipulated in Clause 49 of the Listing Agreement of the said Company with Stock Exchanges.

The compliance of conditions of corporate governance is the responsibility of the management. Our examination was limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of the corporate governance. It is neither an audit nor an expression of opinion on the financial statement of the Company.

In our opinion and to the best of our information and according to the explanations given to us, we certify that the Company has complied with the conditions of corporate governance as stipulated in the above mentioned Listing Agreement.

We state that as the records maintained, no investor grievances against the Company are pending for a period exceeding one month before the Shareholders/ Investors Grievance Committee.

We further state that such compliance is neither an assurance as to the future viability of the Company nor efficiency or effectiveness with which the Management has conducted the affairs of the Company.

For S.V.Deulkar & Co.
Company Secretaries

Pune
Dated May 28, 2010

S. V. Deulkar
Proprietor
F.C.S. 1321 C.P. No. 965

MANAGEMENT DISCUSSION AND ANALYSIS

Economic Overview:

The fiscal year 2009-2010 started as a challenging one. Indian economy experienced significant slowdown in the growth rate in the second half of 2008-2009 as a result of the financial crisis that began in the developed nations in 2007 and spread to the economies across the world. After experiencing a distinct moderation in growth at 6.7 per cent in 2008-09, an apprehension took over that, this trend would persist for some duration. However, the Indian economy recovered in 2009-10 with a growth of 7.2 per cent (as per Central Statistical Organization (CSO) advance estimates). The Index of Industrial Production (IIP) has shown double digit growth in recent months. Lead indicators for service activities point to overall improvement since the third quarter of 2009-10. Corporate sales growth witnessed major rebound in the third quarter of 2009-10. Exports recovered from 12 months of consecutive decline and posted an average growth of 20.5 per cent during November 2009-February 2010. Imports also turned around and exhibited an average growth of about 43.0 per cent during December 2009-February 2010, mirroring the impact of strong recovery in growth. However, a prolonged and widespread current debt crisis in Europe could have a substantial adverse impact on the Indian economy.

Developments in Real Estate Industry:

Asian markets, which were resilient to the global economic downturn, continue to offer lucrative opportunities that will drive the growth. As a result of economic stabilization, property markets in India began to show signs of revival in the later part of the year. However, because of the oversupply in some of the micro markets and the high inventory of quite a few developers, neither volumes nor price saw any significant appreciation during the year. The residential market, which had seen a decrease in demand in 2008, saw a revival of interest from homebuyers, as a result of economic recovery, job security and lower interest rates on home loans. The residential segment has stronger fundamentals and is propelled by domestic demand, not really depending on the external demand. Developers began to focus on affordable as well as mid-income housing segment, where there was a potential demand. Developers have now come up with right size product at a right price, tailored to the requirement of the mid income group (MIG) segment. Quite a few launches, in particular in affordable segment and MIG, received a good response from home buyers. Also there seems to be a good demand for luxurious housing projects in some specific locations. The success of the projects will depend on the developer's ability to meet their commitment to provide houses at the promised price and on scheduled time. Many developers have now focused on strengthening their execution capability and taken strategic initiatives in order to ensure efficient execution of the projects. Also by looking at the recovery of the real estate scenario, many private equity funds have started looking at investment opportunities in the residential sector. Integrated townships and Urban Infrastructure development is also attracting the developers which involves huge planned investments for a longer duration. Integrated Township and Urban Infrastructure Development are likely to reduce the pressure on the existing infrastructure of Indian cities.

Opportunities & Risks:

Opportunities:

- **MIG Housing:**

As a result of revival of Indian economy and job security; homebuyers have now started showing interest in property. There is good potential in terms of demand for mid-income housing. Developers are also now more cognizant of affordability and are reducing unit sizes and the scale of amenities in order to reach out to the sizeable middle income consumer segment.

- **Integrated Townships:**

Integrated townships are today's real estate mantra. Townships are gaining significant importance as it improves qualitative living and social integration. Integrated townships include all the necessary facilities i.e. school, hospital, resorts, cafes, multiplexes, shopping centers, transportation service in the same campus, thus offering convenience to the residents and the workforce within it. We have proposed to develop one township on approximately 400 Acres of land at Jambhe, near Hinjewadi, which is in planning process.

- **Redevelopment of Societies:**

Locations in the old PMC limits are very prime and thus valued at very high cost; however there is a shortage of land in the old PMC limits. Considering the tremendous pace of growth of Pune City, it is the need of today to redevelop the old societies which are located in old PMC limits. Redevelopment of the existing societies is a win-win situation for both; residents of the society as well as the developer. It offers benefit to the residents of the existing societies in terms of better amenities and improved quality of living but from developer's perspective also, it is beneficial as the developer need not invest huge amount in land but invests only in construction cost and sells the product at the current market price. Moreover, the developer can utilize current PMC rules, get more FSI & TDR, if applicable, thereby increasing saleable area of the development.

- **Opportunities in School:**

The recent global economic crisis and real estate slowdown has necessitated change in the business models. Education infrastructure is an emerging asset class, favored by many investors and developers. In this decade, education has seen tremendous growth and has been one of the few sectors not adversely affected by the downturn. As it is well known, Pune is called "the Oxford of the East"; hence many well reputed schools are eager to set up their school campus in Pune. It offers a very good opportunity for the developer to enter into a strategic tie-up with these schools in terms of various business models.

- **Infrastructure:**

India is rapidly emerging as "a land of opportunities" for the Infrastructure sector. Today it has become a favorable investment destination. Many of the MNCs are setting up their facilities in India. Indian companies are also ambitious about expansion plans in future. Looking at the growth pace of Indian cities, it is necessary to create an infrastructure to sustain this economic growth. In the union budget 2010-2011, considerable amounts have been allocated towards infrastructure, urban development and education.

- **Hospital:**

The market for services in hospitals in India has shown immense potential for growth over the last few years. The market has attracted many investors from across the world on the back of economy growth, growing population and infrastructure development. Government has offered five year income tax benefits to run the hospitals in some of the non-metro cities including Pune.

Risks:

- **Increase in interest rates:** RBI has introduced hike in Cash Reserve Ratio (CRR) as well as policy rates (repo & reverse repo rate). As a result of this, Banks might increase the home loan interest rates in future which might affect the demand for housing.
- **Prices of residential flats are likely to go up in a couple of months, notwithstanding the recent relaxation in the service tax.** The latest Union Budget had imposed a 3% service tax on builders, while the state would impose VAT of 1% (in some states including Maharashtra) on a flat's price.
- **Availability of Suitable Land parcels:** Scarcity of land and increase in demand for residential and commercial properties leads to escalation in land prices. This is likely to have an adverse impact on operations.
- **Surge in cost:** Profit margins in the real estate sector could be adversely affected due to increase in cost of core raw materials like steel, cement, etc. as well as additional burden of excise tariff. Post recession, construction activity has increased considerably; however, scarcity of quality labor might delay project execution.
- **Delay in the project execution:** The big challenge in this volatile property market is to deliver projects within schedules and budget constraints. If developers do not get attractive price for projects, margins will be squeezed due to increase in input costs and cost of delay. Therefore, developers must increase their execution capability.

Pune: Market Overview:

Currently, Pune's residential market can be divided into 5 zones. The North and North- Western Zone, the West and South-Western Zone, the South and South-Eastern Zone, the East and North-Eastern Zone and the Central Zone. North-western locations are close to the Mumbai-Bangalore Highway. In the eastern and southern part of the city, locations like Kharadi, Hadapsar, Vimannagar, NIBM have witnessed substantial growth. Pune will witness

large amount of infusion of residential space in near future. Main commercial drivers in Pune include, IT/ITES industry, engineering and automobile industry. Pune's residential market has witnessed increased activity in the past few years. The increasing importance of the city, coupled with the initiation of several infrastructure projects, is expected to further increase residential development in the city.

Bengaluru Market Overview:

The residential market in Bengaluru is currently stabilising. Most of the projected supply would be a result of the spillover from earlier residential developments. Bengaluru is residential market can be divided into the following zones namely the CBD (Central Business District), Bengaluru North, Bengaluru South, Bengaluru East and Bengaluru West. The CBD represents the most prime locations in the city. This zone is largely saturated. Majority of the demand in this zone is from the high income segment. Bengaluru West comprises of well established old residential pockets in the city. Bengaluru North is the zone where most residential development activity is being focused. The residential demand for this zone is primarily from investors. Bengaluru South and Bengaluru East are the fastest developing zones in the city. The high population density in these zones is because of the presence of IT hubs in these locations. The residential market of Bengaluru has witnessed growing activity in the past few years. Major emerging residential markets are located towards the eastern and southern parts of the city.

Segment wise and product wise performance:

Kolte-Patil Developers Limited is one of the most reputed, professionally managed, established construction groups in Pune. The Company has a reputation for quality, uniqueness in design and transparency. Incorporated initially as a private limited company in 1991, the Company is primarily focused on the development of residential projects, commercial projects, IT parks, integrated townships and hospitality projects mainly in Pune and Bengaluru. Till 31st March, 2010, the Company has completed 34 projects including 31 in Pune and 3 in Bengaluru. This includes 20 residential complexes, 7 commercial complexes, 3 commercial cum residential use and 4 IT parks.

Outlook:

There were early signs of real estate revival last year following considerable price correction. Consequently, prices stabilized leading to substantial improvement in sales. The Indian economy is expected to strengthen further as the professional forecasters' survey of the Reserve Bank of India (RBI) suggests an overall (median) GDP growth of 8.2 per cent for 2010-11. Inflationary pressures may remain at the top of the agenda for India in 2010, along with sustained economic growth. To control the inflation, RBI has already raised Cash Reserve Ratio (CRR). In a gradually recovering economic scenario, backed by revival in investment and private consumption demand, India's real estate sector is anticipated to witness an increase in business activities. A slower corporate/economic recovery process in the real estate sector can instead ensure a sustained growth phase in the months ahead. Leasing activities in commercial and retail markets are likely to take more time to recover. Residential segment has already begun to move towards turnaround. Majority of the investors are keen on investing in residential properties, believing that the prices will increase in the next few months. The year 2010 is expected to be stronger year for real estate investment.

Risks and Concerns:

Economic Risk:

Any slowdown in the global and/or Indian economy could adversely affect our business.

Geographical Risk:

We are currently geographically concentrated and our projects portfolio is relatively concentrated in and around Pune. Any adverse events in and around Pune, can make our projects economically less beneficial. As a result of which our business, financial condition and results of operations could be adversely affected.

We undertake some of our projects in joint ventures with third parties, which entail certain risks.

At present, some of our projects are developed through joint ventures with real estate development funds. To the extent of any liability or losses incurred by a joint venture resulting from the realization of any of the risks, our share of the liability or losses incurred would be proportionate to our equity interest in the relevant joint venture. Further, there are some risks peculiar to Joint Ventures like joint venture partners failing to meet their financial obligations, breach of obligations under the joint venture agreement, joint venture partners having business interests or goals that are inconsistent with our business interests or goals. All these risks may affect the performance of the Company.

We may not be able to acquire or register all or any of the lands for which we have entered into agreements to sell or MOUs.

We enter into agreements to sell or MOUs prior to acquiring any property. We cannot assure that we will be successful in acquiring them or that we will be successful in registering them in our name or the name of one of our subsidiaries. We may not be able to keep our MOUs with the land owners alive.

Terrorist attacks, civil unrest and other acts of violence or war

Terrorist attacks and other acts of violence or war may negatively affect the Indian markets. These acts may also result in a loss of business confidence, make travel and other services more difficult and ultimately adversely affect our business. It is possible that future civil unrest as well as other adverse social, economic and political events in India could have a negative impact on the performance of the Company.

Natural calamities could have a negative impact on the Indian economy and cause our business to suffer.

Internal control systems and their adequacy:

The Company has internal control systems, which are adequate, considering the size and nature of its operations. From time to time, the Company is increasing the scope of internal auditors to improve efficiency and introducing greater controls over various aspects of the Company's procedures and systems. The Company is also utilizing new techniques and data systems for its management information systems. The internal control system is supplemented by extensive internal audits, regular reviews by management and standard policies and guidelines to ensure the reliability of financial and all other records. The Company has also implemented ERP system to have better internal control over the system.

Financial and Operational Performance (Consolidated)

Income: The Company recorded total income of Rs. 10,82,524 thousands as compared to Rs. 23,58,088 thousands for the previous year, a down by 54.09%.

EBIDTA: The Company's EBIDTA stood at Rs. 467,472 thousands against Rs. 11,97,416 thousands in 2008-09, and decrease by 60.96%.

PAT: The Profit After Tax (PAT) of the Company has decreased from Rs. 713, 607 thousands in 2008-09 to Rs. 309,959 thousands in 2009-10 and the decrease by 56.56%.

Material developments in Human Resources:

The Company appreciates its human capital and believes that its employees are one of the key elements to its business success. The Company believes in continuous learning process and hence focuses towards streamlining existing processes and systems for better productivity. Our workforce consists of (i) Our permanent employees (ii) Consultants who are engaged by us on a contractual basis and (iii) Contractors who are engaged by us on a contractual basis and who employ laborers to work on project sites. As of March 31, 2010, the Company had 358 permanent employees working at its several sites, Bengaluru Office and corporate office at Pune and previous year employees were 326. With a comprehensive implementation of Performance Management System in place, the Company has a performance-based incentive program and boasts of a benchmarking compensation structure matching up to the best in the industry. To support the business requirements, we have also in place rigorous recruitment & selection procedure which ensures the BEST fit for current Business needs. To ensure Corporate Social Responsibility, we have GPA policy and mediclaim policy for our employees and also workmen compensation policy for contractor's employees. As a part of good Corporate Governance, we strictly adhere to the corporate and labour law compliances. Our employees have helped raise the performance bar in professionalism, opportunity, responsibility, belongingness and accomplishment.

Cautionary Statement:

In the case of data and information external to the Company, no representation is made on its accuracy or comprehensiveness though the same are based on sources believed to be reliable. Statements in the Management Discussion and Analysis describing the Company's objectives, projections, estimates, expectations may be "forward looking statements" within the meaning of applicable securities, laws and regulations. Actual results could differ materially from those expressed or implied. Important factors that could influence the Company's operations include economic developments within and/or outside the country, demand and supply conditions in the market, input prices, changes in Government regulations, tax laws and other factors such as litigation and industrial relations, etc. over which the Company does not have any direct control.

Auditors' Report on Financial Statements

To,
The Members of **Kolte-Patil Developers Limited**

We have audited the attached Balance sheet of **KOLTE-PATIL DEVELOPERS LIMITED** as at **31st March, 2010** and the Profit and Loss Account and also the Cash Flow Statement of the Company for the period ended on that date annexed thereto (all together referred) to the Financial Statement. These Financial Statements are the responsibility of the Company's Management. Our responsibility is to express an opinion on these Financial Statements based on our audit.

We conducted our audit in accordance with auditing standard generally accepted in India. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the Financial Statements are free of material misstatement. Our audit includes examining on test basis, evidence supporting the amount and disclosure in the Financial Statement. Our audit also includes assessing the accounting principles used and significant estimates made by Management, as well as evaluating the overall Financial Statement presentation. We believe that our audit provides a reasonable basis for our opinion.

As required by the Companies (Auditor's Report) Order, 2003 issued by the Central Government of India in terms of Sub-Section (4A) of Section 227 of the Companies Act, 1956 and according to the information and explanation given to us during the course of the audit and on the basis of such checks as we considered appropriate, we have enclosed in the Annexure a Statement on the matters specified in the Paragraphs 4 and 5 of the said order, to the extent applicable to the Company.

Further to our comments in Annexure referred to in paragraph above, we report that:

- i. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of audit;
- ii. In our opinion, proper books of accounts as required by law have been kept by the Company, so far as appears from our examination of those books;
- iii. The Balance Sheet and Profit and Loss account and Cash Flow Statement dealt with by this report are in agreement with the books of accounts ;
- iv. In our opinion, the Balance Sheet and Profit and Loss Account and Cash Flow Statement dealt with by this report comply with the accounting standard referred to in sub-section (3C) of Section 211 of the Companies Act. 1956.
- v. On the basis of written representation received from the Directors, as on 31st March, 2010 and taken on record by the Board of Directors, we report that none of the director is disqualified as on 31st March, 2010 from being appointed as director in terms of clause (g) of sub section (1) of Section 274 of the Companies Act, 1956 ;
- vi. In our opinion and to the best of our information and according to explanation given to us, the accounts read with notes thereon give the information required by the Companies Act, 1956, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India :
 - a) In case of the Balance Sheet, of the state of the Company's affairs as at 31st March, 2010; and
 - b) In case of the Profit and Loss Account of the profit of the Company for the period ended on that date.
 - c) In the case of Cash Flow Statement, Cash flow of the Company for the period ended on that date.

For S P C M and Associates

(Formerly Known as Bora Kasat and Co.)

Chartered Accountants

Firm Registration No. 112165W

CA Suhas P. Bora

Partner

M. No. 039765

Place : Pune

Date : May 28, 2010

ANNEXURE TO THE AUDITOR'S REPORT

ANNEXURE REFERRED TO IN PARAGRAPH 1 OF OUR REPORT OF EVEN DATE AND IN TERMS OF THE EXPLANATIONS AND THE INFORMATION GIVEN TO US AND ON THE BASIS OF SUCH CHECKS AS WE CONSIDERED APPROPRIATE, WE FURTHER STATE THAT:

1. In our opinion and according to the information and explanation given to us, the nature of Company's business/activities during the year is such that the requirements of clauses (xiii) and (xiv) of paragraph 4 of the Companies (Auditor's Report) Order, 2003 are not applicable to the Company.
2. In respect of Fixed Assets
 - a. The Company has maintained proper records showing full particulars including quantitative details and situation of Fixed Assets.
 - b. As explained to us, the fixed assets have been physically verified by the Management during the year in a phased periodical manner, which in our opinion is reasonable having regard to the size of the Company and nature of its assets. No material discrepancies were noticed on such physical verification.
 - c. Although some of the fixed assets have been sold / disposed off during the year, in our opinion and according to the information and explanation given to us, the ability of the Company to continue as a going concern is not affected.
 - d. None of the Fixed Assets have been revalued during the year.
3. In respect of Inventories
 - a. As explained to us, an inventory of major items of building materials and stores has been physically verified by the Management at reasonable intervals during the year. In our opinion, the frequency of such verification is reasonable.
 - b. In our opinion and on the basis of the information and explanations given to us, the procedures for physical verification of inventory followed by the Management are reasonable and adequate in relation to the size of the Company and the nature of its business.
 - c. The Company has maintained proper records of inventory. Verification of inventory is being conducted in a phased program by the Management designed to cover all inventory, which in our opinion is reasonable having regard to the size and the nature of the Company. The discrepancies noticed on such verification were not material and have been properly dealt with in the books of accounts.
 - d. The valuation of stocks is fair and proper and in accordance with the normally accepted accounting principles and is on the same basis as in the preceding year.
4. a. According to information and explanation given to us, the Company has taken unsecured loan from parties covered in the register maintained under Section 301 of the Companies Act, 1956. The maximum amount involved during the year was Rs. 54,000 thousands and the yearend balance of loan taken from such parties is Rs. 54,000 thousands.

The Company has granted advances/loans to parties and to Subsidiary Companies in the register maintained under Section 301 of the Companies Act, 1956. The maximum amount involved during the year was Rs. 1,829,702 thousand and the year end balance of advances/loans is Rs. 1,411,927 thousands.

 - b. In our opinion, the rate of interest and other terms and conditions on which loan has been taken from each party listed in the register maintain under Section 301 of the Companies Act, 1956 are not prima facie, prejudicial to the interest of the Company. The advances given by the Company to Wholly Owned Subsidiary Companies and other group Companies are interest free and the other terms and conditions on which advance has been given are not prima facie, prejudicial to the interest of the Company.
 - c. The Company is regular in repaying the payment of interest in respect of loan taken by the Company. In respect of advances given to Wholly Owned Subsidiary and other group Companies; the advances are interest free and repayable on demand.
 - d. In respect of advances given to employees, Wholly Owned Subsidiary and other group Companies, these are repayable on demand and therefore the question of overdue amount does not arise.
5. In our opinion and according to the information and explanation given to us, there are adequate internal control procedures commensurating with the size of the Company and nature of its business with regard to purchase of construction material, fixed assets and with regard to the sale of units. During the course of our audit, we have not observed any continuing failure to correct major weaknesses in internal controls.
6. In our opinion and according to the information and explanations given to us, the transactions that needed to be entered in the Register in pursuance of Section 301 of the Companies Act, 1956 have been entered. In our opinion and according to the information and explanations given to us, there are transactions made

in pursuance of contracts or arrangements entered in the register maintained under Section 301 of the Companies Act, 1956 have been made at prices which are reasonable having regard to the prevailing market prices at the relevant time.

7. In our opinion and according to the information and explanations given to us, the Company has complied with the provisions of Section 58A and Section 58AA and other relevant provisions of the Companies Act, 1956 and the Companies (Acceptance of Deposits) Rules, 1975 with regard to the deposits accepted from public and no order has been passed by Company Law Board or National Company Law Tribunal or Reserve Bank of India or any court or any other Tribunal.
8. In our opinion, the Company has an internal audit system commensurate with its size and the nature of its business.
9. The Central Government has not prescribed maintenance of cost records under Section 209(1) (a) of The Companies Act, 1956 for any of the operations of the Company.
10. The Company is regular in depositing with appropriate authorities undisputed statutory dues including Provident Fund, Employees' State Insurance, Income Tax and other material statutory dues applicable to it. According to the information and explanations given to us, no undisputed amounts payable in respect of Wealth Tax, Income Tax and Sales Tax were outstanding as on 31st March, 2010 for a period more than six months from the date they became payable.
11. The Company does not have any accumulated losses at the end of financial year and has not incurred cash losses in the financial year and in the immediately preceding financial year accordingly, paragraph 4 (x) of the Order is not applicable.
12. According to the information and explanation given to us and based on our observations during the audit, the Company has not defaulted in repayment of dues to any financial institution or bank.
13. The Company has not granted any loans and advances on the basis of security by way of pledge of shares, debentures and other securities. Accordingly, paragraph 4 (xii) of the Order is not applicable.
14. According to the information and explanations given to us and the representations made by the management, the Company has given guarantee for loan taken by other group companies, from bank. However, as one of the businesses of the Company is to promote the companies and also considering the long term involvement with those companies, the guarantee has not been considered *prima facie*, prejudicial to the interest of the Company.
15. According to the information and explanations given to us and representations made by the management, term loans have been applied for the purpose for which they were raised.
16. According to the information and explanations given to us and on an overall examination of the balance sheet of the Company, we report that no funds raised on short-term basis have been used for long-term investment.
17. According to the information and explanation given to us, the Company has not made preferential allotment of shares to parties and Companies covered in the Register maintained under Section 301 of The Companies Act, 1956 and therefore provisions of clause 4 (xviii) of the order are not applicable to the Company.
18. The Company has neither issued any debentures during the year nor any debentures outstanding at the beginning of the year. Accordingly the provisions of Clause (xix) of the Paragraph 4 of the Companies (Auditor's Report) Order, 2003 are not applicable to the Company.
19. We have verified the end use of money raised by way of Public Issue as disclosed in the note no.25 of Notes to Accounts.
20. Based upon audit procedure performed for the purpose of reporting true and fair view of financial statements and as per the information and explanations given by Management, which have been relied upon by us, we report that no fraud on or by the Company has been noticed or reported during the course of audit.

For S P C M and Associates

(Formerly Known as Bora Kasat and Co.)

Chartered Accountants

Firm Registration No. 112165W

CA Suhas P. Bora

Partner

M. No. 039765

Place : Pune

Date : May 28, 2010

BALANCE SHEET AT 31ST MARCH, 2010

Particulars	Schedule	(Rs. In '000)	
		As At 31 st March, 2010	As At 31 st March, 2009
<u>SOURCES OF FUNDS</u>			
SHAREHOLDERS' FUND			
a) Share Capital	1	754,813	753,711
b) Reserves & Surplus	2	5,896,730	5,706,181
Loan Funds			
a) Secured Loans	3	461,071	800,294
b) Unsecured Loans	4	69,800	54,000
	Total	7,182,414	7,314,186
<u>APPLICATION OF FUNDS</u>			
Fixed Assets	5		
a) Gross Block		136,962	136,483
b) Less : Depreciation		39,406	29,609
c) Net Block		97,556	106,874
Investments	6	4,479,878	3,568,904
Current Assets, Loans and Advances			
a) Inventories	7	1,881,358	1,657,439
b) Sundry Debtors	8	359,420	372,039
c) Cash and Bank Balances	9	104,813	999,202
d) Other Current Assets	10	181,564	369,564
e) Loans and Advances	11	1,723,600	1,852,578
		4,250,755	5,250,822
Less: Current Liabilities and Provisions			
a) Current liabilities	12	563,005	578,463
b) Provisions	13	1,086,692	1,037,870
		1,649,697	1,616,333
Net Current Assets		2,601,058	3,634,489
Miscellaneous Expenses (To the extent not written off)	14	1,036	2,072
Deffered Tax Asset		2,886	1,848
	Total	7,182,414	7,314,186
Significant Accounting Policies & Notes to Accounts	23		

**AS PER OUR REPORT OF EVEN DATE ATTACHED
FOR S P C M & ASSOCIATES**

(Formerly known as Bora Kasat & Co.)
Chartered Accountants
F.R.N. 112165W

CA Suhas P. Bora
Partner
M. No. 39765

Place : Pune
Date : May 28, 2010

FOR AND ON BEHALF OF THE BOARD

Rajesh Patil
Chairman &
Managing Director

Naresh Patil
Joint
Managing Director

Milind Kolte
Executive Director

Sunita Kolte
Executive Director

Manish Doshi
Director

Achyut Watve
Director

G.L. Vishwanath
Director

Jayant G. Pendse
Director

Vasant Gaikwad
Chief Financial Officer

Place : Bangalore
Date : May 28, 2010

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2010

(Rs. In '000)

Particulars	Schedule	As At 31 st March, 2010	As At 31 st March, 2009
INCOME			
Sales	15	600,627	1,414,036
Other Operating Income	16	257,697	85,734
Other Income	17	43,871	496,644
Total		902,195	1,996,414
EXPENDITURE			
Cost of Construction	18	275,460	602,477
Employee Cost	19	85,797	112,482
General and Administration Expenses	20	109,597	120,615
Selling Expenses	21	23,815	33,599
Finance Charges	22	63,929	70,948
Depreciation	5	11,271	10,401
Preliminary Expenses written off	14	1,036	1,036
Total		570,905	951,558
Profit / (Loss) before tax		331,290	1,044,856
Less : Tax Expenses			
Current Tax		55,000	332,000
Wealth Tax		-	206
Provision for Tax for prior period		-	1,637
Deferred Tax		(1,039)	1,458
Fringe Benefit Tax		-	2,754
Total		53,961	338,055
Add / (Less) : Prior Period Item		(549)	152,456
Profit / (Loss) after tax		276,780	859,257
Add : Profit / (Loss) brought forward from last year		2,465,402	1,724,887
Add / (Less) : Taxation in firm		(765)	(12,893)
Profit available for appropriation		2,741,417	2,571,251
Less : Appropriations			
Proposed Final Dividend		75,633	75,371
Tax on Proposed Dividend		12,854	12,809
Transfer to General Reserve		18,000	17,670
Profit & Loss carried to Balance Sheet		2,634,930	2,465,401
Significant Accounting Policies & Notes to Accounts	23		

AS PER OUR REPORT OF EVEN DATE ATTACHED FOR S P C M & ASSOCIATES

(Formerly known as Bora Kasat & Co.)
Chartered Accountants
F.R.N. 112165W

CA Suhas P. Bora
Partner
M. No. 39765

Place : Pune
Date : May 28, 2010

FOR AND ON BEHALF OF THE BOARD

Rajesh Patil
Chairman &
Managing Director

Naresh Patil
Joint
Managing Director

Milind Kolte
Executive Director

Sunita Kolte
Executive Director

Manish Doshi
Director

Achyut Watve
Director

G.L. Vishwanath
Director

Jayant G. Pendse
Director

Vasant Gaikwad
Chief Financial Officer

Place : Bangalore
Date : May 28, 2010

CASH FLOW STATEMENT FOR THE YEAR ENDED 31ST MARCH, 2010

(Rs. In '000)

PARTICULARS	2009-10	2008-09
Cash flow from Operating activities		
Net Profit before taxation and extraordinary items	331,289	1,044,855
Adjustments for :-		
Depreciation	11,271	10,401
Foreign Exchange loss	-	(607)
Share of Profit in Firms	(201,452)	(36,858)
Loss on sale of Fixed Asset	910	541
Liabilities Written back	248	-
Amount Written Off	150	-
Interest on Debentures	(21,268)	-
Dividend income	(14,979)	(66,177)
Interest expenses	63,929	70,948
Profit on sale of Fixed Asset	(33)	-
Capital Gain on Sale of Shares	(112)	(423,291)
Preliminary Expenses Written Off	1,036	1,036
Sundry creditors/ Debtors written back	(1,078)	(2,298)
Operating profit before working capital changes	169,911	598,550
Decrease/(Increase) in Debtors	12,620	(186,703)
Decrease/(Increase) in Inventories	(223,919)	102,522
Decrease/(Increase) in Other Current Assets	379,980	(750,575)
Increase/(Decrease) in Current Liabilities	(15,458)	(739,784)
Cash generated from Operations	323,134	(975,990)
Income tax paid	(75,220)	(31,172)
Fringe Benefit Tax	(693)	(2,754)
Cash flow before extraordinary items	247,220	(1,009,916)
Extraordinary items, if any	-	-
Net cash from operating activities	247,220	(1,009,916)
Cash flows from Investing activities		
Decrease/(Increase) in Fixed Assets	(565)	(15,115)
Capital Gain on Sale of Shares	112	423,291
Share of profit from Firms	201,452	36,858
Decrease/(Increase) in Investments	(910,974)	1,505,711
Dividend Received	14,979	66,177
Sale of Fixed Assets	2,134	2,961
Interest on Debentures Received	21,268	-
Sundry Creditors/ Debtors written back	1,078	2,298
Profit on Sale of Fixed Assets	33	-
Net cash from Investing activities	(670,483)	2,022,181
Cash flows from Financing activities		
Proceeds from issuance of share capital	1,101	611
Proceeds from share Premium	3,304	1,832
Increase/(Decrease) in Secured Loans	(339,223)	13,806
Increase/(Decrease) in Unsecured Loans	15,801	-
Interest paid	(63,929)	(70,948)
Dividend paid	(75,371)	(131,915)
Tax On Dividend	(12,809)	(22,416)
Net cash used in financing activities	(471,126)	(209,030)
Net increase in cash & Cash equivalents	(894,389)	803,235
Cash and cash equivalents at the beginning of period	999,202	195,967
Cash and cash equivalents at end of period	104,813	999,202

**AS PER OUR REPORT OF EVEN DATE ATTACHED
FOR S P C M & ASSOCIATES**

(Formerly known as Bora Kasat & Co.)
Chartered Accountants
F.R.N. 112165W

CA Suhas P. Bora
Partner
M. No. 39765

Place : Pune
Date : May 28, 2010

FOR AND ON BEHALF OF THE BOARD

Rajesh Patil
Chairman &
Managing Director

Naresh Patil
Joint
Managing Director

Milind Kolte
Executive Director

Sunita Kolte
Executive Director

Manish Doshi
Director

Achyut Watve
Director

G.L. Vishwanath
Director

Jayant G. Pendse
Director

Vasant Gaikwad
Chief Financial Officer

Place : Bangalore
Date : May 28, 2010

SCHEDULES FORMING PART OF BALANCE SHEET

(Rs. In '000)

PARTICULARS	As At 31 st March, 2010	As At 31 st March, 2009
1. SHARE CAPITAL		
Authorised		
8,00,00,000 (8,00,00,000) Equity Shares of Rs. 10/ each	800,000	800,000
Issued, Subscribed and Paid up		
7,54,81,254 (7,53,71,110) Equity shares of Rs. 10/- each fully paid up (Of the above shares Nil (Previous Year 2,19,02,252) shares are allotted as fully paid by way of bonus shares by capitalisation of general reserve)	754,813	753,711
Total	754,813	753,711
2. RESERVES & SURPLUS		
1. General Reserve		
Opening Balance	146,331	128,661
Add : Transferred from P & L A/c	18,000	17,670
Less: Capitalised on issue of bonus shares		
Closing Balance	164,331	146,331
2. Securities Premium Account	-	-
Opening Balance	3,093,842	3,092,010
Add : During The Year	3,304	1,832
Closing Balance	3,097,147	3,093,842
3. Profit & Loss Account	2,634,930	2,465,401
4. Foreign Currency Translation Reserve	322	607
Total	5,896,730	5,706,181
3. SECURED LOANS		
1. Working Capital Loans from Banks (Secured by Hypothecation of Stocks of Materials & Guranteed by Executive Director)	268,932	438,013
2. Term Loan from Bank (See Note No. 09)	189,368	354,086
3. Vehicle Loan from Bank	2,771	8,195
Total	461,071	800,294
4. UNSECURED LOANS		
1. Loan - Unsecured	54,000	54,000
2. Public Deposit	15,800	-
Total	69,800	54,000

SCHEDULES FORMING PART OF BALANCE SHEET

SCHEDULE 5 - FIXED ASSETS

(Rs. In '000)

SR. NO.	PARTICULARS	GROSS BLOCK			DEPRECIATION				NET BLOCK	
		As on 01.04.2009	Addition	Sales	As on 31.03.2010	Up to 01.04.2009	Ded. During the Period	01.04.2009 to 31.03.2010	Total Up to 31.03.2010	As At 31.03.2010 As At 31.03.2009
1	BUILDING	18,669	-	-	18,669	734		304	1,039	17,631 17,935
2	FURNITURE & FIXTURES	11,253	-	469	10,784	2,211	9	790	2,993	7,791 9048
3	PLANT & MACHINERY :	16,081	186	178	16,089	2,684	5	1,152	3,831	12,258 13,402
4	VEHICLE :									
i	MOTOR CARS	54,958	-	3,797	51,161	18,139	1,519	4,849	21,553	29,608 36839
ii	TWO WHEELER & MOPEDS	589	-	-	589	82		56	138	451 507
5	COMPUTER	23,064	4,966	143	27,888	5,728	20	4,117	9,829	18,059 17383
6	COST OF LEASE OF RIGHT	100	-	-	100	21	-	2	23	77 79
7	CAPITAL WIP	11,682	-	-	11,682	-		-	-	11,682 11,682
	TOTAL :	136,397	5,152	4,587	136,962	29,600	1,554	11,271	39,406	97,556 106,875
	TOTAL (PREVIOUS YEAR)	121,369	26,575	11,461	136,483	22,754	3,547	10,402	29,609	106,875 -

SCHEDULES FORMING PART OF BALANCE SHEET

Particulars	(Rs. In '000)	
	As At 31 st March, 2010	As At 31 st March, 2009
6. INVESTMENTS		
a. <i>Investment in Govt. and Trust securities</i>		
(Long Term, Non Trade and Unquoted)		
National Savings Certificates	25	25
	25	25
b. <i>Investment in Subsidiaries</i>		
(Long Term, Non Trade and Unquoted)		
Regenesys Project Management Company Private Limited		
4,99,998 (4,99,998) Equity Shares of Rs.100 each fully paid up	50,000	50,000
Sylvan Acres Realty Private Limited		
4,49,998 (4,49,998) Equity Shares of Rs.100 each fully paid up	45,000	45,000
OCD Debentures Application Money	1,072,197	918,907
Yashowardhan Promoters and Developers Private Limited		
1,10,998 (1,10,998) Equity Shares of Rs.10 each fully paid up	1,110	1,110
I-Ven Kolte-Patil Projects (Pune) Private Limited		
51,000 (51,000) Equity Shares of Rs.100 each fully paid up	5,100	5,100
15 % - 3,34,82,333 (3,34,82,333) Optionally Convertible Debentures of Rs.10 each	334,823	334,823
Debentures Application Money	-	5,010
Lilac Hospitality Private Limited		
5,00,000 (5,00,000) Equity Shares of Rs.10 each fully paid up	5,000	5,000
Oakwoods Hospitality Private Limited		
87,72,000 (87,72,000) Equity Shares of Rs.10 each fully paid up	87,720	87,720
Equity Share Application Money	13,788	13,057
PNP Retail Private Limited		
99,999 (NIL) Equity Shares of Rs.10 each fully paid up	1,000	-
Bellflower Properties Private Limited		
5,00,000 (5,00,000) Equity Shares of Rs.10 each fully paid up	5,000	5,000
OCD Debentures	321,526	-
Jasmine Hospitality Private Limited		
1,43,66,200 (1,43,66,200) Equity Shares of Rs.10 each fully paid up	143,662	143,662
Equity Share Application Money	15,645	15,067

SCHEDULES FORMING PART OF BALANCE SHEET

(Rs. In '000)

Particulars	As At 31 st March, 2010	As At 31 st March, 2009
6. INVESTMENTS (Contd.)		
Kolte-Patil Real Estate Private Limited		
72,84,866(72,84,866) Equity Shares of Rs.10 each & 90/- premium fully paid up	728,487	728,487
18,939 (18,939) Equity Shares of Rs.10 each fully paid up	189	189
84,74,386 (84,74,386) Equity Shares of Rs.10 each & 15/- premium fully paid up	211,860	211,860
5,37,614(Nil) Equity Shares of Rs.10 each & 15/- premium fully paid up	13,440	-
23,16,120(Nil) Equity Shares of Rs.31.5625 each (Rs.10.F.V.) fully paid up	73,103	-
Olive Reality Private Limited		
10,00,000 (10,00,000) Equity Shares of Rs.10 each fully paid up	10,000	10,000
Regenesi Facility Management Company Private Limited		
20,000 (20,000) Equity Shares of Rs.10 each fully paid up	200	200
	3,138,850	2,580,192
c. Investments in other Companies		
Corolla Realty Private Limited		
2,22,940 (2,22,940) Equity Shares of Rs.10 each fully paid up	115,413	115,413
0.0001 % - 66,882 (66,882) Redeemable Preference Share of Rs 10/- each	669	669
15% 1362533 (1326645) OC Debentures of Rs. 100 each	136,253	132,665
OFC Debentures Application Money	-	5,389
	252,335	254,136
d. Investments in Partnership Firms and Joint Ventures		
Ankit Enterprises		
Fixed Capital	38	38
Current Capital	367,338	399,491
Kolte-Patil Homes Capital A/c	37,727	28,706
	405,103	428,235
e. Investments in Joint Ventures		
Green Olive Venture Current Capital A/c	116,583	97,683
Vibhu - KPDL Ventures - Current Capital	192,553	186,782
	309,136	284,465

SCHEDULES FORMING PART OF BALANCE SHEET

(Rs. In '000)

Particulars	As At 31 st March, 2010	As At 31 st March, 2009
6. INVESTMENTS (Contd.)		
f. Investment in Mutual Funds		
Mutual Fund (Long Term, Non-Trade and Quoted)	374,012	21,434
Market Value Rs. 37,40,12,467/- (Previous year Rs. 2,14,34,271/-)		
	374,012	21,434
g. Investment in Shares		
20(20) Equity Shares in Rupee Co-op Bank Ltd. (Long Term, Non-Trade and Unquoted)	1	1
13200 (13200) Equity Shares in Vijaya Bank of Rs.24 each fully paid (Long Term, Non-Trade and Quoted)	317	317
Market Value Rs. 6,26,340/- (Previous year Rs. 3,08,220/-) PBAP Reality Private Limited - Shares	100	100
	417	417
Total	4,479,878	3,568,904
7. INVENTORIES (At cost)		
Work in Progress	1,881,358	1,657,439
Total	1,881,358	1,657,439
8. SUNDRY DEBTORS (Unsecured considered good)		
Outstanding for a period exceeding six months	164,088	253,184
Others	195,332	118,855
Total	359,420	372,039
9. CASH & BANK BALANCE		
Cash in Hand	2,021	844
Balance with Scheduled Banks	26,193	37,898
Balance in Deposit A/c	54,428	886,855
Cheques in Hand	22,171	73,605
Total	104,813	999,202
10. OTHER CURRENT ASSETS		
Other Receivable	36,701	195,972
Deferred Revenue Expenses	124,217	170,799
Interest Receivable	19,699	1,568
Prepaid Expenses	947	1,225
Total	181,564	369,564

SCHEDULES FORMING PART OF BALANCE SHEET

(Rs. In '000)

Particulars	As At 31 st March, 2010	As At 31 st March, 2009
11. <u>LOANS & ADVANCES</u>		
(Unsecured considered good)		
Loans to Others	27,201	2,363
Loans to Subsidiaries	312,529	525,517
Advance recoverable in cash or in kind or for value to be received	373,734	394,524
Advance Tax & Tax Deducted at Source	1,004,428	914,451
Security Deposit	5,708	15,723
Total	1,723,600	1,852,578
12. <u>CURRENT LIABILITIES</u>		
<u>Sundry Creditors</u>		
- Sundry Creditors For Plot/ TDR	137,300	141,006
- Sundry Creditors For goods & services	30,894	32,866
- Advance Received From Customer	275,852	305,627
- Outstanding & other Liabilities	118,959	98,964
Total	563,005	578,463
13. <u>PROVISIONS</u>		
Provision for F.B.T. - upto A.Y. 2008-2009	3,730	-
Provision for F.B.T. - A.Y. 2009-2010	-	2,754
Provision for Taxation - A.Y. 2007-2008	243,569	243,569
Provision for Taxation - A.Y. 2008-2009	367,637	367,637
Provision for Taxation - A.Y. 2009-2010	332,000	332,000
Provision for Taxation - A.Y. 2010-2011	55,000	-
Provision for Proposed Dividend	75,632	75,371
Provision for Tax on Dividend	12,854	12,809
Total	1,086,692	1,037,870
14. <u>MISCELLANEOUS EXPENSES</u>		
(To the extent not written off or adjusted)		
Preliminary Expenses		
Opening Balance	2,072	3,108
Add: Additions	-	-
	2,072	3,108
Less : Written off to Profit & Loss Account	1,036	1,036
Total	1,036	2,072

SCHEDULES FORMING PART OF PROFIT & LOSS ACCOUNT

Particulars	(Rs. In '000)	
	As At 31 st March, 2010	As At 31 st March, 2009
15. SALES		
Sale of Flats & Shops	472,563	998,507
Sale of plots	128,064	415,529
Total	600,627	1,414,036
16. OTHER OPERATING INCOME		
Lease Rent	53,341	48,876
Project Management Fees Received	2,904	-
Profit from Partnership Firms	201,452	36,858
Total	257,697	85,734
17. OTHER INCOME		
Interest & Dividend	36,248	66,177
Liabilities/ Provisions written back	1,078	2,298
Miscellaneous Income	5,916	4,878
Sales Tax Refund	484	-
Profit on sale of Asset	33	-
Profit on sale of Shares & Mutual Funds	112	423,291
Total	43,871	496,644
18. COST OF CONSTRUCTION		
Opening WIP	1,657,439	1,759,960
Add/ Less : Adjustments	(730)	(363)
	1,656,709	1,759,597
Add : Purchases / Construction Expenses	500,109	500,319
	2,156,818	2,259,916
Less: Closing WIP	1,881,358	1,657,439
Total	275,460	602,477
19. EMPLOYEE COST		
Salaries, Wages, Allowances & Bonus	69,362	90,553
Contribution to Provident Fund & Other Fund	7,414	8,220
Staff Welfare Expenses	1,374	2,884
Retirement Benefits to Employees	7,591	4,194
Recruitment Expenses	56	6,631
Total	85,797	112,482

SCHEDULES FORMING PART OF PROFIT & LOSS ACCOUNT

Particulars	(Rs. In '000)	
	As At 31 st March, 2010	As At 31 st March, 2009
20. GENERAL AND ADMINISTRATION EXPENSES		
Repair & Maintenance	3,881	4,642
Domestic Travelling & Conveyance Expenses	4,010	7,475
Foreign Travelling Expenses	1,721	3,606
Rates & Taxes	140	247
Professional Fees	18,647	22,036
Telephone, Postage & Courier Charges	4,192	8,046
Insurance Charges	3,211	1,849
Office Expenses	22,652	17,800
Printing & Stationery	3,253	5,374
Loss on sale of Fixed Asset	910	541
Liabilities Written back	248	-
Amount Written Off	150	2,417
Amount Written Off (IPO Expenses)	46,582	46,582
Total	109,597	120,615
21. SELLING EXPENSES		
Advertisement & Publicity	9,029	8,694
Brokerage & Commission	5,920	16,220
Compensation for cancellation of Booking	7,328	3,500
Donation	64	160
Exhibition Expenses	1,082	11
Sales Promotion Expenses	305	2,836
Service Tax on sponsorship services	7	343
Sponsorship Expenses	80	1,835
Total	23,815	33,599
22. FINANCE CHARGES		
Bank and Other Interest	63,929	70,948
Total	63,929	70,948

SCHEDULE 23**DISCLOSURE OF ACCOUNTING POLICIES AND NOTES TO ACCOUNTS FOR THE YEAR ENDED ON 31ST MARCH, 2010****1. SIGNIFICANT ACCOUNTING POLICIES:****a) Basis of Preparation of Financial Statement:**

The Financial Statements are prepared on the historical cost convention in accordance with Indian Generally Accepted Accounting Principles ("GAAP") comprising the Accounting Standards issued by The Institute of Chartered Accountants of India and the provisions of the Companies Act, 1956 as adopted consistently by the Company. All Income and Expenditure having material effect on the financial statements are recognized on the accrual basis.

b) Use of Estimates:

The preparation of Financial Statements in conformity with generally accepted accounting principles requires the management to make estimates and assumptions that affect the reported balances of assets and liabilities as on the date of the Financial Statement and reported amounts of income and expenses during the period. The Management believes that the estimates used in the preparation of Financial Statements are prudent and reasonable. Actual results could differ from the estimates.

c) Fixed Assets:

The Gross Block of Fixed Assets is stated in the Accounts at the purchase price of acquisition of such assets including any attributable cost of bringing the assets to its working condition for its intended use. Office premises located at Jalgaon has been taken on lease for a period of 50 years and reflected in Gross Block at Rs. 100 thousands. The leasehold premises has been amortised @ 2% per annum on the basis of period of lease.

d) Depreciation:

Depreciation is provided as per the straight line method according to the rates prescribed in Schedule XIV of the Companies Act, 1956. Cost of Leasehold rights is being amortized at the rate of 2% per annum considering the period of lease.

e) Revenue Recognition:**i. Sale of Flats:**

During the year, the Company has followed the Percentage Completion Method of accounting as per the Guidance Note on Revenue Recognition by the Real Estate Developers issued by The Institute of Chartered Accountants of India. Total Sale Consideration as per the agreements to sale of constructed properties is recognized as revenue based on the percentage of actual project cost incurred there on, including the cost of land, estimated construction and development cost of the such properties, subject to actual construction cost incurred being 20% or more of the total cost of the construction of the project.

The amount received from customers which does not qualify for revenue recognition under the Percentage Completion Method is accounted as Current Liabilities under the head "Advance from Customers". The amount receivable against the percentage of revenue recognized is accounted for as Current Assets under the head "Debtors" and the excess amount received from customer is accounted as Current Liabilities under the head "Advance from Customers"

ii. Share of Profit In Partnership Firm / Joint Venture:

The share of profit from the firms, in which the Company is partner or the joint venturer, is accounted for as per the Financial Statement of accounts of the Firm / Joint Venture.

iii. Income From Investment:

Interest on fixed deposit and dividend on mutual fund is accounted on accrual basis, whereas dividend from shares is accounted for on receipt basis.

f) Inventories:

Inventories comprises of properties under construction (Work in Progress). Work in Progress comprises cost of land, development rights, TDR, construction and development cost, cost of materials, services and other overheads related to projects under construction.

g) Investments:

Long-term investments are stated at cost after providing for any diminution in value, if such diminution is of permanent nature. Current investments are carried at lower of cost or market value. The determination of carrying amount of such investments is done on the basis of specific identification. Investments in integrated joint ventures are carried at cost net off adjustments for Company's share in profits or losses as recognized.

h) Construction Sales:

Construction Sales represent sales of commercial, residential and other units in respect of which terms and conditions of Agreements executed are complied with. The sale shown in Profit and Loss Account also includes receipts from Business Center.

i) Retirement Benefits:

Liability is provided for retirement benefits of Provident Fund, Gratuity in respect of eligible employees contributions under the defined contribution scheme are charged to revenue. The liability in respect of defined benefit scheme like gratuity, leave encashment, etc. are provided in the accounts on the basis of actuarial valuation as on 31st March, 2010.

j) Borrowing Cost:

Borrowing costs are recognized as expenses in the period in which they are incurred and debited to Profit and Loss account.

k) Taxation:

Income Tax expenses for the current year include Current Tax and Taxation in firm. Provision for Income tax is made on the current tax rate based on assessable income for the year workout as per the provision of Income Tax Act, 1961 as applicable for Assessment Year 2010-2011. The deferred tax assets and liabilities are recognized for the future tax consequences of timing differences, subject to the consideration of prudence. Deferred tax assets and liabilities are measured using the tax rates enacted or substantively enacted by the Balance Sheet date.

l) Provisions, Contingent Liabilities And Contingent Assets:

As per "Accounting Standard 29 - Provisions, Contingent Liabilities and Contingent Assets" issued by the Institute of Chartered Accountants of India, the Company recognizes provisions only when it has a present obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation as and when a reliable estimate of the amount of the obligation can be made.

No provision is recognized for –

(i) Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or

(ii) Any present obligation that arises from past events but is not recognized because-

It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or a reliable estimate of the amount of obligation cannot be made. Such obligations are recorded as Contingent Liabilities. These are assessed continually and only that part of the obligation for which an outflow of resources embodying economic benefits is probable, is provided for, except in the extremely rare circumstances where no reliable estimate can be made. Contingent Assets are not recognized in the financial statements since this may result in the recognition of income that may never be realized.

m) Miscellaneous Expenses:

Miscellaneous Expenses are amortised over a period of five years.

n) Impairment of Asset:

An asset is impaired when the carrying amount of the asset exceeds its recoverable amount. An impairment loss is charged to the Profit and Loss account in the year in which an asset is identified as impaired.

o) IPO Expenses:

Expenses incurred for the public issue of equity shares of the Company are considered as deferred revenue expenditure to be amortized in 60 months.

p) Earnings Per Share:

The Company reports basic and diluted Earnings Per Share in accordance with "Accounting Standard 20 – Earnings Per Share" issued by the Institute of Chartered Accountants of India. Basic Earning Per Share is computed by dividing the net profit or loss for the period by the weighted average number of Equity shares outstanding during the period. Diluted Earning Per Share is computed by dividing the net profit or loss for the period by the weighted average number of equity shares outstanding during the period as adjusted for the effects of all diluted potential equity shares except where the results are anti-dilutive.

q) Foreign Currency Transactions:

Transactions in foreign currency and non monetary assets are accounted on the date of the transactions. All monetary items denominated in foreign currency are converted at the year end exchange rate. Expenditure of the liaison office is translated at the yearly average rate of exchange. The exchange differences arising on such conversion and on settlement of the transactions are shown as Foreign Currency Translation Reserve under the head of Reserves and Surplus.

2. Events Occurring After Balance Sheet Date:

No significant events which could affect the financial position as on 31st March, 2010, to a material extent have been reported by the assessee, after the balance sheet date till the signing of report.

3. Prior Period And Extra Ordinary Items:

There are no material changes or credit which arises in the current period, on account of errors or omissions in the preparation of financial statements for one or more periods except the following:-

The Company has booked as expenditure related to the period September - 2008 to January - 2009 for Hyderabad office rent of Rs. 549 thousands.

4. Payment To Auditors:

(Rs. In '000)

Sr. No.	Particulars	As on 31 st March, 2010	As on 31 st March, 2009
a)	Audit Fees		
	Statutory Audit Fee	414	280
	Internal Audit Fee	198	303
b)	As advisor in other capacity in respect to taxation matters	566	668
	Total	1178	1251

(The payment is inclusive of Service Tax as applicable)

5. Directors Remuneration:

During the current year the Company has paid to the Directors an amount of Rs. 24,222 thousands towards remuneration details of which are as follows:

(Rs. In '000)

NAME	DESIGNATION	2009-10	2008-09
Mr. Rajesh Patil	Chairman and Managing Director	6,068	6,356
Mr. Naresh Patil	Joint Managing Director	6,044	6,368
Mr. Milind Kolte	Executive Director	6,063	6,344
Mrs. Sunita Kolte	Executive Director	6,047	6,379
Total		24,222	25,447

6. Earnings Per Share:

The Earnings Per Shares is calculated in accordance with "Accounting Standard 20 - Earnings Per Share" issued by The Institute of Chartered Accounts of India. The earnings considered in ascertaining the Company's EPS comprises the profit available for shareholders i.e. profit after tax and statutory / regulatory appropriations. The number of shares used in computing Basic EPS is the weighted average number of shares outstanding during the year.

Particulars	As on 31 st March, 2010	As on 31 st March, 2009
Net Profit attributable to Shareholders (Rs. In '000)	276,778	859,259
Weighted average number of equity shares (No. /thousands)	75390	75568
Basic Earnings Per Share – (Rs.)	3.67	11.40
Diluted Earnings Per Share – (Rs.)	3.67	11.37
Nominal value of Equity Share – (Rs.)	10	10

7. Particulars of Expenses Incurred In Foreign Currency:

(Rs. In '000)

Sr. No.	Particulars	2009-10	2008-09
(i)	Expenditure incurred in foreign currency: Travelling and Others (As certified by Management)	Rs. 648 (USD 13594)	Rs. 2090 (USD 40900)
		Rs. 139 (Pound 1535)	Rs.130 (Pound 2000)
		Rs. 105 (Dirham 8000)	Rs.46 (Dirham 3900)

8. Based on the information available with the Company, the amount payable to Micro and Small Medium Enterprises as on Balance sheet date is Rs. 106 thousands, out of which Rs. 77 thousands are paid by the Company. The above disclosure has been determined to the extent of such parties have been identified on the basis of information available with the Company. This has been relied upon by the auditors.

9. Details of Secured Loans And Security offered:

I. HDFC Bank Limited:

- a. First Exclusive charge by way of assignment of rent receivables from office premises admeasuring about 62170 Sq. Ft. on 3rd and 4th Floor, in "Delta Building", Giga Space, IT Park, Viman Nagar, situated at F.P. 383, S. No. 198/1, Mouze-Lohagaon, Pune-411014.
- b. Additional Security given as all that consisting of office premises nos.301-A, 301-B, 301-C, on the 3rd Floor, and 401-A, 401-B & 401-C on the 4th Floor totally admeasuring about 62,170 sq. ft. (5775.19 sq. mtrs. Built Up) along with 62 Car parking Spaces in Delta Building, Giga Space, IT Park, constructed on land bearing S. Nos. 198, Viman Nagar, Mouze Lohagaon, Pune-411014, which is within the local limits of the Pune Municipal Corporation within the Registration District - Pune, Sub Registrar Taluka Haveli, District-Pune together rights to entrances, passages and other easements belonging or appertaining to the aforesaid premises and all fixtures and fittings attached to the earth or anything attached to the earth or both present and future.
- c. In addition to this personal guarantees of all Executive Directors.

II. Axis Bank Limited :

Charge secured by registered simple mortgage of Showroom no. 3 and no.6 on the ground floor of the building Delta II and first floor and terrace thereon of the Amenity Building of the project Giga Space constructed on S.N. 198/1B situated at Mouze Lohagaon Corporation and within district Taluka Haveli.

III. IDBI Bank Limited :

(Nature of Credit Facility Cash Credit: Rs.25 Crores, Bank Guarantee: Rs. 5 Crores)

- a. Primary Security: Hypothecation of Construction Material, WIP and receivables.
- b. Collateral Security:
 1. Extension of Regd. Mortgage of Boat Club Road land, final plot no. 188, S. No. 347-B, 347/A 3C/1A/1, 348A/1/1 and 348A/1/2A, total area 113883 sq. ft. at Pune.
 2. Regd. Mortgage of land at C.S. No. 23/170 A and B, Aundh Land. Total Area 572587 sq. ft.
 3. Office No. 101B, 102, 105D, 106, 107AB, 112C, 201-202-203-204-205-206-207-208. Total Area 11845 sq.ft. First and Second Floors, City Point, S. No. 347B, 347A, Hissa No. 3C/1A/1, 348 A Hissa No. 1/1, 348A Hissa No. 1/2A, final plot no. 188 CST No. 14 (part) 14/1, 14/2 Dhole Patil Road, Pune-411001.

IV. IDBI Bank Ltd:-

(Term Loan Rs. 30.00 Crores.)

- a. Hypothecation of Construction Material, WIP and receivables.

The Borrower's entire stock of Raw materials, Semi Finished and finished goods, consumable stores & spares and such other movables including book debts, bills whether documentary or clean and outstanding monies receivables, property booking amount, deposit, payments etc. which are subject to Escrow Account pertaining to the residential projects viz. Glitterati 24K at Pimple Nilakh.
- b. Collateral mortgage –
 - i. Land S.N. 14, Hissa No. 14/3/1/1 to 4, 14/4/1, 14/5/1/2 to 4, admeasuring area 34400 sq. mtrs., located at Pimple Nilakh, Pune.
 - ii. Land S.N. 14, Hissa No. 17/1/1/2 to 3, and survey no. 13/1/2 to 4, admeasuring 27,660.13 sq.mtrs. located at Pimple Nilakh, Pune.

10. Related Party Transaction:

Related Party Disclosures as required by "Accounting Standard 18 - Related Party Disclosures", issued by the Institute of Chartered Accountants of India are given below:-

a. List of Related Parties

i) Related Parties (as identified by the Management) are classified as:

Subsidiaries	1. Bellflower Properties Private Limited 2. I-Ven Kolte-Patil Projects (Pune) Private Limited 3. Jasmine Hospitality Private Limited 4. Lilac Hospitality Private Limited 5. Oakwoods Hospitality Private Limited 6. Olive Realty Private Limited 7. Regenes Project Management Company Private Limited 8. Sylvan Acres Realty Private Limited 9. Yashowardhan Promoters and Developers Private Limited 10. Regenes Facility Management Company Private Limited 11. Kolte –Patil Real Estate Private Limited 12. PNP Retail Private Limited
Key Management Personnel Director	Mr. Rajesh Patil, Mr. Naresh Patil, Mr. Milind Kolte, Mrs. Sunita Kolte
Key Management Personnel Director of Associates/ Enterprises	Mr. Harish Kumar Gurnani, Arora Holdings (Mauritius) Ltd.
Relatives of Key Management Personnel	Mr. Ketan Kolte, Ms. Ketki Kolte, Ms. Ankita Patil, Mr. Nirmal Kolte, Mr. Pradeep Kolte
Associates/Enterprises /Joint Ventures over which Key Management Personnel have significant influence	Ankit Enterprises, Corolla Realty Private Limited, Kolte-Patil I-Ven Townships (Pune) Private Limited, Kolte-Patil Enterprises, Kolte-Patil Homes Harshwardhan Co-Op. Housing Society Limited Green Olive Venture,Vibhu-KPDL Venture

(Rs. In '000)

Particulars	Subsidiaries	Key Management Personnel (Director)	Key Management Personnel Director of Associates / Enterprises	Relatives of Key Management Personnel	Associates/ Enterprises over which Key Management Personnel have significant influence
Advance paid for plot purchase	-	-	-	(15,196)	-
Advance received against sale of plot	178,665	-	-	12,991	-
Capital Contribution	-	-	-	-	206,886
Creditors for Expenses	21,021	-	-	-	-
Expenditure Incurred and Reimbursement	4,764	-	-	-	40,757
Interest Paid	-	-	-	14	3,572
Interest Received	2,719	-	-	-	1,075
Interest Received on Debentures	21,268	-	-	-	-
Investment in Equity Share Capital	87,543	-	-	-	-
Investment in Debenture Application Money	158,300	-	-	-	-
Investment in Debentures	321,526	-	-	-	1,800
Investment in Share Application Money	15,537	-	-	-	(150)
Investment towards Contribution	-	-	-	-	5,771
Inter Corporate Deposits	45,735	-	-	-	22,742
Deposit Accepted	-	-	-	514	-
Loan Given	-	-	-	233	-
Loan Repaid	244,930	-	-	-	-
Purchase of Plot	-	-	-	-	600
Remuneration to Director	-	24,221	-	-	-
Sale of Plot	10,855	-	-	20,300	93,909
Share in Profit	-	-	-	-	201,452

ii) There are no provisions for doubtful debts or no amounts have been written off in respect to the debts due to or from the related parties.

iii) Information furnished pursuant to Clause 32 of the Listing Agreement with Stock Exchanges is as under:

(Rs. In '000)

Sr No	Name of The Company	Status	Maximum Outstanding		Closing Balance	
			2009-10	2008-09	As on 31/03/2010	As on 31/03/2009
1	Corolla Realty Private Limited (Loan)	Others	15,638	1,671	3,178	1,165
2	Corolla Realty Private Limited (ICD)	Others	30,358	-	22,742	-
3	Kolte-Patil Investments And Finance Private Limited (Equity Share Application Money)	Others	150	150	-	150
4	Kolte-Patil I-Ven Townships (Pune) Private Limited	Others	1,921	12,399	1,281	418
5	Kolte-Patil I-Ven Townships (Pune) Private Limited	Others	-	1,443	-	629
6	Kolte-Patil Real Estate Private Limited (Loan)	Subsidiary	10,000	1,617	-	-
7	Bellflower Properties Private Limited (Loan)	Subsidiary	3,10,408	2,87,082	-	2,87,082
8	I-Ven Kolte-Patil Project (Pune) Private Limited (Loan)	Subsidiary	54,925	15,247	1,839	15,247
9	I-Ven Kolte-Patil Project (Pune) Private Limited (ICD)	Subsidiary	41,919	-	41,919	-
10	Bellflower Properties Private Limited (Equity Share Application Money)	Subsidiary	-	2,80,826	-	-
11	Lilac Hospitality Private Limited (Loan)	Subsidiary	2,068	2,068	2,068	2,068
12	Olive Reality Private Limited (Loan)	Subsidiary	2,35,090	1,96,390	2,35,090	1,96,389
13	Regenesi Project Management Company Private Limited	Subsidiary	26,693	24,691	18,693	24,691
14	Yashowardhan Promoters And Developers Private Limited (Loan)	Subsidiary	-	44,500	-	-

Sr No	Name of The Company	Status	Maximum Outstanding		Closing Balance	
			2009-10	2008-09	As on 31/03/2010	As on 31/03/2009
15	Yashowardhan Promoters And Developers Private Limited	Subsidiary	-	102	-	-
16	Regenesys Facility Management Company Private Limited	Subsidiary	340	266	-	-
17	Oakwoods Hospitality Private Limited (Loan)	Subsidiary	-	16	-	-
18	Sylvan Acres Realty Private Limited (Loan)	Subsidiary	6,570	-	-	-
19	Sylvan Acres Realty Private Limited (ICD)	Subsidiary	12,295	-	3,815	-
20	Sylvan Acres Realty Private Limited (Debenture Application Money)	Subsidiary	10,72,197	-	10,72,197	-
21	PNP Retail Private Limited	Subsidiary	9,104	-	9,104	-
22	VIBHU – KPDL Ventures	Joint Venture	27	-	-	-
	TOTAL		18,29,703	8,68,468	14,11,926	5,27,840

11. Contingent Liabilities:

- a. Contingent Liabilities not provided for:

(Rs. In '000)

	Particulars	Amount
i)	Disputed Direct Tax Liability	
	1) Income Tax Outstanding Demand pertaining to M/s. Ankit Enterprises in which Company is having 75% shares	50,157
	2) Income tax-Deduction u/s 80IA (Refer below to point no. c)	78,082
ii)	Claims not Acknowledged as Debts	
	First Appeal No. 2951 of 2006	26,200
	Total (i + ii)	1,54,439

- b. The Company has claimed deduction under Section 80-IA (4)(iii) of the Income Tax Act, 1961 in respect of the profit arising from the Information Technology Park – Giga Space. The total deduction claimed upto financial year ending 31.03.2010 is Rs. 705,109 thousands. As per the provisions of Section 80-IA(4)(iii), the industrial park should be in accordance with the Industrial Park Scheme framed and should also be notified by the Govt. under the said scheme. Accordingly, the Company has received the approval vide notification no. 10 F.N.178/63/2009-ITA-I dated 19th Feb. 2010 from Ministry of Finance, Department of Revenue, CBDT, under the said scheme. Moreover, the Company has complied with all the conditions of the scheme as well as Section 80-IA (4) (iii) and hence, is entitled to claim the deduction under the said section. Therefore, the Company has not made any provision in respect of tax on the profits of the Information Technology Park Giga Space.

- c. In respect of its Information Technology Park Projects viz. E-Space located at Svy. No. 46/1, Vadgaon Sheri, Pune, the Company has claimed the deduction under Section 80-IA(4)(iii) amounting to Rs. 229,721 thousands up to March 2010. The Company had made an application under the Industrial Park Scheme, 2002 but the application was returned by the concerned Ministry. The Company has filed the Writ Petition in Bombay High Court dated 31.07.2009 contesting the rejection by the concerned authorities in respect of the application made by the Company. Should the outcome of the writ petition be unsuccessful, it is estimated that the aggregate provision for taxation would be short by Rs. 80,205 thousands.
12. In the opinion of the Board, Current Assets and Loans and Advances have a value on realization in the ordinary course of business that equals at least to the amount at which they are stated and provisions for all known and determined liabilities are adequate and not in the excess of the amount reasonably necessary.
- 13 Balances standing at the debit or credit in the accounts of various parties are subject to confirmation and reconciliation.
14. Interest amount debited in Profit and Loss Account is after considering interest received and other receipts.
15. Estimated amounts of contract remaining to be executed on capital account and not provided for is NIL

16. Investment In Partnership

Investment made in partnership firms represents investment made with M/s. Ankit Enterprises and Kolte - Patil Homes. The details of partnership firms are as follows:

i. Ankit Enterprises:

- a) Total Capital - Debit Balance Rs. 2,63,081 thousands.

S.No.	Name of the Partner's -	Profit Sharing Ratio
1.	Mr. Rajesh Patil	5.00%
2.	Mr. Naresh Patil	5.00%
3.	Mr. Milind Kolte	5.00%
4.	Mrs. Sunita Kolte	5.00%
5.	Mrs. Sunita Patil	2.50%
6.	Ms. Ankita Patil	2.50%
7.	Kolte-Patil Developers Limited	75.00%

- b) Share profit of the Company for the year ended on 31st March, 2010 is Rs. 1,98,225 thousands
- c) The credit in the capital account balance as on 31st March, 2010 is at Rs. 3,67,375 thousands.

ii. Kolte- Patil Homes:

- a) Total Capital - Credit Balance Rs. 40,209 thousands

Sr. No.	Name of the Partner's -	Profit Sharing Ratio
1.	Mr. Naresh Patil	30%
2.	Mrs.Vandana Patil	10%
3.	Kolte-Patil Developers Limited	60%

- b) Share of Profit of the Company for the year ended on 31st March, 2010 is Rs. 3,227 thousands.

17. Investment In Joint Venture

The Company's interest and share in Joint Venture in jointly controlled activities are as follows:

a) Green Olive Ventures:-

The Company, by virtue of an Agreement has entered into a Joint Venture with Arista Developers Private Limited by forming an Association of Persons named Green Olive Ventures. The Company has agreed to contribute an amount of Rs. 25,000 thousands towards initial capital and has agreed to contribute further capital as and when needed for Joint Venture. The Company has contributed Rs. 1,165,83 thousands up to 31st March, 2010.

b) Vibhu –KPD L Venture:-

The Company, by virtue of an Agreement has entered into a Joint Venture with Vibhu Developers Private Limited by forming an Association of Persons named Vibhu- KPD L Venture. The Company has agreed to contribute an amount of Rs. 1,37,640 thousands towards initial capital and has agreed to contribute further capital as and when needed for Joint Venture. The Company has contributed Rs. 1,92,553 thousands up to 31st March, 2010.

18. Details of Investment In Mutual Funds

(Rs. In '000)

Sr.No.	Name of The Mutual Fund	As on 31 st March, 2010	As on 31 st March, 2009
	Mutual Funds - Quoted		
1	FRDD ICICI Prudential Floating Rate Plan D - Daily Dividend - Reinvest Dividend	21,749	21,434
2	ICICI Prudential Flexible Income Plan Premium – Daily Dividend	3,52,264	-
	TOTAL	3,74,013	21,434

19. Segment Accounting:

Accounting Standards Interpretation (ASI) 20 Dt. 14.02.2004, issued by the Accounting Standard Board of Institute of Chartered Accountants of India, on "AS – 17 - Segment Reporting" clarifies that in case by applying the definition of "Business Segment and Geographical Segment" given in AS-17. The Company is engaged in various segments namely Real Estate Development, Retails and Hospitality. However, in financial year 2009-10, there is only one reportable segment namely Real Estate Development.

20. In view of Accounting Standard required by "AS-28 - Impairment of Assets" issued by Institute of Chartered Accountants of India, the Company has reviewed its fixed assets and does not expect any loss as on 31st March, 2010 on account of impairment in addition to the provision already made in the books.

21. Operating Lease (As-19)

Lease rent payable for office taken on lease is charged to revenue under the head depreciation.

The lease rentals are charged over the specified period of lease i.e. 50 years. Cost of leasehold rights is being amortized @ 2% per annum considering the period of lease.

22. Work in Progress have been taken as verified, valued and certified by the management and as informed, it is taken on the basis of cost price.

23. Contribution to Group Gratuity Scheme of LIC

In accordance with provision of "Accounting Standard (AS) – 15 (Revised-2005) Employee Benefits" the Company has taken a Group Gratuity Policy from Life Insurance Corporation of India to adequately cover the present liability for future payments of gratuity to the employees on actuarial valuation. The obligation for leave encashment is recognized in the same manner as 'Gratuity'. Expenses recognized during the year shown under the head 'Employee Cost'.

i) Net Asset / Liability recognized in the Balance Sheet as on 31st March, 2010.

(Rs. In '000)

Particulars	Gratuity	Leave Encashment
Fair value of plan assets as on 31 st March, 2010	2,572	-
Present Value of obligation as on 31 st March, 2010	17,618	13,368
Net Liability Recognized in Balance Sheet	15,046	13,368

ii) Expenses recognized during the year (Under the head "Personnel Cost")

(Rs. In '000)

Particulars	Gratuity	Leave Encashment
Current Service cost	2,740	2,902
Interest Cost	1,007	654
Expected return on plan assets	(210)	-
Actuarial (gain)/loss	(117)	(540)
Net Cost	3,420	4,096

iii) Actuarial Assumptions

Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)
Discount rate (per annum)	8.50 %	8.50 %
Rate of increase in compensation levels	9.00 %	9.00 %
Expected average remaining working life of employees (years)	17.29 %	17.29 %

24. Keyman Insurance Policy

During the year, Company has paid Rs. 67 thousands under the Keyman Insurance Policy of Life Insurance Corporation of India for the following Directors.

1. Mr. Rajesh Patil
2. Mr. Milind Kolte

Premium paid during the year as per the scheme is absorbed under the head 'Employee Cost'.

25. Details of utilization of issue proceeds through public issue as on 31st March, 2010:

(Rs. In '000)

	Particulars	Amount	Amount
A.	Net Proceeds from IPO		27,55,430
B.	Less: Utilization of Funds :		
	a) Payments towards IPO Expenses	2,19,530	
	b) Payment towards development and construction of projects	2,27,803	
	c) Payments towards Land Purchases	19,39,041	
C.	Total of Utilization of Funds (a+b+c)		23,86,374
D.	Balance invested in Liquid Mutual Funds/ Fixed Deposits (A-C)		3,69,056

26. Employees Stock Option Scheme 2006 (ESOS)

In the fiscal year 2006, the Company introduced ESOS 2006. The Board of Directors and shareholders approved the scheme in the month September 2006 and October 2006 respectively, which provides for the issue of 7,80,000 Equity Shares to the employees. The Remuneration and Compensation Committee administers the Employees Stock Option Scheme 2006 and options were granted in the month of September 2006.

During the year the Company has issued 1,10,144 equity shares of Rs. 10/- each at a premium of Rs.30/- per share to employee under Employees Stock Option Scheme 2006.

- 27.** In the year 2007-08 ,the Company has incurred Rs. 2,32,907 thousands on the Public Issue of Equity shares of the Company and these expenses are considered as deferred revenue expenditure as per Accounting Policy of the Company. The amount of Rs. 46,581 thousands charged to Profit and Loss Account as IPO Expenses for the current year.
- 28.** Last year's figures have been regrouped, reclassified and rearranged wherever necessary.

FOR S P C M & ASSOCIATES

(formerly known as Bora Kasat & Co.)
Chartered Accountants
F.R.N. 112165W

CA Suhas P. Bora
Partner
M. No. 39765

Place : Pune
Date : May 28, 2010

FOR AND ON BEHALF OF THE BOARD

Rajesh Patil
Chairman &
Managing Director

Sunita Kolte
Executive Director

G.L. Vishwanath
Director

Place : Bangalore
Date : May 28, 2010

Naresh Patil
Joint
Managing Director

Manish Doshi
Director

Jayant G. Pendse
Director

Milind Kolte
Executive Director

Achyut Watve
Director

Vasant Gaikwad
Chief Financial Officer

**BALANCE SHEET ABSTRACT AND
COMPANY'S GENERAL BUSINESS PROFILE**

Information pursuant to Part IV of Schedule VI of the Companies Act, 1956

I. Registration Details:

CIN	L45200PN1991PLC129428	State Code	25
Balance Sheet Date	31 st March, 2010		

II Capital Raised during the year (Amount in Rs. Thousands)

Public Issue	-	Right Issue	-
Bonus Issue	-	Private Placement	-
ESOS	1,101		

III Position of Mobilisation and Deployment of Funds (Amount in Rs. Thousands)

Total Liabilities	7,182,412	Total Assets	7,182,412
Sources of Funds			
Paid-up Capital	754,813	Reserves & Surplus	5,896,729
Secured Loan	461,071	Unsecured Loan	69,800
Application of Funds			
Net Fixed Assets	97,556	Investments	4,479,878
Net Current Assets	2,601,056	Deferred Tax Assets	2,886
Accumulated Losses	-	Misc. Expenditure	1,036

IV Performance of Company (Amount in Rs. Thousands)

Turnover	902,193	Total Expenditures	570,904
Profit Before Tax	331,289	Profit After Tax	276,779
Earning Per Share in Rs.	3.67	Dividend rate %	10

V Generic names of three Principal Products / Services of Company

(as per monetary terms)

Items Code No. (ITC Code)	N.A.
Product Description	Real Estate Development (Builders & Developers)

AUDITORS' REPORT ON CONSOLIDATED FINANCIAL STATEMENTS

To
The Members of
Kolte-Patil Developers Limited

We have audited the attached Consolidated Balance Sheet of **Kolte-Patil Developers Limited** and its subsidiaries ("the Kolte-Patil Group"), as at March 31st, 2010 and also the Consolidated Profit and Loss Account and Consolidated Cash Flow Statement for the year ended on that date, annexed thereto. These Consolidated Financial Statements are the responsibility of the Company's Management and have been prepared by Management on the basis of separate Financial Statements and other financial information regarding components. Our responsibility is to express an opinion on these Financial Statements based on our audit.

We conducted our audit in accordance with the Auditing Standards generally accepted in India. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the Financial Statements are prepared, in all material respects, in accordance with an identified financial reporting framework and are free of material misstatement. Our audit includes examining on a test basis, evidence supporting the amounts and disclosures in the Financial Statement. Our audit also includes assessing the accounting principles used and significant estimates made by the Management, as well as evaluating the overall Financial Statement presentation. We believe that our audit provides a reasonable basis for our opinion.

We did not audit the Financial Statements of one of the subsidiary viz. PNP Retail Private Limited, whose Financial Statements as on 31st March, 2010 reflects total (net) assets of Rs. 1000 thousands, Net loss of Rs. 605 thousands and net cash inflow of Rs. 7106 thousands for the year ended 31st March, 2010. These Financial Statements and other financial information have been audited by other Auditors viz M/s. M.S. Reddy & Associates, whose Report has been furnished to us, and our opinion in respect thereof is based solely on their Audit Report.

We report that, Consolidated Financial Statements have been prepared by the Management in accordance with the requirements of Accounting Standards (AS) 21 "Consolidated Financial Statements" and "Accounting for Investment in Associates in Consolidated Financial Statement" (AS) 23, issued by the Institute of Chartered Accountants of India.

Based on our audit and on consideration of reports of other auditor on separate Financial Statements and on the other financial information of the components, and to the best of our information and according to the explanation given to us, the Consolidated Financial Statements give a true and fair view in conformity with the accounting principles generally accepted in India:

- a) In case of the Consolidated Balance Sheet, of the consolidated state of affairs of Kolte-Patil Developers Limited and its consolidated entities as at 31st March, 2010.
- b) In case of Consolidated Profit & Loss Account of the consolidated results of operations of Kolte-Patil Developers Limited and its consolidated entities for the year ended on that date.
- c) In the case of Consolidated Cash Flow Statement, of the Cash Flows of Kolte-Patil Developers Limited and its consolidated entities for the year ended on that date.

For S P C M & Associates
(Formerly Known as Bora Kasat & Co.)
Chartered Accountants
Firm Registration No. 112165W

CA Suhas P. Bora
Partner
M. No. 039765

Place : Pune
Date : May 28, 2010

CONSOLIDATED BALANCE SHEET AS AT 31ST MARCH, 2010

		(Rs. In '000)	
Particulars	Schedule	As At 31 st March, 2010	As At 31 st March, 2009
<u>SOURCES OF FUNDS</u>			
Shareholders' Fund			
a) Share Capital	1	754,813	753,711
b) Reserves & Surplus	2	5,990,695	5,816,345
Minority Interest		1,221,873	232,949
Loan Funds			
a) Secured Loans	3	487,130	802,599
b) Unsecured Loans	4	1,011,010	789,516
Total		9,465,521	8,395,120
<u>APPLICATION OF FUNDS</u>			
Fixed Assets	5		
a) Gross Block		644,747	633,081
b) Less : Depreciation		46,189	34,513
c) Net Block		598,558	598,568
Investments	6	2,986,324	3,281,043
Current Assets, Loans and Advances			
a) Inventories	7	5,607,236	3,314,331
b) Sundry Debtors	8	481,781	504,216
c) Cash and Bank Balances	9	202,814	1,009,675
d) Other Current Assets	10	142,275	181,330
e) Loans and Advances	11	1,605,559	1,460,818
		8,039,665	6,470,370
Less: Current Liabilities and Provisions			
a) Current Liabilities	12	918,042	811,961
b) Provisions	13	1,249,703	1,151,129
		2,167,745	1,963,090
Net Current Assets		5,871,920	4,507,280
Miscellaneous Expenses	14	6,388	7,099
(To the extent not written off)			
Deferred Tax Asset		2,331	1,130
Total		9,465,521	8,395,120
Significant Accounting Policies & Notes to Accounts	23		

AS PER OUR REPORT OF EVEN DATE ATTACHED FOR S P C M & ASSOCIATES

(Formerly known as Bora Kasat & Co.)
Chartered Accountants
F.R.N. 112165W

CA Suhas P. Bora
Partner
M. No. 39765

Place : Pune
Date : May 28, 2010

FOR AND ON BEHALF OF THE BOARD

Rajesh Patil
Chairman &
Managing Director

Naresh Patil
Joint
Managing Director

Milind Kolte
Executive Director

Sunita Kolte
Executive Director

Manish Doshi
Director

Achyut Watve
Director

G.L. Vishwanath
Director

Jayant G. Pendse
Director

Vasant Gaikwad
Chief Financial Officer

Place : Bangalore
Date : May 28, 2010

CONSOLIDATED PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2010

(Rs. In '000)

Particulars	Schedule	As At 31 st March, 2010	As At 31 st March, 2009
INCOME			
Sales	15	750,834	1,763,360
Other Operating Income	16	281,666	97,954
Other Income	17	50,024	496,774
Total		1,082,524	2,358,088
EXPENDITURE			
Cost of Construction	18	374,713	827,468
Employee Cost	19	94,917	145,440
Establishment Expenses	20	116,392	145,150
Selling Expense	21	27,524	41,257
Finance Charges	22	79,561	75,066
Depreciation	5	12,858	12,296
Preliminary Expenses written off	14	1,506	1,357
Total		707,471	1,248,034
Profit / (Loss) before tax & Minority Interest		375,053	1,110,054
Less : Tax Expenses			
Current Tax		66,341	383,204
Provision for Tax for Prior Period		-	8,632
Deferred Tax		(1,247)	1,618
Fringe Benefit Tax		-	2,993
Profit / (Loss) after tax & before minority Interest		309,959	713,607
Minority Interest		7,607	16,388
Add : Profit / (Loss) brought forward from last year		2,592,354	1,768,572
Add / (Less) : Taxation in Firm		(765)	(12,893)
Add / (Less) : Prior Period Item		(2,312)	152,472
Add / (Less) : Dividend & Tax		(39)	(16)
Profit available for appropriation		2,891,590	2,605,354
Less : Appropriations			
Interim Dividend		32,930	-
Tax on Interim Dividend		5,596	-
Proposed Final Dividend		75,633	75,371
Tax on Proposed Dividend		12,854	12,809
Transfer to Capital Reserve		-	-
Transfer to General Reserve		18,000	17,670
Profit & Loss carried to Balance Sheet		2,746,577	2,499,504
Significant Accounting Policies & Notes to Accounts	23		

**AS PER OUR REPORT OF EVEN DATE ATTACHED
FOR S P C M & ASSOCIATES**

(Formerly known as Bora Kasat & Co.)
Chartered Accountants
F.R.N. 112165W

CA Suhas P. Bora
Partner
M. No. 39765

Place : Pune
Date : May 28, 2010

FOR AND ON BEHALF OF THE BOARD

Rajesh Patil
Chairman &
Managing Director

Sunita Kolte
Executive Director

G.L. Vishwanath
Director

Place : Bangalore
Date : May 28, 2010

Naresh Patil
Joint
Managing Director

Manish Doshi
Director

Jayant G. Pendse
Director

Milind Kolte
Executive Director

Achyut Watve
Director

Vasant Gaikwad
Chief Financial Officer

CONSOLIDATED CASH FLOW STATEMENT FOR THE YEAR ENDED 31ST MARCH, 2010

PARTICULARS	(Rs. In '000)	
	2009-10	2008-09
Cash flow from Operating activities		
Net profit before taxation and extraordinary items	375,053	1,110,055
Adjustments for :-		
Depreciation	13,111	11,879
Foreign Exchange loss	(285)	(251)
Share of Profit in Firms	(201,452)	(36,858)
Loss on Sale of Fixed Assets / Amounts Written off	910	541
Profit on sale of Fixed asset	(33)	-
Amount Written Off (Other)	397	-
Interest on Debentures	(21,268)	-
Dividend income	(19,763)	(66,177)
Interest expenses	78,626	72,542
Capital Gain on Sale of Shares	(112)	(423,291)
Preliminary Expenses Written Off	3,280	2,469
Prior Period Adjustments	(1,763)	-
Sundry creditors Liabilities & Provisions written back	(1,085)	2,210
Preliminary Expenses Incurred	-	(192)
Operating profit before working capital changes	225,618	672,927
Decrease/(Increase) in Debtors	22,436	(204,306)
Decrease/(Increase) in Inventories	(2,287,534)	(256,863)
Decrease/(Increase) in Other Current Assets	39,054	(763,836)
Decrease/(Increase) In Loans & Advances	(58,190)	-
Increase/(Decrease) in Current Liabilities	(106,080)	(706,201)
Cash generated from Operations	(2,164,697)	(1,258,280)
Income tax paid	(86,551)	(31,566)
Fringe Benefit Tax	(6,600)	(2,796)
Cash flow before extraordinary items	(2,257,847)	(1,292,641)
Extraordinary items, if any	-	-

PARTICULARS	(Rs. In '000)	
	2009-10	2008-09
(A) Net cash from operating activities	<u>(2,257,847)</u>	<u>(1,292,641)</u>
<u>Cash flows from Investing activities</u>	-	-
Minority Interest	1,229,385	-
Decrease in capital reserve/ Goodwill	(58,379)	-
Decrease/(Increase) in fixed assets	(11,665)	(27,979)
Capital Gain on Sale of Shares	112	423,291
Share of Income Tax of Firm	(549)	-
Share of profit from Firms	201,452	36,858
Decrease/(Increase) in Investments	294,719	1,317,882
Dividend Received	19,763	66,177
Sale of Fixed Assets	2,134	2,961
Interest on Debentures Received	21,268	-
Profit on sale of Fixed Asset	33	-
Sundry creditors written back	1,085	(2,210)
(B) Net cash from Investing activities	<u>1,699,357</u>	<u>1,816,980</u>
<u>Cash flows from Financing activities</u>		
Proceeds from issuance of share capital	1,101	920
Proceeds from Share Premium	-	1,832
Increase/(Decrease) in Secured Loans	(315,469)	9,642
Increase/(Decrease) in Unsecured Loans	221,495	472,568
Interest paid	(67,320)	(72,898)
Dividend paid	(75,371)	(131,915)
Tax On Dividend	(12,809)	(22,416)
(C) Net cash used in financing activities	<u>(248,372)</u>	<u>257,733</u>
(A+B+C) Net increase in cash & Cash equivalents	<u>(806,862)</u>	<u>782,072</u>
Cash and cash equivalents at the beginning of period	<u>1,009,676</u>	<u>227,604</u>
Cash and cash equivalents at end of period	<u>202,814</u>	<u>1,009,676</u>

**AS PER OUR REPORT OF EVEN DATE ATTACHED
FOR S P C M & ASSOCIATES**

(Formerly known as Bora Kasat & Co.)
Chartered Accountants
F.R.N. 112165W

CA Suhas P. Bora
Partner
M. No. 39765

Place : Pune
Date : May 28, 2010

FOR AND ON BEHALF OF THE BOARD

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Director

Milind Kolte
Executive Director

Achyut Watve
Director

Vasant Gaikwad
Chief Financial Officer

SCHEDULES FORMING PART OF CONSOLIDATED BALANCE SHEET

Particulars	(Rs. In '000)	
	As At 31 st March, 2010	As At 31 st March, 2009
1. SHARE CAPITAL		
Authorised		
8,00,00,000 (8,00,00,000) Equity Shares of Rs. 10/ each	800,000	800,000
Issued, Subscribed and Paid up		
7,54,81,254 (7,53,71,110) Equity shares of		
Rs. 10/- each fully paid up	754,813	753,711
(Of the above shares — (2,19,02,252) shares are allotted as fully paid by way of bonus shares by capitalisation of general reserve)		
Total	754,813	753,711
2. RESERVES & SURPLUS		
1. General Reserve		
Opening Balance	146,331	128,661
Add : Transferred from P & L A/c	18,000	17,670
Less: Capitalised on issue of bonus shares	-	-
Closing Balance	164,331	146,331
2. Securities Premium Account		
Opening Balance	3,093,842	3,092,010
Add : During The Year	3,304	1,832
Less: Security Premium	-	-
Closing Balance	3,097,147	3,093,842
3. Profit & Loss Account		
Add/Less Profit / (loss)	2,746,577	2,499,504
Less : Share in Taxation of Firm	-	-
	2,746,577	2,499,504
4. Adjustment on Consolidation as per AS-21		
Capital Reserve		
Transfer to Capital Reserve / Goodwill on Consolidation	17,682	76,061
Transfer to Minority Interest		
Closing Balance	17,682	76,061
5. Foreign Currency Translation Reserve	322	607
Total	5,990,695	5,816,345
3. SECURED LOANS		
1. Working Capital Loans from banks	293,432	438,013
(Secured by Hypothecation of Stocks of Materials & Guaranteed by Executive Director)		
2. Term Loan From Bank	189,368	356,391
3. Vehicle Loan from bank	4,330	8,195
Total	487,130	802,599
4. UNSECURED LOANS		
1. Loan from Directors	163	-
2. Fixed Deposits from Public	15,800	-
3. Optionally Convertible Debenture	554,956	321,693
4. Debenture Application Money	386,091	383,625
5. Loan From Others	54,000	84,198
Total	1,011,010	789,516

SCHEDULES FORMING PART OF CONSOLIDATED BALANCE SHEET

SCHEDULE 5 - FIXED ASSETS												
SR. NO.	PARTICULARS	Rate	GROSS BLOCK				DEPRECIATION				NET BLOCK	
			As on 01.04.2009	Addition	Deletion	As on 31.03.2010	Up to 01.04.2009	Deletion	01.04.2009 to 31.03.2010	Total Up to 31.03.2010	As At 31.03.2010	As At 31.03.2009
1	BUILDING	1.63%	18,669	-	-	18,669	734	-	304	1,039	17,631	17,935
2	FURNITURE & FIXTURES	6.33%	19,704	4,751	1,104	23,345	3,579	27	1,268	4,923	18,422	16,124
3	PLANT & MACHINERY	4.75%	19,336	309	178	19,462	3,789	5	1,354	5,136	14,327	15,547
4	VEHICLE	9.50%	61,741	-	3,797	57,925	19,665	1,519	5,395	23,722	34,203	42,077
5	COMPUTER	16.21%	25,951	5,533	143	31,310	6,726	20	4,535	11,348	19,962	19,226
6	COST OF LEASE OF RIGHT	2.00%	100	-	-	100	21	-	2	23	77	79
7	CAPITAL WIP	0.00%	26,172	6,356	-	32,528	-	-	-	-	32,528	26,172
8	LAND	0.00%	461,408	-	-	461,408	-	-	-	-	461,408	461,408
	TOTAL :		633,081	16,950	5,222	644,747	34,514	1,572	12,858	46,189	598,557	598,568
	TOTAL (PREVIOUS YEAR)		610,744	35,869	13,532	633,081	26,182	4,006	12,338	34,513	598,568	-

SCHEDULES FORMING PART OF CONSOLIDATED BALANCE SHEET

(Rs. In '000)

Particulars	As At 31 st March, 2010	As At 31 st March, 2009
6. INVESTMENTS		
1. <u>Investment in Govt. and Trust securities</u> (Long Term, Non Trade and Unquoted)		
National Savings Certificates	25	25
2. <u>Investments in Partnership Firms and Joint Ventures</u>		
Ankit Enterprises		
Fixed Capital	38	38
Current Capital	367,338	399,491
Kolte-Patil Homes Capital A/c	37,727	28,706
Green Olive Venture Capital A/c	116,583	97,683
Vibhu - KPDL Ventures - Current Capital a/c	192,553	186,782
3. <u>Other Investments</u>		
20 (20) Equity Shares in Rupee Co-op Bank Ltd. (Long Term, Non-Trade and Unquoted)	1	1
13200 (13200) Equity Shares in Vijaya Bank of Rs.24 each fully paid (Long Term, Non-Trade and Quoted)	317	317
Corolla Realty Private Limited 2,22,940 (2,22,940) Equity Shares of Rs.10 each fully paid up	115,413	115,413
0.0001 % 66,882 (66,882) Redeemable Preference Shares	669	669
15 % - 13,62,533 (13,26,645) OCD Debentures of Rs.100 each	136,253	132,665
Debentures Application Money	-	5,389
Mutual Fund (Long Term, Non-Trade and Quoted)	511,813	20,934
Equity Share PBAP Realty Private Limited	100	600
Investment in Kolte-Patil I-Ven Townships (Pune) Private Limited		
15% Compulsorily Convertible Debentures	567,444	259,428
Kolte-Patil I-Ven Township (Pune) Private Limited		
15% 35,00,500 (35,00,500) OFC Debentures	350,050	350,050
Kolte-Patil I-Ven Townships (Pune) Private Limited		
50,00,000 (50,00,000) Equity Shares of Rs.10 each fully paid	50,000	50,000
OFC - Debentures Application Money - Kolte-Patil I-Ven Kolte-Patil I-Ven Townships (Pune) Private Limited	40,000	192,317
5000000 0.001% Redeemable Preference Shares @ Rs.100/- Kolte-Patil I-Ven Townships (Pune) Private Limited	500,000	500,000
Kolte-Patil Real Estate Private Limited		
72,84,866(72,84,866) Equity Shares of Rs.10 @90/- premium each	-	728,487
18,939(18,939) Equity Shares of Rs. 10/- each fully Paid Up	-	189
84,74,386(84,74,386) Equity Shares of Rs.10 @15/- premium each	-	211,860
Total	2,986,324	3,281,043

SCHEDULES FORMING PART OF CONSOLIDATED BALANCE SHEET

(Rs In '000)

Particulars	As At 31 st March, 2010	As At 31 st March, 2009
7. INVENTORIES (At cost)		
Work in Progress	5,607,236	3,314,331
Total	5,607,236	3,314,331
8. SUNDRY DEBTORS		
(Unsecured considered good)		
Outstanding for a period exceeding six months	164,088	384,546
Others	317,693	119,670
Total	481,781	504,216
9. CASH & BANK BALANCE		
Cash in Hand	3,190	1,776
Cheques in Hand	24,227	74,933
Balance with scheduled banks		
In Current Account	94,360	46,111
In Deposit Account	81,037	886,855
Total	202,814	1,009,675
10. OTHER CURRENT ASSETS		
(Unsecured considered good)		
Other Receivables	17,500	8,963
Interest Accrued	558	1,568
IPO Expenses	124,217	170,799
Total	142,275	181,330
11. LOANS & ADVANCES		
(Unsecured considered good)		
Loans to Others	27,310	2,378
Advance recoverable in cash or in kind or for value to be received	429,488	434,232
Advance Tax & Tax Deducted at Source	1,138,164	1,003,703
Security Deposit	9,504	19,111
Prepaid Expenses	1,093	1,394
Total	1,605,559	1,460,818

SCHEDULES FORMING PART OF CONSOLIDATED BALANCE SHEET

(Rs in '000)

Particulars	As At 31 st March, 2010	As At 31 st March, 2009
12. CURRENT LIABILITIES		
Sundry Creditors		
- For goods & services	242,805	52,279
- For plot /TDR	125,626	282,155
Advances received from customers	384,218	370,852
Outstanding & other liabilities	157,893	106,675
Security Deposits	7,500	-
Total	918,042	811,961
13. PROVISIONS		
Provision for Taxation A.Y.2010-2011	66,341	-
Provision for Taxation A.Y.2009-2010	383,204	383,204
Provision for Taxation A.Y.2008-2009	429,576	429,576
Provision for Taxation - A.Y. 2007-08	243,569	243,569
Provision for FBT	-	6,600
Provision for Proposed Dividend	108,563	75,371
Provision for Tax on Dividend	18,450	12,809
Total	1,249,703	1,151,129
14. MISCELLANEOUS EXPENSES		
To the extent not written off or adjusted		
Preliminary Expenses		
Opening Balance	9,736	9,376
Add: Additions	178	192
	9,914	9,568
Less : Written off to Profit & Loss Account	3,526	2,469
Total	6,388	7,099

SCHEDULES FORMING PART OF CONSOLIDATED PROFIT & LOSS ACCOUNT

(Rs in '000)

PARTICULARS	As at 31 st March, 2010	As at 31 st March, 2009
15. SALES		
Sale of Flats & Shops	619,370	1,347,831
Sale of Plots	131,464	415,529
Total	750,834	1,763,360
16. OTHER OPERATING INCOME		
Lease Rent	54,332	53,045
Services	25,882	8,051
Profit from Partnership Firms	201,452	36,858
Total	281,666	97,954
17. OTHER INCOME		
Profit on sale of Shares & Mutual Funds	112	423,291
Dividend from Shares & Mutual Funds	19,763	66,177
Interest on Debentures	21,268	-
Miscellaneous Income	5,986	4,963
Sales Tax Refund	484	-
Liabilities and Provisions Written Back	1,103	2,298
Interest on Fixed Deposit / Loan	1,275	45
Profit on sale of Assets	33	-
Total	50,024	496,774
18. COST OF CONSTRUCTION		
Opening WIP	5,271,470	3,053,085
Add / (Less) : Adjustments	(730)	(363)
	5,270,740	3,052,722
Add: Purchases / Construction Expenses	711,209	1,089,077
	5,981,949	4,141,799
Less: Closing WIP	5,607,236	3,314,331
Total	374,713	827,468

SCHEDULES FORMING PART OF CONSOLIDATED PROFIT & LOSS ACCOUNT

(Rs in '000)

PARTICULARS	As at 31st March, 2010	As at 31st March, 2009
19. EMPLOYEE COST		
Salaries, Wages, Allowances & Bonus	75,001	122,337
Contribution to Provident Fund & Other Fund	7,768	9,199
Retirement Benefit	7,591	4,194
Recruitment Expenses	56	6,631
Staff Welfare Expenses	1,581	3,079
Total	94,917	145,440
20. ESTABLISHMENT EXPENSES		
Repairs and Maintenance	5,426	4,891
Domestic Travelling & Conveyance Expenses	4,241	8,613
Foreign Travelling Expenses	1,721	3,686
Rates and Taxes	245	419
Professional Fees	21,160	33,904
Telephone, Postage & Courier Charges	4,369	8,794
Insurance Charges	3,355	2,076
Office Expenses	24,664	27,424
Printing and Stationery	3,321	5,444
Profit / Loss on sale of vehicle	910	541
Amount Written Off	248	2,417
Profit / Loss on sale Assets	150	359
Amount Written Off (IPO Expenses)	46,582	46,582
Total	116,392	145,150
21. SELLING EXPENSES		
Advertisement & Publicity	9,084	11,170
Exhibition Expenses	1,165	11
Sales Promotion Expenses	305	2,836
Brokerage	8,391	18,921
Donation	164	160
Compensation for Surrender of Rights	8,328	5,981
Sponsorship Expenses & service Tax on Sponsorship	87	2,178
Total	27,524	41,257
22. FINANCE CHARGES		
Bank and Other Interest	79,561	75,066
Total	79,561	75,066

SCHEDULE 23**DISCLOSURE OF ACCOUNTING POLICIES AND NOTES TO ACCOUNTS FOR THE PERIOD ENDED ON 31ST MARCH, 2010****1. BASIS OF CONSOLIDATION****1.1. Accounting Standard – 21 “Consolidated Financial Statements”**

The Consolidated Financial Statements include the accounts of Kolte-Patil Developers Limited and its subsidiary undertakings. Subsidiary undertakings are those companies in which Kolte-Patil Developers Limited directly or indirectly has an interest of more than half of the voting power or otherwise, has power to exercise control over the operations. Subsidiaries are consolidated from the date on which effective control is transferred to the group.

All inter Company transactions, balances and unrealized surplus and deficit on transactions between group Companies are eliminated. Consistency in adoption of accounting policies among all Group Companies is ensured to the extent practicable. Separate disclosure is made for minority interest.

Minority Interest in subsidiaries represents the proportionate share of the minority shareholders in net income of the subsidiaries.

The Consolidated Financial Statements have been prepared using the uniform accounting policies except where stated otherwise, for like transaction and are presented to the extent possible in the same manner as in the Company's Standalone Financial Statements.

1.2 “The Subsidiary Companies considered in the Consolidated Financial Statements are”:

Sr. No.	Name of the Company	Proportion of Ownership Interest
1.	Bellflower Properties Private Limited	50.0001
2.	Yashowardhan Promoters and Developers Private Limited	59.99
3.	Kolte-Patil Real Estate Private Limited	51.00
4.	I-Ven Kolte-Patil Projects (Pune) Private Limited	51.00
5.	Sylvan Acres Realty Private Limited	89.99
6.	Olive Realty Private Limited	99.99
7.	Regenesi Facility Management Company Private Limited	99.99
8.	Regenesi Project Management Company Private Limited	99.99
9.	Lilac Hospitality Private Limited	99.99
10.	Jasmine Hospitality Private Limited	51.00
11.	Oakwoods Hospitality Private Limited	51.00
12.	PNP Retail Private Limited	99.99

1.3 “The Significant Firms and Joint Ventures considered in the Consolidated Financial Statements are”:

Name	Constitutions	Interest of the Company
1. M/s. Ankit Enterprises	Partnership Firm	75%
2. Kolte-Patil Homes	Partnership Firm	60%
3. Green Olive Ventures	Association of Persons	60% in Gross Sale
4. Vibhu KPDL Ventures	Association of Persons	50% in Gross Sale

2. Notes to these Consolidated Financial Statements are intended to serve as a means of informative disclosure and a guide to better understanding of the consolidated position of the Companies. Recognizing this purpose, the Company has disclosed only such notes from the individual Financial Statements, which fairly present the needed disclosures.

3. SIGNIFICANT ACCOUNTING POLICIES FOLLOWED BY SUBSIDIARIES

(The Accounting Policies of the parent are best viewed in its independent Financial Statement, Note No 1 of Schedule 23):

3.1 BELLFLOWER PROPERTIES PRIVATE LIMITED :

a. Basis of Preparation of Financial Statements:

The Financial Statements are prepared on the historical cost convention in accordance with the Indian "Generally Accepted Accounting Principles (GAAP)" comprising of the Accounting Standards issued by The Institute of Chartered Accountants of India and the provisions of the Companies Act, 1956 as adopted consistently by the Company. All Income and Expenditure having material effect on the Financial Statements are recognized on the accrual basis.

b. Use of Estimates:

The preparation of Financial Statements are in conformity with the generally accepted accounting principles which requires the Management to make estimates and assumptions that affect the reported balances of Assets and Liabilities as on the date of the Financial Statements and the reported amounts of Income and Expenses during the period. The Management believes that the estimates used in the preparation of Financial Statements are prudent and reasonable. Actual results could differ from the estimates.

c. Fixed Assets:

The Gross Block of Fixed Assets are stated in the Accounts at purchase price of acquisition of such assets including any attributable cost of bringing the assets to its working condition for its intended use.

d. Depreciation:

Depreciation is provided in the books on "Straight Line Method" at the rates prescribed in Schedule XIV of the Companies Act, 1956.

e. Revenue Recognition:

i. Sale of Flats

The Company has followed the Percentage Completion Method of accounting as per the Guidance Note on Revenue Recognition by the Real Estate Developers issued by The Institute of Chartered Accountants of India. Total Sale Consideration as per the agreements to sale constructed properties is recognized as revenue based on the percentage of actual project cost incurred thereon, including the cost of land, estimated construction and development cost of the such properties, subject to actual construction cost incurred being 20% or more of the total cost of the construction of the project.

The amount receivable against the percentage of revenue recognized is accounted for as Current Assets under the head "Debtors" and the excess amount received from customer which does not qualify for revenue recognition is accounted as Current Liabilities under the head "Advance from Customers".

ii. Income from Investments

Interest on Fixed Deposit is accounted on accrual basis.

f. Investments:

Investments in mutual funds are valued and stated at cost.

g. Income from Investments:

Income from investment in mutual funds i.e. dividend is accounted on accrual basis in the books of accounts.

h. Work in Progress

Hitherto, the Company was following the method of valuing Work in Progress at cost, which comprised of cost of land, development expenses, construction material cost, indirect expenses and other incidental expenses up to 31.12.2009. Since then, in order to maintain the consistency in the method of accounting followed by the holding Company, the Company has decided to recognize the revenue by adopting Percentage Completion Method. During the year from 01.01.2010 cost of construction has exceeded 20% of the total construction cost (excluding land cost). The Work in Progress as on 31.03.2010 has been valued by taking into account Percentage Completion Method for recognizing the revenue and accordingly company has valued Work in Progress on the basis of direct cost which comprises cost of land, direct expenses, construction material cost, services and other incidental expenditure instead of total cost.

i. Provisions, Contingent Liabilities and Contingent Assets

As per Accounting Standard-29, "Provisions, Contingent Liabilities and Contingent Assets" (AS)-29, issued by The Institute of Chartered Accountants of India, the Company recognizes provisions only when it has a present obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation as and when a reliable estimate of the amount of the obligation can be made.

No provision is recognized for –

- (i) Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- (ii) Any present obligation that arises from past events but is not recognized because –
 - It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - A reliable estimate of the amount of obligation cannot be made.

Such obligations are recorded as Contingent Liabilities. These are assessed continually and only that part of the obligation for which an outflow of resources embodying economic benefits is probable, is provided for, except in the extremely rare circumstances where no reliable estimate can be made.

Contingent Assets are not recognized in the Financial Statements since this may result in the recognition of income that may never be realized.

j. Retirement Benefits

Estimated liabilities towards retirement benefits to employees have not been quantified on the date of Balance Sheet. The same is accounted for on cash basis.

k. Impairment of Assets

There is no impairment of Assets during the year, since carrying cost of Assets does not exceed recoverable value.

l. Taxes on Income

Deferred tax for the year is recognized on timing difference being the difference between taxable incomes and accounting income that originate in one period and are capable for reversal in one or more subsequent periods.

Deferred Tax Liabilities are measured using the tax rates and tax laws that have been enacted or substantively enacted till the Balance Sheet date.

m. Preliminary Expenses

The Expenditure incurred on the formation of the Company is considered as deferred revenue expenditure and is amortized over a period of five years.

3.2 YASHOWARDHAN PROMOTERS AND DEVELOPERS PRIVATE LIMITED:

a. Basis of Preparation of Financial Statements

The Financial Statements are prepared on the historical cost convention in accordance with the Indian "Generally Accepted Accounting Principles (GAAP)" comprising of the Accounting Standards issued by The Institute of Chartered Accountants of India and the provisions of the Companies Act, 1956 as adopted consistently by the Company. All Income and Expenditure having material effect on the Financial Statements are recognized on the accrual basis.

b. Use of Estimates

The preparation of Financial Statements are in conformity with generally accepted accounting principles which requires the Management to make estimates and assumptions that affect the reported balances of Assets and Liabilities as on the date of the Financial Statements and the reported amounts of Income and Expenses during the period. The Management believes that the estimates used in the preparation of Financial Statements are prudent and reasonable. Actual results could differ from the estimates.

c. Fixed Assets

The Gross Block of Fixed Assets are stated in the Accounts at the purchase price of acquisition of such assets, including any attributable cost of bringing the assets to its working condition for its intended use.

d. Depreciation

Depreciation is provided in the books on "Written Down Value" at the rates prescribed in Schedule XIV of the Companies Act, 1956.

e. REVENUE RECOGNITION

i. Sale of Flats

The Company has followed the Percentage Completion Method of accounting as per the Guidance Note on Revenue Recognition by the Real Estate Developers issued by The Institute of Chartered Accountants of India.

Total Sale Consideration as per the agreements to sale constructed properties is recognized as revenue based on the percentage of actual project cost incurred thereon, including the cost of land, estimated construction and development cost of the such properties, subject to actual construction cost incurred being 20% or more of the total cost of the construction of the project. The amount receivable against the percentage of revenue recognized is accounted for as Current Assets under the head "Debtors" and the excess amount received from customer which does not qualify for revenue recognition is accounted as Current Liabilities under the head "Advance from Customers"

ii. INCOME FROM INVESTMENTS

Interest on Fixed Deposit is accounted on accrual basis.

f. Inventories

Inventory comprises of property under constructions (Work in Progress). Work in Progress comprises cost of land, development rights, TDR, construction and development cost, cost of material, services and other overheads related to projects under construction.

g. Retirement Benefits

Estimated liabilities towards retirement benefits to employees have not been quantified on the date of Balance Sheet. The same is accounted for on cash basis

h. Borrowing Cost

Borrowing costs are recognized as expenses in the period in which they are incurred and debited to Profit and Loss Account.

i. Provisions, Contingent Liabilities and Contingent Assets

As per Accounting Standard 29, "Provisions, Contingent Liabilities and Contingent Assets" (AS)-29, issued by The Institute of Chartered Accountants of India, the Company recognizes provisions only when it has a present obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation as and when a reliable estimate of the amount of the obligation can be made.

No provision is recognized for –

- (i) Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- (ii) Any present obligation that arises from past events but is not recognized because –
 - It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - A reliable estimate of the amount of obligation cannot be made.

Such obligations are recorded as Contingent Liabilities. These are assessed continually and only that part of the obligation for which an outflow of resources embodying economic benefits is probable, is provided for, except in the extremely rare circumstances where no reliable estimate can be made.

Contingent Assets are not recognized in the Financial Statements since this may result in the recognition of income that may never be realized.

j. Taxes on Income

Deferred tax for the year is recognized on timing difference being the difference between taxable incomes and accounting income that originate in one period and are capable for reversal in one or more subsequent periods.

Deferred Tax Liabilities are measured using the tax rates and tax laws that have been enacted or substantively enacted till the Balance Sheet date.

k. Miscellaneous Expenses

Miscellaneous and Preliminary Expenses are amortized over a period of five years.

l. Impairment of Assets

An asset is impaired when the carrying cost of the asset exceeds its recoverable amount. An impairment loss is charged to the Profit and Loss Account in the year in which an asset is identified as impaired.

3.3 KOLTE-PATIL REAL ESTATE PRIVATE LIMITED:**a. Basis of Preparation of Financial Statements**

The Financial Statements are prepared on the historical cost convention in accordance with the Indian "Generally Accepted Accounting Principles (GAAP)" comprising of the Accounting Standards issued by The Institute of Chartered Accountants of India and the provisions of the Companies Act, 1956 as adopted consistently by the Company. All Income and Expenditure having material effect on the Financial Statements are recognized on the accrual basis.

b. Use of Estimates

The preparation of Financial Statements are in conformity with generally accepted accounting principles which requires the Management to make estimates and assumptions that affect the reported balances of Assets and Liabilities as on the date of the Financial Statements and reported amounts of Income and Expenses during the period. The Management believes that the estimates used in the preparation of Financial Statements are prudent and reasonable. Actual results could differ from the estimates.

c. Fixed Assets

The Gross Block of Fixed Assets is stated in the Accounts at the purchase price of acquisition of such assets, including any attributable cost of bringing the assets to its working condition for its intended use.

d. Depreciation

Depreciation is provided in the books on "Straight Line Method" at the rates prescribed in Schedule XIV of the Companies Act, 1956.

e. Work in Progress

Work in Progress is stated at cost, which comprises of the cost of land, development cost, construction material cost, indirect expenses and other incidental expenses is based on verification and Technical Valuation by the Management.

f. Income from Investments

Dividend from investment in mutual fund is accounted on accrual basis.

g. Investments

Investment in mutual fund are stated at cost.

h. Retirement Benefits

Estimated liabilities towards retirement benefits to employees have not been quantified on the date of Balance Sheet. The same is accounted for on cash basis.

i. Revenue Recognition

The method of revenue recognition followed by Kolte-Patil Real Estate Private Limited is the Percentage Completion Method of accounting as per the guidance note on revenue recognition by the Real Estate Developers issued by The Institute of Chartered Accountants of India. Under this method, the revenue is recognized depending upon the percentage of work completed. Further, the revenue is recognized only when the construction cost incurred is more than 20% of the total estimated project cost. Secondly, the revenue is recognized only in respect of the units for which Agreement to sale has been entered into the amount received from customers which does not qualify for the revenue recognition under the Percentage Completion Method is accounted as Current Liabilities under the head "Advance from Customers". The amount receivable against the percentage of revenue recognized is accounted for as Current Assets under the head "Debtors" and the excess amount received from the customer is accounted as Current liabilities under the head "Advance from Customers".

j. Borrowing Cost

Borrowing costs are recognized as expenses in the period in which they are incurred and debited to Profit and Loss Account.

k. Provisions, Contingent Liabilities and Contingent Assets

As per Accounting Standard 29, "Provisions, Contingent Liabilities and Contingent Assets" (AS)-29, issued by The Institute of Chartered Accountants of India, the Company recognizes provisions only when it has a present obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation as and when a reliable estimate of the amount of the obligation can be made.

No provision is recognized for –

- (i) Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- (ii) Any present obligation that arises from past events but is not recognized because –
 - It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - A reliable estimate of the amount of obligation cannot be made.

Such obligations are recorded as Contingent Liabilities. These are assessed continually and only that part of the obligation for which an outflow of resources embodying economic benefits is probable, is provided for, except in the extremely rare circumstances where no reliable estimate can be made.

Contingent Assets are not recognized in the Financial Statements since this may result in the recognition of income that may never be realized.

3.4 I-VEN KOLTE-PATIL PROJECTS (PUNE) PRIVATE LIMITED:

a. Basis of Preparation of Financial Statements

The Financial Statements are prepared on the historical cost convention in accordance with the Indian "Generally Accepted Accounting Principles (GAAP)" comprising of the Accounting Standards issued by The Institute of Chartered Accountants of India and the provisions of the Companies Act, 1956 as adopted consistently by the Company. All Income and Expenditure having material effect on the Financial Statements are recognized on the accrual basis.

b. Use of Estimates

The preparation of Financial Statements are in conformity with generally accepted accounting principles which requires the Management to make estimates and assumptions that affect the reported balances of Assets and Liabilities as on the date of the Financial Statements and the reported amounts of Income and Expenses during the period. The Management believes that the estimates used in the preparation of Financial Statements are prudent and reasonable. Actual results could differ from the estimates.

c. Fixed Assets

The Gross Block of Fixed Assets are stated in the Accounts at the purchase price of acquisition of such assets including any attributable cost of bringing the assets to its working condition for its intended use.

d. Depreciation

Depreciation is provided in the books on "Straight Line Method" at the rates prescribed under Schedule XIV of the Companies Act, 1956.

e. Inventories

Inventory comprises of Work in Progress. Work in progress comprises cost of land, development rights, TDR, Construction and Development Cost, Cost of Material, Services, indirect expenses and other Overheads related to projects under constructions.

f. Provisions, Contingent Liabilities and Contingent Assets

As per Accounting Standard 29, "Provisions, Contingent Liabilities and Contingent Assets" (AS)-29, issued by The Institute of Chartered Accountants of India, the Company recognizes provisions only when it has a present obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation as and when a reliable estimate of the amount of the obligation can be made.

No provision is recognized for –

- (i) Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- (ii) Any present obligation that arises from past events but is not recognized because –
 - It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - A reliable estimate of the amount of obligation cannot be made.

Such obligations are recorded as Contingent Liabilities. These are assessed continually and only that part of the obligation for which an outflow of resources embodying economic benefits is probable, is provided for, except in the extremely rare circumstances where no reliable estimate can be made.

Contingent Assets are not recognized in the Financial Statements since this may result in the recognition of income that may never be realized.

g. Miscellaneous Expenses

Miscellaneous Expenses are amortized over a period of five years.

h. Impairment of Assets

An asset is impaired when the carrying cost of the asset exceeds its recoverable amount. An impairment loss is charged to the Profit and Loss Account in the year in which an asset is identified as impaired.

i. Taxes on Income

Deferred tax for the year is recognized on timing difference being the difference between taxable incomes and accounting income that originate in one period and are capable of reversal in one or more subsequent periods.

Deferred Tax Assets and Liabilities are measured using the tax rates and tax laws that have been enacted or substantively enacted by the Balance Sheet date. Deferred Tax liabilities are recognized and carried forward only if there is reasonable / virtual certainty of its realization.

3.5 SYLVAN ACRES REALTY PRIVATE LIMITED:

a. Basis of Preparation of Financial Statements

The Financial Statements are prepared on the historical cost convention in accordance with the Indian "Generally Accepted Accounting Principles (GAAP)" comprising of the Accounting Standards issued by The Institute of Chartered Accountants of India and the provisions of the Companies Act, 1956 as adopted consistently by the Company. All Income and Expenditure having material effect on the Financial Statements are recognized on the accrual basis.

b. Use of Estimates

The preparation of Financial Statements are in conformity with generally accepted accounting principles which requires the Management to make estimates and assumptions that affect the reported balances of Assets and Liabilities as on the date of the Financial Statements and reported amounts of Income and Expenses during the period. The Management believes that the estimates used in the preparation of Financial Statements are prudent and reasonable. Actual results could differ from the estimates.

c. Investments

Investments are stated at cost.

d. Provisions, Contingent Liabilities and Contingent Assets

As per Accounting Standard 29, "Provisions, Contingent Liabilities and Contingent Assets" (AS)-29, issued by The Institute of Chartered Accountants of India, the Company recognizes provisions only when it has a present obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation as and when a reliable estimate of the amount of the obligation can be made.

No provision is recognized for –

- (i) Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- (ii) Any present obligation that arises from past events but is not recognized because –
 - It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - A reliable estimate of the amount of obligation cannot be made.

Such obligations are recorded as Contingent Liabilities. These are assessed continually and only that part of the obligation for which an outflow of resources embodying economic benefits is probable, is provided for, except in the extremely rare circumstances where no reliable estimate can be made.

Contingent Assets are not recognized in the Financial Statements since this may result in the recognition of income that may never be realized.

e. Preliminary Expenses

The expenditure incurred on the formation of the Company is considered as deferred revenue expenditure.

3.6 OLIVE REALTY PRIVATE LIMITED:**a. Basis of Preparation of Financial Statements:**

The Financial Statements are prepared on the historical cost convention in accordance with the Indian "Generally Accepted Accounting Principles (GAAP)" comprising of the Accounting Standards issued by The Institute of Chartered Accountants of India and the provisions of the Companies Act, 1956 as adopted consistently by the Company. All Income and Expenditure having material effect on the Financial Statements are recognized on the accrual basis.

b. Use of Estimates

The preparation of Financial Statements are in conformity with generally accepted accounting principles which requires the Management to make estimates and assumptions that affect the reported balances of Assets and Liabilities as on the date of the Financial Statements and reported amounts of Income and Expenses during the period. The Management believes that the estimates used in the preparation of Financial Statements are prudent and reasonable. Actual results could differ from the estimates.

c. Provisions, Contingent Liabilities and Contingent Assets

As per Accounting Standard 29, "Provisions, Contingent Liabilities and Contingent Assets" (AS)-29, issued by The Institute of Chartered Accountants of India, the Company recognizes provisions only when it has a present obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation as and when a reliable estimate of the amount of the obligation can be made.

No provision is recognized for –

- (i) Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- (ii) Any present obligation that arises from past events but is not recognized because –
 - It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - A reliable estimate of the amount of obligation cannot be made.

Such obligations are recorded as Contingent Liabilities. These are assessed continually and only that part of the obligation for which an outflow of resources embodying economic benefits is probable, is provided for, except in the extremely rare circumstances where no reliable estimate can be made.

Contingent Assets are not recognized in the Financial Statements since this may result in the recognition of income that may never be realized.

d. Work in Progress

Work in Progress is stated at cost, which comprises of cost of land, development expenses, construction material cost, indirect expenses and other incidental expenses is based on verification and Technical Valuation by the Management.

e. Miscellaneous Expenses

The expenditure incurred on the formation of the Company is considered as Preliminary Expenses and amortized over a period of five years.

3.7 REGENESIS FACILITY MANAGEMENT COMPANY PRIVATE LIMITED:**a. Basis of Preparation of Financial Statements**

The Financial Statements are prepared on the historical cost convention in accordance with The Indian "Generally Accepted Accounting Principles (GAAP)" comprising of the Accounting Standards issued by The Institute of Chartered Accountants of India and the provisions of the Companies Act, 1956 as adopted consistently by the Company. All Income and Expenditure having material effect on the Financial Statements are recognized on the accrual basis.

b. Use of Estimates

The preparation of Financial Statements are in conformity with generally accepted accounting principles which requires the Management to make estimates and assumptions that affect the reported balances of Assets and Liabilities as on the date of the Financial Statements and the reported amounts of Income and Expenses during the period. The Management believes that the estimates used in the preparation of Financial Statements are prudent and reasonable. Actual results could differ from the estimates.

c. Fixed Assets:

The Gross Block of Fixed asset is stated in the Accounts at purchase price of acquisition of such asset including any attributable cost of bringing the asset to its working condition for its intended use.

d. Depreciation

Depreciation is provided in the books on "Straight Line Method" at the rates prescribed in Schedule XIV of the Companies Act, 1956.

e. Borrowing Cost

Borrowing costs are recognized as expenses in the period in which they are incurred and debited to Profit & Loss A/c.

f. Provisions, Contingent Liabilities and Contingent Assets

As per Accounting Standard 29, "Provisions, Contingent Liabilities and Contingent Assets" (AS)-29, issued by The Institute of Chartered Accountants of India, the Company recognizes provisions only when it has a present obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation as and when a reliable estimate of the amount of the obligation can be made.

No provision is recognized for –

- (i) Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- (ii) Any present obligation that arises from past events but is not recognized because –
 - It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - A reliable estimate of the amount of obligation cannot be made.

Such obligations are recorded as Contingent Liabilities. These are assessed continually and only that part of the obligation for which an outflow of resources embodying economic benefits is probable, is provided for, except in the extremely rare circumstances where no reliable estimate can be made.

Contingent Assets are not recognized in the Financial Statements since this may result in the recognition of income that may never be realized.

g. Retirement Benefits

Estimated liabilities towards retirement benefits to employees have not been quantified on the date of Balance Sheet. The same is accounted for on cash basis.

h. Impairment of Assets

There is no impairment of Asset during the year, since carrying cost of Assets does not exceed recoverable value.

i. Taxes on Income

Deferred tax for the year is recognized on timing difference being the difference between taxable income and accounting income that originate in one period and are capable for reversal in one or more subsequent periods.

Deferred Tax Liabilities / Assets are measured using the tax rates and tax laws that have been enacted or substantively enacted till the Balance Sheet date.

j. Miscellaneous Expenses

The expenditure incurred on the formation of the Company is considered as Preliminary Expenses and amortized over a period of five years.

3.8 REGENESIS PROJECT MANAGEMENT COMPANY PRIVATE LIMITED:**a. Basis of Preparation of Financial Statements:**

The Financial Statements are prepared on the historical cost convention in accordance with the Indian "Generally Accepted Accounting Principles (GAAP)" comprising of the Accounting Standards issued by The Institute of Chartered Accountants of India and the provisions of The Companies Act, 1956 as adopted consistently by the Company. All Income and Expenditure having material effect on the Financial Statements are recognized on the accrual basis.

b. Use of Estimates

The preparation of Financial Statements are in conformity with generally accepted accounting principles which requires the Management to make estimates and assumptions that affect the reported balances of Assets and Liabilities as on the date of the Financial Statements and the reported amounts of Income and Expenses during the period. The Management believes that the estimates used in the preparation of Financial Statements are prudent and reasonable. Actual results could differ from the estimates.

c. Fixed Assets:

The Gross Block of Fixed assets are stated in the Accounts at purchase price of acquisition of such assets including any attributable cost of bringing the assets to its working condition for its intended use.

d. Depreciation

Depreciation is provided in the books on "Straight Line Method" at the rates prescribed in Schedule XIV of the Companies Act, 1956.

e. Borrowing Cost

Borrowing costs are recognized as expenses in the period in which they are incurred and debited to Profit & Loss Account.

f. Provisions, Contingent Liabilities and Contingent Assets

As per Accounting Standard 29, "Provisions, Contingent Liabilities and Contingent Assets" (AS)-29, issued by The Institute of Chartered Accountants of India, the Company recognizes provisions only when it has a present obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation as and when a reliable estimate of the amount of the obligation can be made.

No provision is recognized for –

- (i) Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- (ii) Any present obligation that arises from past events but is not recognized because –
 - It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - A reliable estimate of the amount of obligation cannot be made.

Such obligations are recorded as Contingent Liabilities. These are assessed continually and only that part of the obligation for which an outflow of resources embodying economic benefits is probable, is provided for, except in the extremely rare circumstances where no reliable estimate can be made.

Contingent Assets are not recognized in the Financial Statements since this may result in the recognition of income that may never be realized.

g. Retirement Benefits

Estimated liabilities towards retirement benefits to employees have not been quantified on the date of Balance Sheet. The same is accounted for on cash basis

h. Impairment of Assets

There is no impairment of Asset during the year, since carrying cost of Asset does not exceed recoverable value.

i. Taxes on Income

Deferred tax for the year is recognized on timing difference being the difference between taxable income and accounting income that originate in one period and are capable for reversal in one or more subsequent periods.

Deferred Tax Liabilities / Assets are measured using the tax rates and tax laws that have been enacted or substantively enacted till the Balance Sheet date.

j. Miscellaneous Expenses

The expenditure incurred on the formation of the Company is considered as Preliminary Expenses and amortized over period of five years.

3.9 LILAC HOSPITALITY PRIVATE LIMITED:**a. Basis of Preparation of Financial Statements**

The Financial Statements are prepared on the historical cost convention in accordance with the Indian "Generally Accepted Accounting Principles (GAAP)" comprising of the Accounting Standards issued by The Institute of Chartered

Accountants of India and the provisions of the Companies Act, 1956 as adopted consistently by the Company. All Income and Expenditure having material effect on the Financial Statements are recognized on the accrual basis.

b. Use of Estimates

The preparation of Financial Statements are in conformity with generally accepted accounting principles which requires the Management to make estimates and assumptions that affect the reported balances of Assets and Liabilities as on the date of the Financial Statements and the reported amounts of Income and Expenses during the period. The Management believes that the estimates used in the preparation of Financial Statements are prudent and reasonable. Actual results could differ from the estimates.

c. Fixed Assets

The Gross Block of Fixed Assets are stated in Accounts at the purchase price of acquisition of such assets including any attributable cost of bringing the assets to its working condition for its intended use.

d. Depreciation

Depreciation is provided in the books on "Straight Line Method" at the rates prescribed in Schedule XIV of the Companies Act 1956. Charged 100% Depreciation on assets amount below Rs.5000/-

e. Borrowing Cost

Borrowing costs are recognized as expenses in the period in which they are incurred and debited to Profit and Loss Account.

f. Provisions, Contingent Liabilities and Contingent Assets

As per Accounting Standard 29, "Provisions, Contingent Liabilities and Contingent Assets" (AS)-29, issued by The Institute of Chartered Accountants of India, the Company recognizes provisions only when it has a present obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation as and when a reliable estimate of the amount of the obligation can be made.

No provision is recognized for –

- (i) Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- (ii) Any present obligation that arises from past events but is not recognized because –
 - It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - A reliable estimate of the amount of obligation cannot be made.

Such obligations are recorded as Contingent Liabilities. These are assessed continually and only that part of the obligation for which an outflow of resources embodying economic benefits is probable, is provided for, except in the extremely rare circumstances where no reliable estimate can be made.

Contingent Assets are not recognized in the Financial Statements since this may result in the recognition of income that may never be realized.

g. Miscellaneous Expenses

The expenses incurred on formation of the Company is considered as Preliminary Expenses and amortized over a period of five years.

3.10 JASMINE HOSPITALITY PRIVATE LIMITED:

a. Basis of Preparation of Financial Statements:

The Financial Statements are prepared on the historical cost convention in accordance with the Indian "Generally Accepted Accounting Principles (GAAP)" comprising of the Accounting Standards issued by The Institute of Chartered Accountants of India and the provisions of the Companies Act, 1956 as adopted consistently by the Company. All Income and Expenditure having material effect on the Financial Statements are recognized on the accrual basis.

b. Use of Estimates

The preparation of Financial Statements are in conformity with generally accepted accounting principles which requires the Management to make estimates and assumptions that affect the reported balances of Assets and Liabilities as on the date of the Financial Statements and the reported amounts of Income and Expenses during the period. The Management believes that the estimates used in the preparation of Financial Statements are prudent and reasonable. Actual results could differ from the estimates.

c. Fixed Assets

The Gross Block of Fixed Assets are stated in the Accounts at purchase price of acquisition of such assets including any attributable cost of bringing the assets to its working condition for its intended use.

d. Depreciation

Depreciation is provided in the books on "Straight Line Method" at the rates prescribed in Schedule XIV of the Companies Act, 1956, except Cost the Development Expenditure and Land.

e. Provisions, Contingent Liabilities and Contingent Assets

As per Accounting Standard 29, "Provisions, Contingent Liabilities and Contingent Assets" (AS)-29, issued by The Institute of Chartered Accountants of India, the Company recognizes provisions only when it has a present obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation as and when a reliable estimate of the amount of the obligation can be made.

No provision is recognized for –

- (i) Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- (ii) Any present obligation that arises from past events but is not recognized because –
 - It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - A reliable estimate of the amount of obligation cannot be made.

Such obligations are recorded as Contingent Liabilities. These are assessed continually and only that part of the obligation for which an outflow of resources embodying economic benefits is probable, is provided for, except in the extremely rare circumstances where no reliable estimate can be made.

Contingent Assets are not recognized in the Financial Statements since this may result in the recognition of income that may never be realized.

f. Retirement Benefits

Estimated liabilities towards retirement benefits to employees have not been quantified on the date of Balance Sheet. The same is accounted for on cash basis

g. Impairment of Assets

There is no impairment of Asset during the year, since carrying cost of Asset does not exceed recoverable value.

h. Taxes on Income

Deferred tax for the year is recognized on timing difference being the difference between taxable income and accounting income that originate in one period and are capable for reversal in one or more subsequent periods.

Deferred Tax Liabilities are measured using the tax rates and tax laws that have been enacted or substantively enacted till the Balance Sheet date.

i. Miscellaneous Expenses

The expenses incurred on formation of the Company is considered as Preliminary Expenses and amortized over a period of five years.

3.11 OAKWOODS HOSPITALITY PRIVATE LIMITED:**a. Basis of Preparation of Financial Statements:**

The Financial Statements are prepared on the historical cost convention in accordance with the Indian, "Generally Accepted Accounting Principles (GAAP)" comprising of the Accounting Standards issued by The Institute of Chartered Accountants of India and the provisions of the Companies Act, 1956 as adopted consistently by the Company. All Income and Expenditure having material effect on the Financial Statements are recognized on the accrual basis.

b. Use of Estimates

The preparation of Financial Statements are in conformity with generally accepted accounting principles which requires the Management to make estimates and assumptions that affect the reported balances of Assets and Liabilities as on the date of the Financial Statements and the reported amounts of Income and Expenses during the period. The Management believes that the estimates used in the preparation of Financial Statements are prudent and reasonable. Actual results could differ from the estimates.

c. Fixed Assets

The Gross Block of Fixed Assets is stated in the Accounts at the purchase price of acquisition of such assets including any attributable cost of bringing the assets to its working condition for its intended use.

d. Depreciation

Depreciation is provided in the books on "Straight Line Method" at the rates prescribed in Schedule XIV of the Companies Act, 1956, except the Cost of Development Expenditure and land.

e. Provisions, Contingent Liabilities and Contingent Assets

As per Accounting Standard 29, "Provisions, Contingent Liabilities and Contingent Assets" (AS)-29, issued by The Institute of Chartered Accountants of India, the Company recognizes provisions only when it has a present obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation as and when a reliable estimate of the amount of the obligation can be made.

No provision is recognized for –

- (i) Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- (ii) Any present obligation that arises from past events but is not recognized because –
 - It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - A reliable estimate of the amount of obligation cannot be made.

Such obligations are recorded as Contingent Liabilities. These are assessed continually and only that part of the obligation for which an outflow of resources embodying economic benefits is probable, is provided for, except in the extremely rare circumstances where no reliable estimate can be made.

Contingent Assets are not recognized in the Financial Statements since this may result in the recognition of income that may never be realized.

f. Retirement Benefits

Estimated liabilities towards retirement benefits to employees have not been quantified on the date of Balance Sheet. The same is accounted for on cash basis

g. Impairment of Assets

There is no impairment of Asset during the year, since carrying cost of Asset does not exceed recoverable value.

h. Taxes on Income

Deferred tax for the year is recognized on timing difference being the difference between taxable income and accounting income that originate in one period and are capable for reversal in one or more subsequent periods.

Deferred Tax Liabilities are measured using the tax rates and tax laws that have been enacted or substantively enacted till the Balance Sheet date.

i. Miscellaneous Expenses

The expenditure incurred on the formation of the Company is considered as Preliminary Expenses.

3.12 PNP RETAIL PRIVATE LIMITED:**a. Method of Accounting:**

The Company adopts the accrual method and historical cost concept in the preparation of the accounts.

b. Fixed Assets

Fixed Assets are stated at cost including expenses related to their acquisition and installation allocable to respective assets.

c. Depreciation

Depreciation is provided as per the "Straight Line Method" according to the rates prescribed in Schedule XIV of the Companies Act, 1956, on pro-rata basis.

d. Miscellaneous Expenditure

Preliminary expenses have been written off in the year in which they were incurred.

e. Impairment of Assets

At each balance sheet date, the Management reviews the carrying amounts of its assets and goodwill included in each generating unit to determine whether there is any indication that those assets were impaired. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of impairment loss. Recoverable amount is higher of an asset's net selling price and value in use. In assessing value in use, the estimated future cash flows from the continuing use of the asset and from its disposal are discounted to their present value using a pre-tax rate that reflects the current market assessments.

Reversal of impairment loss is recognized immediately as income in the Profit and Loss Account.

f. Earnings Per Share

Basic Earnings Per Share is calculated by dividing net profit or loss for the year attribute to equity shareholders (after deducting attribute taxes and dividend on cumulative preference shares for the year) by the weighted average number of equity shares outstanding during the year.

For the Purpose of calculating Diluted Earnings Per Share, the net profit or loss for the period attributable to equity shareholders are divided by the weighted average number of equity shares outstanding during the period are adjusted for the effects of all dilutive potential equity shares.

g. Deferred Tax

Deferred Tax is recognized, subject to the consideration of prudence, in respect of deferred tax assets or liabilities, on timings differences, being the difference between taxable income and accounting income that originate in one period, and are reversible in one or more subsequent periods.

4.1 BELLFLOWER PROPERTIES PRIVATE LIMITED:**1. Events Occurring after Balance Sheet Date**

No significant events which could affect the financial position as on 31st March, 2010 to a material extent have been reported by the assesses, after the Balance Sheet date till signing of the report.

2. Details of Purchase, Stock Consumption and Turnover of**Raw Material and Components**

- (i) The company has maintained the quantitative stock record.
- (ii) The total amount wise information is as follows:

(Rs. In '000)

Particulars	31.03.2010	31.03.2009
Opening Work In Progress	488,575	345,915
Purchases and other expenses	100,737	147,853
Cost of Sales	39,403	5,193
Closing Work in Progress	549,909	488,575

3. Taxation

Provision for Current Income Tax is made on the Current Tax Rate based on assessable income for the year workout as per the provision of Income Tax Act 1961, as applicable for A.Y. 2010-2011. The Deferred Tax Assets and Liabilities are recognized for the future tax consequences of timing differences, subject to the consideration of prudence. Deferred Tax Assets and Liabilities are measured using the tax rates enacted or substantively enacted by the Balance Sheet date.

4. Related Party Transactions

Related party disclosures as required by Accounting Standard 18 'Related Party Disclosures', (AS)-18 issued by The Institute of Chartered Accountants of India are given below.

- a) Related Parties (as identified by the Management) are classified as:

1	Holding Company	Kolte-Patil Developers Limited.
2	Key Management Personnel (Directors)	Mr. Rajesh Patil Mr. Milind Kolte
3	Associates/ Enterprises over which Key Management Personnel have significant influence	Regensis Project Management Company Private Limited. Corolla Realty Private Limited.

- b) There are no provisions for doubtful debts or no amounts have been written off in respect of the debts due to or from the related parties.
- c) Following transactions were carried out with the related parties.

Summary of significant related party transactions (as identified by the Management) carried out in ordinary course of business are as follows:

(Rs. In'000)

Particulars	Holding Company	Key Management Personnel (Directors)	Associates/Enterprises over which Key Management Personnel have significant influence
Loan Accepted	316,548	-	-
Loan Repaid	316,548	-	-
Expenditure Incurred & Reimbursement	992	-	430
Purchases of Plot	10,855	-	-

5. In the opinion of the Board, Current Assets and Loans and Advances have a value on realization in the ordinary course of business at least equal to the Amount at which they are stated and provisions for all known and determined liabilities are adequate and not in the excess of the amount reasonably necessary.
6. The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the year end together with interest paid/payable as required under the said Act have not been given.
7. Accounting Standards Interpretation (ASI) 20 Dt. 14.02.2004, issued by the Accounting Standard Board of The Institute of Chartered Accountants of India, on the AS – 17, Segment Reporting clarifies that in case by applying the definition of "Business Segment and Geographical Segment" given in AS-17, it is concluded that there is neither more than one business segment nor more than one geographical segment, Segment Information as per AS-17 is not required to be disclosed.
8. **Contingent Liabilities:**

The Company does not have any contingent liability as on 31.03.2010.

4.2 YASHOWARDHAN PROMOTERS AND DEVELOPERS PRIVATE LIMITED:

1. Events Occurring after Balance Sheet Date

No significant events which could affect the financial position as on 31st March, 2010, to a material extent have been reported by the assesses, after the Balance Sheet date till signing of the report.

2. Prior Period and Extra Ordinary Items

There are no material changes or credit which arises in current period, on account of errors or omissions in the preparation of Financial Statements for one or more periods.

3. Taxation

Provision for Current Income Tax is made on the Current Tax Rate based on assessable income for the year workout as per the provision of Income Tax Act, 1961 as applicable for A.Y. 2010-2011. The Deferred Tax Assets and Liabilities are recognized for the future tax consequences of timing differences, subject to the consideration of prudence. Deferred Tax Assets and Liabilities are measured using the tax rates enacted or substantively enacted till the Balance Sheet date.

4. Details Of Purchase, Stock Consumption And Turnover Of Raw Material And Components

- (i) The Company has maintained the quantitative stock record.
- (ii) The total amount wise information is as follows:

(Rs. In '000)

Particulars	31.03.2010	31.03.2009
Opening Work In Progress	113,007	222,946
Purchases and other expenses	8,215	131,095
Sales	58,626	241,033
Closing Work In Progress	62,596	113,007

5. The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the year end together with interest paid/payable as required under the said Act have not been given.

6. RELATED PARTY TRANSACTIONS

Related party disclosures as required by Accounting Standard 18 "Related Party Disclosures", (AS)-18 issued by The Institute of Chartered Accountants of India are given below.

List of Related Parties

- a) Related Parties (as identified by the Management) are classified as:

1	Holding Company	Kolte-Patil Developers Limited.
2	Key Management Personnel (Directors)	Mr. Harish Kumar Gurnani
3	Associates/ Enterprises over which Key Management Personnel have significant influence	M/s Ankit Enterprises Corolla Realty Private Limited.

- b) Summary of significant related party transactions (as identified by the Management) carried out in ordinary course of business are as follows:

(Rs. In '000)

Particulars	Holding Company	Key Management Personnel (Directors)	Associates/ Enterprises over which Key Management personnel have significant influence
Interest Paid	-	48	-
Loan Repaid	-	8,833	-
Expenditure Incurred & Reimbursement	769	-	2,524

7. In the opinion of the Board, Current Assets, Loans and Advances have a value on realization in the ordinary course of business at least equal to the amount at which they are stated and provisions for all known and determined liabilities are adequate and not in the excess of the amount reasonably necessary.
8. Balances standing at the debit or credit in the accounts of various parties are subject to confirmation and reconciliation.
9. Interest amount debited in Profit and Loss Account is after considering Interest received and other receipts.
10. Estimated amounts of contract remaining to be executed on Capital Account and not provided for – NIL

11. SEGMENT ACCOUNTING:

Accounting Standards Interpretation (ASI) 20 Dt. 14.02.2004, issued by the Accounting Standard Board of The Institute of Chartered Accountants of India, on the AS – 17, "Segment Reporting" clarifies that in case by applying the definition of "Business Segment and Geographical Segment" given in AS-17, it is concluded that there is neither more than one business segment nor more than one geographical segment, Segment Information as per AS-17 is not required to be disclosed.

12. EARNINGS PER SHARE

The earnings considered in ascertaining the Company's EPS comprises the profit available for shareholders i.e. profit after tax and statutory / regulatory appropriations. The number of shares used in computing Basic EPS is the weighted average number of shares outstanding during the year as per the guidelines of AS – 20.

Particulars	31.03.2010	31.03.2009
Net Profit attributable to shareholders. (Rs. In '000)	1,63,011	1,45,860
Weighted average number of equity shares no.	1,85,000	1,85,000
Basic and Diluted Earnings Per Share – Rs.	881.14	788.43
Nominal value of equity shares – (Rs.)	10	10

13. In view of Accounting Standard required by AS-28 "Impairment of Assets" issued by The Institute of Chartered Accountants of India, the Company has reviewed its Fixed Assets and does not expect any loss as on 31st March, 2010 on account of impairment in addition to the provision already made in the books.

14. The Work in Progress have been taken as verified, valued and certified by the Management and as informed, it is taken on the basis of cost price.
15. Last year's figures have been regrouped, reclassified and rearranged wherever necessary

4.3 KOLTE-PATIL REAL ESTATE PRIVATE LIMITED:

1. Events Occurring after Balance Sheet Date

No significant events which could affect the financial position as on 31st March, 2010 to a material extent have been reported by the assesses, after the Balance Sheet date till signing of the Report.

2. Prior Period and Extra Ordinary Items

There are no material charges or credit which arises in current period, on account of errors or omissions in the preparation of Financial Statements for one or more periods other than reversal of Provision for Taxation amounting Rs. 42 thousands.

3. Details of Purchase, Stock Consumption and Turnover of Raw Material and Components

- (i) The Company has maintained the quantitative stock record.
- (ii) The total amount wise information is as follows:

(Rs. In '000)		
Particulars	31.03.2010	31.03.2009
Opening Work In Progress	19,57,139	13,69,572
Purchases and other Incidental expenses	97,775	5,87,567
Closing Work In Progress	20,54,914	19,57,139

4. Taxation

Deferred tax for the year is recognized on timing difference being the difference between taxable income and accounting income that originate in one period and are capable for reversal in one or more subsequent periods.

Deferred Tax Liabilities are measured using the tax rates and tax laws that have been enacted or substantively enacted till the Balance Sheet date.

5. Related Party Transactions

Related party disclosures as required by Accounting Standard 18 Related Party Disclosures, (AS)-18 issued by The Institute of Chartered Accountants of India are given below.

a) Related Parties (as identified by the Management) are classified as:

Holding Company	Kolte-Patil Developers Limited
Key Management Personnel (Directors)	Mr. Rajesh Patil, Mr. Milind Kolte
Associates/Enterprises over which Key Management Personnel have significant influence	Regenesis Project Management Company Private Limited,
	I-Ven Kolte-Patil Projects (Pune) Private Limited,
	K2A Residential Limited.

- b) There are no provisions for doubtful debts or no amounts have been written off in respect of the debts due to or from the related parties.

- c) Summary of significant related party transactions (as identified by the Management) carried out in the ordinary course of business are as follows:

(Rs in '000)

Particulars	Holding Company	Key Management Personnel (Directors)	Associates/Enterprises over which Key Management Personnel have significant influence
Investment In Equity Share Capital	13,440	-	-
Loan Accepted	10,000	-	-
Loan Refunded	10,000	-	-
Purchase of Furniture & Fixtures	-	-	616
Project Management Fees	2,211	-	-
Expenditure Incurred & Reimbursement	809	-	-
Reimbursement of Project Management Fees	-	-	9,201

6. In the opinion of the Board, Current Assets, Loans and Advances have a value on realization in the ordinary course of business that equals at least to the Amount at which they are stated and provisions for all known and determined liabilities are adequate and not in the excess of the amount reasonably necessary.
7. The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the year end together with interest paid/payable as required under the said Act have not been given.
8. Accounting Standards interpretation (ASI) 20 dt. 14.02.2004, issued by the Accounting Standard Board of ICAI, on AS-17, "Segment Reporting" clarifies that, in case by applying the definition of "Business Segment and Geographical Segment" given in AS-17, it is concluded that there is neither more than one business segment nor more than one geographical segment, Segment Information as per AS-17 is not required to be disclosed.
9. **Earning Per Share**

The earnings considered in ascertaining the Company's EPS comprises the profit available for shareholders i.e profit after tax and statutory / regulatory appropriations. The number of shares used in computing Basic EPS is the weighted average number of shares outstanding during the year.

Particulars	31.03.2010	31.03.2009
Net Profit attributable to shareholders. (Rs. In '000)	4,381	10,034
Weighted average number of equity shares no.	3,60,01,462	2,12,37,622
Basic and Diluted Earnings Per Share – Rs.	0.12	0.47
Nominal value of equity shares – (Rs.)	10	10

10. Contingent Liabilities:

The Company does not have contingent liabilities as on 31.3.2010.

11. Particulars of Expenses Incurred in Foreign Currency:

(Rs. In '000)

Particulars	2009-10	2008-09
a) Expenditure incurred in foreign currency: Travelling (As certified by Management)	47 (3500 Dirham)	NIL
b) Design and Consultancy Services	2,308 (33432 Euro)	NIL

12. a. The Work in Progress have been taken as verified, valued and certified by the Management and as informed, it is taken on the basis of cost price.

- b. Since the Company has undertaken only one project, all indirect expenses are also considered as cost of constructions.

13. Last year's figures have been regrouped, reclassified and rearranged wherever necessary

4.4 I-VEN KOLTE-PATIL PROJECTS (PUNE) PRIVATE LIMITED:

1. Events Occurring after Balance Sheet Date

No significant events which could affect the financial position as on 31st March, 2010 to a material extent have been reported by the assessee, after the Balance Sheet date till signing of the Report.

2. Prior Period and Extra Ordinary Items

There are no material charges or credit which arises in current period, on account of errors or omissions in the preparation of Financial Statements for one or more periods.

3. Taxation

Income Tax expenses for the year included Current Tax, Provision, for Current Income Tax is made on the Current Tax rate based on assessable income for the year workout as per the provision of Income Tax Act, 1961, as applicable for A.Y.2010-2011. The Deferred tax Assets and Liabilities are recognized for the future tax consequences of timing differences, subject to the consideration of prudence. Deferred Tax Assets and Liabilities are measured using the tax rates enacted or substantively till the Balance Sheet date.

4. Particulars of Expenses Incurred In Foreign Currency.

(Rs. In '000)

PARTICULARS	2009-10	2008-09
Travelling expenses	Nil	81 (\$2000)

5. Details of Work In Progress

The total amount wise information is as follows:

(Rs. In '000)

Particulars	31.03.2010	31.03.2009
Opening Work in Progress	7,55,387	7,24,264
Purchases and other expenses	2,374	31,123
Closing Work in Progress	7,57,761	7,55,387

6. The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the quarter end together with interest paid/payable as required under the said Act have not been given.

7. Earning Per Share

The earnings considered in ascertaining the Company's EPS comprises the profit available for shareholders i.e. profit after tax and statutory / regulatory appropriations. The number of shares used in computing Basic EPS is the weighted average number of shares outstanding during the year as per the guidelines of AS – 20.

Particulars	31.03.2010	31.03.2009
Net Profit attributable to shareholders. (Rs. In '000)	45	(108)
Number of equity shares	100,000	100,000
Basic and Diluted Earnings Per Share – Rs.	0.45	(1.08)
Nominal value of equity shares – (Rs.)	100	100

8. Related Party Transactions

Related party disclosures as required by Accounting Standard 18 "Related Party Disclosures", (AS)-18 issued by The Institute of Chartered Accountants of India are given below.

a) LIST OF RELATED PARTIES

i) Concerns in which Key Management Personnel or their relatives, exercise significant influence

Holding Company	Kolte-Patil Developers Limited
Associates	India Advantage Fund III, Bellflower Properties Private Limited Corolla Realty Private Limited Kolte-Patil Real Estate Private Limited. Kolte Patil I-Ven Townships (Pune) Private Limited, Regenesys Project Management Company Private Limited Yashowardhan Promoters & Developers Private Limited, M/s Ankit Enterprises, Green Olive Venture
Key Management Personnel	Mr. Rajesh Patil Mr. Naresh Patil Mr. Milind Kolte Mrs. Sunita Kolte Mr. Sudarshan Bajoria Mr. Parag Paranjpe Mr. Pradeep Varshney (resigned from 30.06.2009)

b) There are no provisions for doubtful debts or no amounts have been written off in respect of the debts due to or from the related parties.

c) Following transactions were carried out with the related parties:

(Rs. In'000)

Sr. No.	Particulars	Holding Company	Key Management Personnel (Directors)	Associates/ Enterprises over which Key Management Personnel have significant influence
1	Acceptance of Inter Corporate Deposit	39,472	—	—
2	Loan Accepted	—	—	15
3	Loan Repaid	—	—	20,498
4	Interest Paid	2,719	—	—
5	Reversal of Project Management fees	—	—	253
6	Expenditure incurred on our behalf	385	—	3
7	Reimbursement for Expenditure incurred on our behalf	13,793	—	544
8	Sale of Fixed Assets	—	—	616
9	Debenture Application Money repaid	5,010	—	—

9. In the opinion of the Management, Current Assets, Loans and Advances have a value on realization in the ordinary course of business that equals at least to the amount at which they are stated and provisions for all known and determined liabilities are adequate and not in the excess of the amount reasonably necessary.

10. Balances standing at the debit or credit in the accounts of various parties are subject to confirmation and reconciliation.

11. Segment Accounting:

Accounting Standards interpretation (ASI) 20 Dt. 14.02.2004, issued by the Accounting Standard Board of The Institute of Chartered Accountants of India, on the AS – 17, "Segment Reporting" clarifies that in case by applying the definition of "Business Segment and Geographical Segment" given in AS-17, it is concluded that there is neither more than one business segment nor more than one geographical segment, Segment Information as per AS-17 is not required to be disclosed.

12. In view of Accounting Standard required by AS-28 "Impairment of Assets" issued by The Institute of Chartered Accountants of India, the company has reviewed its Fixed Assets and does not expect any loss as on 31st March, 2010 on account of impairment in addition to the provision already made in the books.

13. Work In Progress:

- The Work in Progress have been taken as verified, valued and certified by the Management and as informed, it is taken on the basis of cost price.
- Since the Company has undertaken only one project, all indirect expenses are also considered as cost of constructions.

14. Last year's figures have been regrouped, reclassified and rearranged wherever necessary

4.5 SYLVAN ACRES REALTY PRIVATE LIMITED:**1. Events Occurring after Balance Sheet Date**

No significant events which could affect the financial position as on 31st March, 2010 to a material extent have been reported by the assesses, after the Balance Sheet date till signing of the report.

2. Prior Period and Extra Ordinary Items

There are no material charges or credit which arises in current period, on account of errors or omissions in the preparation of Financial Statements for one or more periods.

3. Taxation

Since there is no taxable income, provision for income tax is not made in the accounts.

4. The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the quarter end together with interest paid/payable as required under the said Act have not been given.

5. Related Party Transactions

Related party disclosures as required by Accounting Standard 18 "Related Party Disclosures", (AS)-18 issued by The Institute of Chartered Accountants of India are given below.

- a. Related Parties (as identified by the Management) are classified as:

Holding Company	Kolte-Patil Developers Limited
Key Management Personnel Director	Mr. Rajesh Patil, Mr. Milind Kolte
Relatives Key Management Personnel	Mr. Naresh Patil, Ms. Ankita Patil
Associates/Enterprises over which Key Management Personnel have significant influence	Kolte-Patil I – Ven Townships (Pune) Private Limited

- b. Summary of significant related party transactions (as identified by the Management) carried out in ordinary course of business are as follows:

(Rs. In '000)

Particulars	Holding Company	Key Management Personnel (Directors)	Relatives of Key Management Personnel (Directors)	Associates/Enterprises over which Key Management Personnel have significant influence
Debenture Application Money Received	1,53,290	2,466	-	-
Debenture Issued	-	-	-	1,55,700

Particulars	Holding Company	Key Management Personnel (Directors)	Relatives of Key Management Personnel (Directors)	Associates/ Enterprises over which Key Management Personnel have significant influence
Debenture Application Money Paid	-	-	-	1,55,700
Inter Corporate Deposit Given	-	-	-	12,295
Inter Corporate Deposit Refund (Received)	-	-	-	8,915
Interest Received (Net)	-	-	-	430
Inter Corporate Deposit Taken	12,295	-	-	-
Inter Corporate Deposit Refund (Paid)	8,915	-	-	-
Interest Paid (Net)	435	-	-	-
Dividend Received on Preference Share	-	-	-	0.005

6. In the opinion of the Board, Current Assets, Loans and Advances have a value on realization in the ordinary course of business that equals at least to the amount at which they are stated and provisions for all known and determined liabilities are adequate and not in the excess of the amount reasonably necessary.

7. The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the quarter end together with interest paid/payable as required under the said Act have not been given.

8. Segment Accounting:

Accounting Standards interpretation (ASI) 20 Dt. 14.02.2004, issued by the Accounting Standard Board of the Institute of Chartered Accountants of India, on the AS – 17, "Segment Reporting" clarifies that in case by applying the definition of "Business Segment and Geographical Segment" given in AS-17, it is concluded that there is neither more than one business segment nor more than one geographical segment, Segment Information as per AS-17 is not required to be disclosed.

9. Contingent Liabilities:

The Company does not have any contingent liability as on 31.03.2010.

10. Last year's figures have been regrouped, reclassified and rearranged wherever necessary

4.6 OLIVE REALTY PRIVATE LIMITED:

1. Events Occurring after Balance Sheet Date

No significant events which could affect the financial position as on 31st March, 2010, to a material extent have been reported by the assesses, after the Balance Sheet date till the signing of report.

2. Details of Purchase, Stock Consumption and Turnover of

Raw Material and Components

- (i) The Company has maintained the quantitative stock record.
- (ii) The total amount wise information is as follows:

(Rs. In '000)

Particulars	31.03.2010	31.03.2009
Opening Work In Progress	2,99,923	-
Purchases and other expenses	56	2,99,923
Closing Work In Progress	2,99,979	2,99,923

3. The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the quarter end together with interest paid/payable as required under the said Act have not been given.

4. Related Party Transactions

Related party disclosures as required by Accounting Standard 18 "Related Party Disclosures", (AS)-18 issued by The Institute of Chartered Accountants of India are given below.

A. List of Related Parties

- a) Related Parties (as identified by the Management) are classified as:

1	Holding Company	Kolte-Patil Developers Limited.
2	Key Management Personnel	Mr. Rajesh Patil Mr. Naresh Patil Mr. Milind Kolte Mr. Ketan Kolte

- b) There are no provisions for doubtful debts or no amounts have been written off in respect of the debts due to or from the related parties.
- c) Following transactions were carried out with the related parties.

Summary of significant related party transactions (as identified by the Management) carried out in ordinary course of business are as follows:

(Rs in '000)

Particulars	Holding company	Key Management Personnel
Loan Accepted	38,700	-
Purchases of Land	-	-
Payment for purchase of plot.	-	36,450

5. In the opinion of the Board, Current Assets, Loans and Advances have a value on realization in the ordinary course of business that equals at least to the amount at which they are stated and provisions for all known and determined liabilities are adequate and not in the excess of the amount reasonably necessary.

6. Segment Accounting:

Accounting Standards interpretation (ASI) 20 Dt. 14.02.2004, issued by the Accounting Standard Board of The Institute of Chartered Accountants of India, on the AS – 17, "Segment Reporting" clarifies that in case by applying the definition of "Business Segment and Geographical Segment" given in AS-17, it is concluded that there is neither more than one business segment nor more than one geographical segment, Segment Information as per AS-17 is not required to be disclosed.

4.7 REGENESIS FACILITY MANAGEMENT COMPANY PRIVATE LIMITED:

1. Events Occurring after Balance Sheet Date

No significant events which could affect the financial position as on 31st March, 2010, to a material extent have been reported by the assesses, after the Balance Sheet date till signing of the report.

2. Taxation

Income tax expenses for the year includes current tax and provision for the same is made on the basis of provisions of the Income Tax Act, 1961 as applicable for A.Y. 2010-2011.

3. In the opinion of the Board current Assets, Loans and Advances have a value on realisation in the ordinary course of business at least equal to the amount at which they are stated and provisions for all known and determined liabilities adequate and not in excess of the amount reasonably necessary.
4. The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the quarter end together with interest paid/payable as required under the said Act have not been given.

5. Contingent Liabilities

The Company does not have any contingent liability as on 31.03.2010.

6. Related Party Transactions

Related party disclosures as required by Accounting Standard 18 'Related Party Disclosures', (AS)-18 issued by The Institute of Chartered Accountants of India are given below.

- a) Related Parties (as identified by the Management) are classified as:

1	Holding Company	Kolte-Patil Developers Limited.
2	Key Management Personnel (Directors)	Mr. Rajesh Patil Mr. Milind Kolte
3	Associates/ Enterprises over which Key Management Personnel have significant influence	M/s Ankit Enterprises

- b) Summary of significant related party transactions (as identified by the Management) carried out in ordinary course of business are as follows:

(Rs. In '000)

Particulars	Holding Company	Key Management Personnel (Director)	Associates/ Enterprises over which Key Management Personnel have significant influence
Issued Equity Share	200	-	-
Loan Accepted	31	-	-
Loan Repaid	70	882	-
Expenditure Incurred & Reimbursement	3,598	-	-

The amount of Labour Charges Received and Professional Fees are taken as including Service Tax.

7. Balances standing at the debit or credit in the accounts of various parties are subject to confirmation and reconciliation.
8. Estimated amounts of contract remaining to be executed on capital account and not provided for – NIL.
9. In the opinion of the Board, Current Assets, Loans and Advances have a value on realization in the ordinary course of business that equals at least to the amount at which they are stated and provisions for all known and determined liabilities are adequate and not in the excess of the amount reasonably necessary.
10. The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the year end together with interest paid/payable as required under the said Act have not been given.
11. **Segment Accounting:**

Accounting Standards interpretation (ASI) 20 Dt. 14.02.2004, issued by the Accounting Standard Board of The Institute of Chartered Accountants of India, on the AS – 17, "Segment Reporting" clarifies that in case by applying the definition of "Business Segment and Geographical Segment" given in AS-17, it is concluded that there is neither more than one business segment nor more than one geographical segment, Segment Information as per AS-17 is not required to be disclosed.

12. Last year's figures have been regrouped, reclassified and rearranged wherever necessary.

4.8 REGENESIS PROJECT MANAGEMENT COMPANY PRIVATE LIMITED :

1. Events Occurring after Balance Sheet Date

No significant events which could affect the financial position as on 31st March, 2010 to a material extent have been reported by the assesses, after the Balance Sheet date till the signing of report.

2. Prior Period and Extra Ordinary Items

There are no material changes or credit which arises in current period, on account of errors or omissions in the preparation of Financial Statements for one or more periods, except Project Management Fees disclosed as income in the earlier year which has been reversed and claimed as expenditure is disclosed separately.

3. Taxation:

Income tax expenses for the year includes current tax and provision for the same is made on the basis of provisions of the Income Tax Act, 1961 as applicable for A.Y. 2010-2011.

4. In the opinion of the Board Current Assets, Loans and Advances have a value on realisation in the ordinary course of business that equals at least to the amount at which they are stated and provisions for all known and determined liabilities adequate and not in excess of the amount reasonably necessary.
5. The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the year end together with interest paid/payable as required under the said Act have not been given.

6. Contingent Liabilities

The Company does not have any contingent liability as on 31.03.2010.

7. Related Party Transactions

Related party disclosures as required by Accounting Standard 18 "Related Party Disclosures", (AS)-18 issued by The Institute of Chartered Accountants of India are given below.

a) Related Parties (as identified by the Management) are classified as:

Holding company	Kolte-Patil Developers Limited.
Key Management Personnel- Director	Mr. Rajesh Patil, Mr. Milind Kolte
Relative of Key Management Personnel	Mr.Naresh Patil
Associates/Enterprises over which Key Management Personnel have significant influence	Kolte- Patil I – Ven Townships (Pune) Private Limited. I – Ven Kolte-Patil Projects (Pune) Private Limited, Corolla Realty Private Limited Kolte-Patil Real Estate Private Limited Olive Realty Private Limited Kolte-Patil Properties (Bangalore) Private Limited Bellflower Properties Private Limited Cornerstone Funds Management Private Limited

b) Summary of significant related party transactions (as identified by the Management) carried out in ordinary course of business are as follows:

(Rs. In '000)

Particulars	Holding Company	Key Management Personnel (Directors)	Relatives of Key Management Personnel (Directors)	Associates/Enterprises over which Key Management Personnel have significant influence
Loan Accepted	2,000			
Loan Refund	8,000	-	-	-
Labour Charges Received	11,249	-	-	-
Professional Fees	-	-	-	(1,849)
Expenses Incurred	-	-	-	2,812
Expenses Reimbursement	-	-	-	2,812
Expenditure Incurred on our behalf	2	-	-	42

The amount of Labour Charges Received and Professional Fees are taken including the Service Tax.

- 8.** Balances standing at the debit or credit in the accounts of various parties are subject to confirmation and reconciliation.
- 9.** Estimated amounts of contract remaining to be executed on capital account and not provided for – NIL.
- 10.** In the opinion of the Board, Current Assets, Loans and Advances have a value on realization in the ordinary course of business at least equal to the amount at which they are stated and provisions for all known and determined liabilities are adequate and not in the excess of the amount reasonably necessary.
- 11.** The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the quarter end together with interest paid/payable as required under the said Act have not been given.

12. Segment Accounting:

Accounting Standards interpretation (ASI) 20 Dt. 14.02.2004, issued by the Accounting Standard Board of The Institute of Chartered Accountants of India, on the AS – 17, "Segment Reporting" clarifies that in case by applying the definition of "Business Segment and Geographical Segment" given in AS-17, it is concluded that there is neither more than one business segment nor more than one geographical segment, Segment Information as per AS-17 is not required to be disclosed.

13. Last year's figures have been regrouped, reclassified and rearranged wherever necessary

4.9 LILAC HOSPITALITY PRIVATE LIMITED:**1. Events Occurring after Balance Sheet Date**

No significant events which could affect the financial position as on 31st March, 2010 to a material extent have been reported by the assesses, after the Balance Sheet date till signing of the Report.

2. Taxation

The Deferred Tax Assets and Liabilities are recognized for the future tax consequences of timing differences, subject to the consideration of prudence. Deferred Tax Assets and Liabilities are measured using the tax rates enacted or substantively enacted by the Balance Sheet date.

3. The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the quarter end together with interest paid/payable as required under the said Act have not been given.

4. Related Party Transactions

Related party disclosures as required by Accounting Standard 18 "Related Party Disclosures", (AS)-18 issued by The Institute of Chartered Accountants of India are given below.

a) Related Parties (as identified by the Management) are classified as:

1	Holding Company	Kolte-Patil Developers Limited.
2	Key Management Personnel (Directors)	Mr. Rajesh Patil Mrs. Sunita Kolte Ms. Ankita Patil
3	Associates/ Enterprises over which Key Management Personnel have significant influence	Kolte-Patil Properties (Bangalore) Private Limited. Jasmine Hospitality Private Limited. Oakwoods Hospitality Private Limited.

b) There are no provisions for doubtful debts or no amounts have been written off in respect to the debts due to or from the related parties.

c) Following transactions were carried out with the related parties.

Summary of significant related party transactions (as identified by the Management) carried out in ordinary course of business are as follows:

(Rs. In '000)

Particulars	Holding Company	Key Management Personnel (Director)	Associates/ Enterprises over which Key Management Personnel have significant influence
Expenditure Incurred & Reimbursement	-	-	549

5. In the opinion of the Board, Current Assets, Loans and Advances have a value on realization in the ordinary course of business that equals at least to the amount at which they are stated and provisions for all known and determined liabilities are adequate and not in the excess of the amount reasonably necessary.

6. Segment Accounting:

Accounting Standards interpretation (ASI) 20 Dt. 14.02.2004, issued by the Accounting Standard Board of the Institute of Chartered Accountants of India, on the AS – 17, "Segment Reporting" clarifies that in case by applying the definition of "Business Segment and Geographical Segment" given in AS-17, it is concluded that there is neither more than one business segment nor more than one geographical segment, Segment.

4.10 JASMINE HOSPITALITY PRIVATE LIMITED:**1. Events Occurring after Balance Sheet Date**

No significant events which could affect the financial position as on 31st March, 2010 to a material extent have been reported by the assesses, after the Balance Sheet date till signing of the report.

2. The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the quarter end together with interest paid/payable as required under the said Act have not been given.

3. Related Party Transactions

Related party disclosures as required by Accounting Standard 18 "Related Party Disclosures", (AS)-18 issued by The Institute of Chartered Accountants of India are given below.

- a) Related Parties (as identified by the Management) are classified as:

1	Holding Company	Kolte-Patil Developers Limited.
2	Key Management Personnel (Directors)	Mr. Rajesh Patil Mr. Milind Kolte
3	Associates/Enterprises over which Key Management Personnel have significant influence	Lilac Hospitality Private Limited. Kolte-Patil Properties (Bangalore) Private Limited.

- b) Summary of significant related party transactions (as identified by the Management) carried out in ordinary course of business are as follows:

(Rs. In '000)

Particulars	Holding Company	Key Management Personnel (Director)	Associates/ Enterprises over which Key Management Personnel have significant influence
Equity Share Application Money	578	-	-
Expenditure Incurred & Reimbursement.	-	-	24

- c) There are no provisions for doubtful debts or no amounts have been written off in respect to the debts due to or from the related parties.

4. In the opinion of the Board, Current Assets, Loans and Advances have a value on realization in the ordinary course of business that equals at least to the amount at which they are stated and provisions for all known and determined liabilities are adequate and not in the excess of the amount reasonably necessary.

5. Segment Accounting:

Accounting Standards interpretation (ASI) 20 Dt. 14.02.2004, issued by the Accounting Standard Board of The Institute of Chartered Accountants of India, on the AS – 17, "Segment Reporting" clarifies that in case by applying the definition of "Business Segment and Geographical Segment" given in AS-17, it is concluded that there is neither more than one business segment nor more than one geographical segment, Segment Information as per AS-17 is not required to be disclosed.

4.11 OAKWOODS HOSPITALITY PRIVATE LIMITED:**1. Events Occurring after Balance Sheet Date**

No significant events which could affect the financial position as on 31st March, 2010 to a material extent have been reported by the assesses, after the Balance Sheet date till the signing of report.

2. The Company has not received any intimation from "Suppliers" regarding their status under the Micro, Small and Medium Enterprises Development Act, 2006 and hence the Disclosure, if any, relating to amounts unpaid as at the quarter end together with interest paid/payable as required under the said Act have not been given.

3. Related Party Transactions

Related party disclosures as required by Accounting Standard 18 "Related Party Disclosures", (AS)-18 issued by The Institute of Chartered Accountants of India are given below.

- a) Related Parties (as identified by the Management) are classified as:

1	Holding Company	Kolte-Patil Developers Limited.
2	Key Management Personnel (Directors)	Mr. Rajesh Patil Mr. Milind Kolte
3	Associates/ Enterprises over which Key Management Personnel have significant influence	Lilac Hospitality Private Limited.

- b) Summary of significant related party transactions (as identified by the Management) carried out in ordinary course of business are as follows:

(Rs. In '000)

Particulars	Holding Company	Key Management Personnel (Directors)	Associates/ Enterprises over which Key Management Personnel have significant influence
Equity Share Application Money	731	-	-
Expenditure Incurred & Reimbursement	-	-	31

- c) There are no provisions for doubtful debts or no amounts have been written off in respect to the debts due to or from the related parties.

4. In the opinion of the Board, Current Assets, Loans and Advances have a value on realization in the ordinary course of business that equals at least to the amount at which they are stated and provisions for all known and determined liabilities are adequate and not in the excess of the amount reasonably necessary.

5. **Segment Accounting:**

Accounting Standards interpretation (ASI) 20 Dt. 14.02.2004, issued by the Accounting Standard Board of The Institute of Chartered Accountants of India, on the AS – 17, "Segment Reporting" clarifies that in case by applying the definition of "Business Segment and Geographical Segment" given in AS-17, it is concluded that there is neither more than one business segment nor more than one geographical segment, Segment Information as per AS-17 is not required to be disclosed.

4.12 PNP RETAIL PRIVATE LIMITED:

(Rs. In '000)

- Estimated amount of contracts remaining to be executed on Capital Account and not provided for - Rs. Nil
- Contingent Liabilities - Rs. Nil
- Managerial Remuneration - Rs. Nil
- Auditors Remuneration includes -
For Audit Fees Rs.17
- Since the provisions of Payment of Bonus Act, 1956 and Payment of Gratuity Act, 1972 are not applicable, no provision is made.
- Deferred tax assets of Rs 270 thousands relating to carry forward losses are recognized in the books as there is virtual certainty that such deferred tax assets can be realized against future taxable profits.
- Impairment of Assets
In the view of Accounting Standard required by AS- 8 "Impairment of Assets" issued by the ICAI, the company has reviewed its fixed assets and does not expect any loss as on 31.03.2010 on account of impairment.
- The Company has no outstanding dues to Small Scale Industrial undertaking on 31st March 2010.
- Additional Information pursuant to the Provisions of Part II of Schedule VI of the Companies Act, 1956 was not applicable since commercial operations were not commenced.
- Value of Imports on CIF Basis – Rs. Nil
- Earnings in Foreign Exchange- Rs Nil
- Expenditure in Foreign Currency-Rs Nil
- Depreciation on fixed assets was not provided since the assets were not ready for their intended use.

14. Earnings Per Share

Basic & Diluted Earnings Per Share-	Rs. (43.79)
Weighted average number of equity shares-	13,808
Nominal value of equity shares-	Rs. 10/-

15. Related Party Disclosure

Kolte - Patil Developers Limited:	Holding Company
Key Management Personnel:	Naresh Anirudha Patil, Director

16. The Company has the following transactions with the related parties.

(Rs. In '000)

	Particulars	2009-10	
		Dr. Rs.	Cr. Rs.
1.	Kolte-Patil Developers Limited		
	Advances Received-	-	9,104
	Balance Payable-	-	9,104
2.	Naresh Anirudha Patil		
	Advances Received-	-	163
	Balance Payable-	-	163

17. Since this is the first year of operations, previous year's figures were not given.

FOR S P C M & ASSOCIATES

(formerly known as Bora Kasat & Co.)
Chartered Accountants
F.R.N. 112165W

CA Suhas P. Bora

Partner
M. No. 39765

Place : Pune

Date : May 28, 2010

FOR AND ON BEHALF OF THE BOARD

Rajesh Patil
Chairman &
Managing Director

Naresh Patil
Joint
Managing Director

Milind Kolte
Executive Director

Sunita Kolte
Executive Director

Manish Doshi
Director

Achyut Watve
Director

G.L. Vishwanath
Director

Jayant G. Pendse
Director

Vasant Gaikwad
Chief Financial Officer

Place : Bangalore

Date : May 28, 2010

NOTES

[illegible]

KOLTE-PATIL DEVELOPERS LIMITED

Registered Office: 2nd Floor, City Point, Dhole- Patil Road, Pune-411001

ATTENDANCE SLIP

Nineteenth Annual General Meeting
Saturday 31st July, 2010 at 12.00 Noon

DP ID No. _____ L.F. No. _____

Client ID No. _____ No. of Shares held _____

I/We hereby record my/our presence at the Annual General Meeting of the Company held at Maharashtra Chamber of Commerce Industries & Agriculture, Sumant Moolgaonkar Auditorium, Ground Floor, A Wing, MCCIA Trade Tower, Senapati Bapat Road, Pune 411 016, (Maharashtra), India, on Saturday 31st July 2010 at 12.00 Noon.

Note: _____
Name of the Member/Proxy

Signature of the Member/Proxy

Please fill up this attendance slip and hand it over at the entrance of the meeting hall. Members / Proxies are requested to bring this slip for the meeting.

----- TEAR HERE -----

KOLTE-PATIL DEVELOPERS LIMITED

Registered Office: 2nd Floor, City Point, Dhole- Patil Road, Pune-411001

PROXY FORM

DP ID No. _____ L.F. No. _____

Client ID No. _____ No. of Shares held _____

I/We _____

R/o _____ being Member/Members of Kolte-Patil Developers Limited hereby appoint

_____ R/o _____

failing him/her _____ R/o _____ as
my/our Proxy to attend and vote for me/us and on my/our behalf at the Nineteenth Annual General Meeting of the Company, to be held on Saturday, July 31, 2010 at 12.00 Noon and at Maharashtra Chamber of Commerce Industries & Agriculture, Sumant Moolgaonkar Auditorium, Ground Floor, A Wing, MCCIA Trade Tower, Senapati Bapat Road, Pune 411 016, (Maharashtra) India, or any adjournment thereof.

Name of the member
(In BLOCK letters)

Signature of the member

Affix a
Re.1/-
Revenue
Stamp

Notes:

1. The Proxy Form should be signed across the Revenue Stamp as per specimen signature(s) registered with the Company.
2. The Proxy Form duly completed should be deposited at the Registered Office of the Company not less than 48 hours before the time fixed for holding the meeting.
3. A proxy need not be a Member of the Company.

Hassle-free direct credit of Dividend – Make use of NECS for speedy credit of Dividend

Shares held in Dematerialized Form:

Kindly inform your Depository Participant latest Bank Account details (in case of any change), who in turn will update these details in NSDL/CDSL system.

Shares held in Physical Form:

Provide your latest Bank Account details in **NECS Mandate Form** which can be availed from our website- www.koltepatil.com or our RTA- Bigshare Services Private Limited, E/2, Ansa Industrial Estate, Sakivihar Road, Sakinaka, Andheri (E), Mumbai - 400072, website: www.bigshareonline.com.

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W : www.koltepatil.com

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